

Q fact

Page	Source Text
7	Now, when we look at the hierarchy of norms on what law applies to the arbitration agreement, the European convention applies to the arbitration...
5	Now, the purpose of an arbitration agreement being the exclusion of the jurisdiction of the state courts and the empowering an arbitral tribunal t...
6	shall be exclusively and finally settled by arbitration under the Rules of conciliation and arbitration of the international Chamber of...
4	claimant"s claims for gas transportation losses. I will then move on to the objective arbitrability of claimant"s claims under the regulation on energ...
55	decision of the Supreme Court of Austria dated 18 February 2015. Did this case concern article 101 or REMIT. A Can we please look at it briefly? Q Of...
56	Q Thank you. And one last question, Dr Koller. A Can we can we stick with the document f for a a minute and scroll down a little bit?
55	exhibit cws9 hundred and 11, which we discussed today, as you would recollect, concerned, an action under article 102, right?
56	tab l 1.15. And can we zoom it a little bit. If you look. To the left side of this document, you will see a reference to a particular provision of the Treat...
55	opinion concerned interpretation of EU sanctions regulations not REMIT. Correct.
56	It says that it is important to ensure that consumers and market participants can have confidence in the integrity of
55	directly mentions restrictive measures relating to Russia"s actions. And then regulation number 833 of 2014. No mention of REMIT. Now, if I could g...
5	applicable to the interpretation of the arbitration agreement. The interpretation is determining which disputes are covered. More specifically,...

Fact

Page	Source Text
56	further please. Yes. Stop here. I'm referring to the 2nd paragraph on this page. A Yes, I can see it. Q So article 101, right. A That is correct.

01 08:14:48

02 08:14:48 Q So we can have this. Already, but just to be for the

03 08:15:06 internet. Okay.

04 08:16:04 MS HOFFMAN: Good morning everyone. This is an audio

05 08:16:07 test for Monday the 23rd. Microphone number 1.

06 08:16:17 Microphone number 2. Third microphone for Dr Reiner.

07 08:16:37 Microphone number 1 for respondent. Microphone number 2 for respondent.

08 08:16:49 Microphone number 3 for

09 08:17:09 respondent. Microphone number 1 for witness.

10 08:17:14 Microphone number 2 for witness claimant.

11 08:17:48 Q Mic number 1. Claimant. Mic number 2. Claimant.

12 08:17:48 Mic number 3. Claimant. Mic number 4.

13 09:00:08 Q Good morning everyone. We will resume the hearing

14 09:00:12 with the examination of the legal experts today.

15 09:00:17 There are two pending procedural matters that

16 09:00:19 hopefully have been solved. The 1st one I know it's been solved because

17 09:00:23 we want. The tribunal would like

18 09:00:25 to welcome Mr Guth to this hearing. The parties have agreed.

19 09:00:31 Make an understanding on the form and the

20 09:00:35 content of the undertaking and declaration by

21 09:00:39

22 09:00:40 Mr Goeth, because the tribunal gave instructions and because

23 09:00:43 we are interested in having on record the terms of the

24 09:00:49 commitment. Is it possible to disclose and provide us

25 09:00:51 with a copy of the signed undertakings?

26 09:00:55 A Respondent of course we will arrange it. Yes.

01 09:01:00 PRESIDENT: Thank you. The 2nd point was a matter of
02 09:01:04 timing. There was a request made by the the claimant at the end of the hearing
03 09:01:10 on Friday night over extra time to take into
04 09:01:14 account a consecutive translation for the examination
05 09:01:17 of a witness last week. Is is has this issue been
06 09:01:24 resolved?
07 09:01:24 A Good morning, members of the tribunal. Yes, this
08 09:01:27 issue has been resolved. There is an agreement
09 09:01:29 between the parties that, in view of the time taken
10 09:01:33 for interpretation during Mr Barash testimony, 28
11 09:01:38 minutes of time is added to the claimant's existing budget.
12 09:01:42 PRESIDENT: And that is for the examination for the
13 09:01:44 evidentiary hearing? Correct. There is no. It would
14 09:01:48 not apply to the closing presentation, which remained
15 09:01:53 90 minutes for each for each party.
16 09:01:54 MS PETKUTE: Yes.
17 09:01:55 PRESIDENT: Okay. Very good. Respondent.
18 09:01:56 MS PETKUTE: Yes. And we confirm and terminate any
19 09:01:58 objections with respect to the translation on the part
20 09:02:00 of the claimant. We did agree to the extension. We
21 09:02:03 confirmed this.
22 09:02:04 PRESIDENT: Very good. With this in mind, we will now
23 09:02:08 commence the examination of the legal experts and our
24 09:02:14 1st legal expert is Prof Kohler. Good morning to you,
25 09:02:18 Prof Kohler. You are to give this morning testimony

01 09:02:25 on several aspects of jurisdiction and
02 09:02:28 applicable law under Austrian law. Thank you very
03 09:02:31 much for
04 09:02:31 coming all the way to Istanbul for this hearing.
05 09:02:34 I understand you have prepared a
06 09:02:36 presentation, and we have a copy of your presentation
07 09:02:39 before you commence. There. There should be in front
08 09:02:43 of you a declaration or a form of oath to administer.
09 09:02:50 MS SOLDATENKOVA: Good morning, Prof Koehler. You have
10 09:02:54 served two expert reports in these proceedings before
11 09:03:00 confirming the the the the the the the the expert
12 09:03:05 reports. You should have a format of declaration in
13 09:03:08 front of you. May I kindly ask you to read that and
14 09:03:14 stay closer to the microphone?
15 09:03:16 DR REINER: Certainly. I christian Koller sincerely and
16 09:03:19 truly declare and affirm that the evidence I shall
17 09:03:22 give shall be the truth, the whole truth, and nothing
18 09:03:25 but the truth.
19 09:03:27 PRESIDENT: Thank you.
20 09:03:27 MS PETKUTE: Now, coming back to your two expert reports
21 09:03:30 we have on the case file expert report of 15th of
22 09:03:34 April, 2025 and 7th of October 2025. Do you have
23 09:03:40 these expert reports in front of you?
24 09:03:43 DR REINER: Yes I do.
25 09:03:45 MS PETKUTE: Prof Carla, do you confirm that these

01 09:03:49 reports remain your professional legal opinion?

02 09:03:53 DR REINER: I'm happy to confirm that.

03 09:03:55 MS PETKUTE: Would you like to amend or add anything?

04 09:03:59 MS PETKUTE: There's nothing I'd like to amend or add.

05 09:04:01 MS PETKUTE: Thank you very much. Oh, nothing from the

06 09:04:05 claimant side. With the permission of the tribunal,

07 09:04:07 we would proceed with Prof Cora's presentation.

08 09:04:12 PRESIDENT: Prof K?hler, we're listening to you.

09 09:04:15 MS PETKUTE: Thank you so much, madam. Presiding. I

10 09:04:17 would read the honorable members of the tribunal.

11 09:04:20 Good morning. I would. It's an honor and privilege

12 09:04:25 for me to present to you the findings of my 1st

13 09:04:30 report. And let me give you a brief overview of which

14 09:04:34 issues I'd like to address today. I will 1st deal

15 09:04:39 with the scope of the arbitration agreement and

16 09:04:43 claimant's claim for unlawful market manipulation. I

17 09:04:49 will then address the tribunal's jurisdiction over

18 09:04:52 claimant's claims for gas transportation losses. I

19 09:04:57 will then move on to the objective arbitrability of

20 09:05:01 claimant's claims under the regulation on energy

21 09:05:06 market integrity and transparency. And finally, I

22 09:05:10 will deal with the party's choice of Austrian law to

23 09:05:13 govern the Non-contractual claims and the Rome two

24 09:05:17 regulation in this respect. Now, members of the

25 09:05:20 tribunal, let me turn to the 1st issue. When

01 09:05:24 determining the scope of an arbitration agreement. In
02 09:05:27 other words, which disputes are covered by such an
03 09:05:33 agreement under Austrian law, and this is the law
04 09:05:36 applicable to the interpretation of the arbitration
05 09:05:39 agreement. The interpretation is determining which
06 09:05:46 disputes are covered. More specifically, section 914
07 09:05:49 of the Austrian code of civil procedure contains the
08 09:05:52 relevant provision in that regard, and the starting
09 09:05:55 point for such interpretation is the wording of the
10 09:05:59 agreement. Now, the 1st task of an arbitral tribunal
11 09:06:04 in determining the objective scope is to determine
12 09:06:06 whether there has been actual intent reached between
13 09:06:10 the parties. If no such actual intent can be
14 09:06:14 established, the wording and the statements made have
15 09:06:17 to be understood according to the understanding that a
16 09:06:21 reasonable addressee could and should have had in good
17 09:06:25 faith, considering the purpose of the agreement as
18 09:06:29 well as all relevant circumstances. Now, the purpose
19 09:06:32 of an arbitration agreement being the exclusion of the
20 09:06:36 jurisdiction of the state courts and the empowering an
21 09:06:40 arbitral tribunal to decide the case. When we look at
22 09:06:44 the jurisprudence of the Austrian Supreme Court in
23 09:06:46 this regard, it has been held consistently.
24 09:06:50 That, and
25 09:06:51 I quote, one of the leading principles in this regard

01 09:06:56 the principle of broad interpretation applies
02 09:06:59 particularly to arbitration clauses. This broad
03 09:07:03 interpretation corresponds to the party's typical
04 09:07:06 intention to remove all disputes arising from the
05 09:07:09 legal relationship in question from the jurisdiction
06 09:07:12 of the state, and to avoid a division of
07 09:07:16 jurisdiction. When we move to the arbitration
08 09:07:25 agreement, the
09 09:07:25 arbitration clause contained in article 14 of the
10 09:07:30 contract and take the wording as a starting
11 09:07:32 point of
12 09:07:32 interpretation. I would like to briefly recap the
13 09:07:35 wording of that clause. It says that all
14 09:07:39 controversies, claims, disputes and other matters arising out of or
15 09:07:44 relating to contractual liability, tortious liability,
16 09:07:49 and/or
17 09:07:50 to this contract, including the breach, termination or invalidity
18 09:07:54 thereof, which the parties are unable to
19 09:07:56 resolve by mutual
20 09:07:57 agreement,
21 09:07:58 shall be exclusively and finally settled by
22 09:08:00 arbitration under the Rules of
23 09:08:01 conciliation and arbitration of the international
24 09:08:04 Chamber of Commerce, whereby Austrian substantial law shall be applied.
25 09:08:09 The seat of the
arbitration shall

01 09:08:10 be Vienna, Austria. Members of the tribunal. What
02 09:08:15 is
03 09:08:15 notable about this arbitration agreement is that it is
04 09:08:20 much broader than standard arbitration clauses,
05 09:08:23 particularly also the standard arbitration clause of
06 09:08:25 the ICC, because standard arbitration clauses refer to
07 09:08:32 disputes arising out of or in connection with the
08 09:08:35 contract, particularly in light of such broad wording
09 09:08:40 of the clause. Austrian law does not require a
10 09:08:45 functional or sufficient connection for tortious
11 09:08:48 claims to fall within the scope of such clause, and to
12 09:08:51 fall within the jurisdiction of the arbitral tribunal.
13 09:08:56 Now, respondent argues that such
14 09:09:02 broad scope and
15 09:09:03 wording of an arbitration clause would conflict with
16 09:09:07 the requirement of a defined legal relationship that is
17 09:09:11 contained in section 5581 of the Austrian Code of
18 09:09:15 civil procedure and article 2 of the new York convention.
19 09:09:21 Before addressing these two provisions,
20 09:09:23 it has to be highlighted that the present arbitration
21 09:09:28 agreement is governed by the European
22 09:09:30 convention on
23 09:09:32 international commercial arbitration of 1961. Now,
24 09:09:36 when we look at the hierarchy of norms on what law
25 09:09:41 applies to the arbitration agreement, the

01 09:09:44 European

02 09:09:44 convention applies to the arbitration agreement in the present case,
03 09:09:49 because
both parties had their seat in a

04 09:09:51 contracting state at the time of conclusion of the

05 09:09:55 agreement and being an international convention in in

06 09:10:00 the fields that it contains regulations, the European

07 09:10:04 convention supersedes the

08 09:10:06 otherwise applicable domestic law. In the present case,
09 09:10:08 it

10 09:10:08 supersedes Austrian arbitration law. What is also

11 09:10:12 notable in this regard is that the European convention

12 09:10:15 has a broader scope of application than the New York

13 09:10:18 convention has, because it does not only apply to the

14 09:10:21 recognition and enforcement of foreign arbitral

15 09:10:23 awards, but it contains specific provisions dealing

16 09:10:26 with arbitration agreements, dealing with arbitration

17 09:10:29 proceedings, and also contains a provision that

18 09:10:36 abandons the requirement of a defined legal

19 09:10:39 relationship that is

20 09:10:42 otherwise contained in Austrian arbitration law.

21 09:10:44 Thereby, the European convention of 1961 allows

22 09:10:49 for broad arbitration clauses covering all contracts

23 09:10:53 and non-contractual claims arising from international

24 09:10:58 trade between the parties. Now the term international trade that the

25 09:11:05 European convention uses has to be interpreted

01 09:11:09 autonomously. It does not allow for referring to the
02 09:11:14 respective domestic laws of the parties that have
03 09:11:19 concluded such an agreement. Article 2 and section
04 09:11:27 581 per one of the Austrian
05 09:11:29 Code of Civil Procedure are also fulfilled. So even
06 09:11:31 if the New York convention, even if the European
07 09:11:35 convention would not apply, and even if we assume
08 09:11:39 that a defined
09 09:11:40 legal relationship requirement applied to the present
10 09:11:43 arbitration agreement, such requirement is fulfilled
11 09:11:47 in the present case because the requirement of a
12 09:11:51 defined legal relationship is interpreted in case law
13 09:11:56 and literature extremely broadly. The Austrian
14 09:11:59 Supreme Court has already held in
15 09:12:04 1926 that it is sufficient to refer to a definable
16 09:12:08 relationship, being the party's business relationship.
17 09:12:17 Assume for a moment, which is not the case, that the
18 09:12:21 arbitration agreement were worded differently if it
19 09:12:24 only referred to disputes arising out of a contract,
20 09:12:28 it would still cover claimant's claims for unlawful
21 09:12:32 market manipulation. Because the disputes in the
22 09:12:35 present case and the claims are sufficiently connected
23 09:12:39 to the contract. Claimant's non-contractual claims
24 09:12:43 are based on section 1295, two of the Austrian code of
25 09:12:48 civil procedure, article 102 of the Treaty on the

01 09:12:51 Functioning of the European Union and article 5 REMIT.
02 09:12:55 They rest on the same conduct as claimant's claim for
03 09:13:00 breach of respondent's contractual duties of care and
04 09:13:05 good faith. When we look at similar cases in the
05 09:13:10 Austrian jurisprudence, the Austrian Supreme Court
06 09:13:15 analysed whether contractual claims and
07 09:13:17 non-contractual claims are based on the same factual
08 09:13:21 matrix, and this is exactly the case in the present
09 09:13:25 case now relying on and expanding the EU's ruling in
10 09:13:31 apple's sales. The Austrian Supreme Court even held
11 09:13:34 in case with a narrow arbitration clause, that
12 09:13:38 arbitration clause covering disputes arising out of a
13 09:13:43 contract extends to damages claims based on a
14 09:13:45 violation of article 102 Tfeu. If the abusive
15 09:13:52 behaviour and I quote, manifests itself in the
16 09:13:56 contractual relationship and via the contractual
17 09:14:00 conditions. So in that regard, adding
18 09:14:03 the phrase via
19 09:14:04 the contractual conditions, the Austrian Supreme Court
20 09:14:09 even expanded the the ruling of the court of justice in
21 09:14:14 Appleseed's. According to the
22 09:14:17 claim, as it was formulated by claimant respondent's
23 09:14:21 abusive conduct directly affected the performance of
24 09:14:24 the contract via the contractual price formula peg to
25 09:14:29 the TTF price reference index. Members of the

01 09:14:34 tribunal let me come to the 2nd jurisdictional issue
02 09:14:38 that I would like to address, namely the jurisdiction
03 09:14:42 over claimant's claims for gas transportation losses. This
04 09:14:50 dispute
05 09:14:50 arises from the. And this is significant. It arises from the avoidance
06 09:14:54 of the contract for the sale and purchase of
07 09:14:57 natural
08 09:14:57 gas, and the losses that claimant incurred as a
09 09:15:03 result. It is clearly covered by the scope of the
10 09:15:06 arbitration agreement in article 14 of the contract
11 09:15:09 because it is a claim for damages arising out of the avoidance of
12 09:15:14 exactly this contract, the tribunal will
13 09:15:18 only have to consider the gas
14 09:15:20 transportation agreement to determine claimants lost
15 09:15:23 profits as a preliminary issue. It does not have to
16 09:15:27 deal with the dispute arising out of the gas
17 09:15:30 transportation agreement. Consequently, the
18 09:15:33 arbitration clause does the the
19 09:15:36 arbitration clause of the gas transportation agreement does
20 09:15:39 not apply. Let me give you a similar example. Imagine a a
21 09:15:47 contract between a supplier of timber and the producer
22 09:15:51 of furniture that contains a certain arbitration
23 09:15:54 agreement and the producer of the furniture then
24 09:15:57 sells these products it has produced to other parties.
25 09:16:00 So the contract between a and B contains an

01 09:16:03 arbitration clause for ICC with the in Vienna, ICC arbitration in
02 09:16:08 Vienna and the contract between b and
03 09:16:11 its customer c contains a different arbitration
04 09:16:15 clause. Also ICC, but with the place of arbitration in
05 09:16:17 Zurich. Now, if a dispute arises between the supplier
06 09:16:21 of the timber
07 09:16:21 and the producer, because the supplier hasn't delivered in order
08 09:16:26 to determine the losses that the producer has
09 09:16:28 from not being able to sell its products to its
10 09:16:31 customers. Is still an agreement that the
11 09:16:36 arbitral tribunal in in this damages case can take
12 09:16:39 into account in order to determine the losses, without
13 09:16:43 there being the need to apply the arbitration
14 09:16:45 agreement in the contract between b and its customers.
15 09:16:48 And the same issue is the one we are addressing here
16 09:16:52 today. So the gas transportation agreement is only a
17 09:16:55 preliminary issue that the tribunal has to consider.
18 09:16:59 The claimant claims damages because the
19 09:17:02 revenues of the GTA were lost and not because of a breach of
20 09:17:07 the gas transportation agreement. Therefore, the
21 09:17:12 tribunal is competent to decide claimant's claim for
22 09:17:17 transportation losses. Let me move on to the issue of objective
23 09:17:26 arbitrability of claimant's claims and the REMIT.
24 09:17:32 When discussing objective arbitrability. In other
25 09:17:35 words, the question what kind of disputes may be

01 09:17:39 subject to arbitration under Austrian law? The
02 09:17:42 definition of objective arbitrability in section 582
03 09:17:46 para one is the relevant standard, and this is why I
04 09:17:50 would like to briefly quote it to you. The section
05 09:17:53 says that any claim involving an economic interest
06 09:17:56 within the jurisdiction of the courts of law may be
07 09:18:00 subject of an arbitration agreement, an arbitration
08 09:18:03 agreement concerning claims not involving an economic
09 09:18:06 interest shall be legally effective, insofar as the
10 09:18:09 parties are
11 09:18:10 capable of concluding a settlement upon the matter in
12 09:18:13 dispute. So, before addressing the relevant criteria,
13 09:18:18 what is significant
14 09:18:19 is to to
15 09:18:21 determine objective arbitrability, one has to look
16 09:18:25 at the subject matter of the dispute, and the
17 09:18:27 subject matter of the dispute is defined by the relief
18 09:18:30 sought in the claim and the cause of action on
19 09:18:34 which
20 09:18:34 this relief is based, and the two relevant criteria we
21 09:18:39 have to look at is claim involving an economic
22 09:18:44 interest within the jurisdiction of the courts of law.
23 09:18:47 Claimant's claim for damages is involving an economic
24 09:18:51 interest. It's a damages claim
25 09:18:53 and it falls within the jurisdiction of the courts of law and therefore the criteria for objective

01 09:18:58 eligibility under Austrian law are fulfilled. Now. What is irrelevant for determining
objective arbitrability

02 09:19:12 under Austrian law is the differentiation

03 09:19:16 between public and private enforcement

04 09:19:21 of EU law. I will, however, briefly address it because

05 09:19:26 it's respondent somehow seems to

06 09:19:29 dispute that the breach of

07 09:19:33 article 5 REMIT can have different

08 09:19:34 conferences, different conflict, different consequences in public law and in

09 09:19:42 private law. Public enforcement is governed

10 09:19:49 by, for instance, article 18 REMIT. So it

11 09:19:53 falls within the competences of the national

12 09:19:56 regulatory authorities, which are supported by

13 09:19:59 the

14 09:19:59 association for the coordination of energy

15 09:20:02 regulators. And they might impose sanctions,

16 09:20:05 they might take administrative measures. And this is

17 09:20:08 the competence of the regulatory authorities.

18 09:20:13 Now, private enforcement and

19 09:20:16 Prof Pena will elaborate more on the concept of private enforcement

20 09:20:20 in in in in his presentation and report. Private

21 09:20:25 enforcement is based on the effectiveness of EU law.

22 09:20:29 There are cases in which the protection of the

23 09:20:33 individual interests require the possibility to also

24 09:20:38 bring a

25 09:20:39 damages claim for the violation of EU law and such

01 09:20:43 damages claim being the core of private
02 09:20:44 enforcement, falls within the competence of national
03 09:20:47 courts. So it's a damages claim seeking compensation
04 09:20:50 for the infringement of article 5 remedy. When we look at the
05 09:20:56 division between public and private enforcement of
06 09:20:58 EU law, on a more general basis, we can distinguish
07 09:21:01 between so-called standalone actions which are
08 09:21:05 brought
09 09:21:05 irrespective of proceedings before national regulatory
10 09:21:11 authorities and so-called follow on actions actions
11 09:21:14 which are brought after a national regulatory
12 09:21:19 authority has decided on an issue. The question of
13 09:21:24 objective arbitrability, and I'd like to stress that
14 09:21:26 once again must be distinguished from this
15 09:21:30 distinction between private and public
16 09:21:33 enforcement and must be distinguished from the
17 09:21:36 question whether violation of article 5 REMIT gives
18 09:21:38 rise to a damages claim of. According to section 1311
19 09:21:42 of the Austrian code of civil procedure. Now,
20 09:21:47 claimant's damages claim is based on a violation of
21 09:21:51 article 5 REMIT. It involves an economic
22 09:21:54 interest and falls within the jurisdiction of
23 09:21:56 ordinary courts. It is therefore objectively
24 09:21:59 arbitrable
25 09:22:00 under Austrian law,

01 09:22:02 claimant does not request this arbitral
02 09:22:05 tribunal to impose sanctions or penalties applicable
03 09:22:09 under administrative law. Therefore, the
04 09:22:12 competence
05 09:22:12 of public enforcement authorities, notably of the national regulatory
06 09:22:17 authorities and the association for the coordination
07 09:22:21 of energy regulators, is unaffected and remains
08 09:22:25 unaffected. In this regard. The objective of
09 09:22:27 probability does not depend on a prior infringement
10 09:22:32 decision by the national regulatory authorities. The decisions on the merits
11 09:22:37 of the issue is independent of our true
12 09:22:42 ability. This is also confirmed by the court of
13 09:22:46 justice's case law in the matter of competition law,
14 09:22:50 which held that the right of any person that considers
15 09:22:53 himself or herself prejudiced by an infringement of
16 09:22:56 competition law rules to seek compensation for the
17 09:23:00 harm suffered is independent of the prior finding of such infringement by a
18 09:23:06 competition authority. So the two
19 09:23:09 worlds of public and private enforcement, they
20 09:23:11 complement each other in order to guarantee the full
21 09:23:15 effectiveness of European Union law. Article 14 REMIT
22 09:23:24 does not change that analysis.
23 09:23:26 Article 14 REMIT
24 09:23:27 requires the member States to guarantee those affected by a
25 09:23:30 decision of a regulatory

01 09:23:31 authority, a right of appeal to a body independent of
02 09:23:36 the parties
03 09:23:37 involved and any government. But
04 09:23:40 this
05 09:23:40 provision is only relevant for public enforcement
06 09:23:45 and
07 09:23:45 for levels of instances and legal protection. In the
08 09:23:48 sphere of public enforcement, the provision is
09 09:23:51 irrelevant for determining the objective arbitrability
10 09:23:54 of the present dispute. It does not grant national regulatory
11 09:23:59 authorities exclusive
12 09:24:01 competence to decide on a breach of REMIT. As a 1st
13 09:24:05 instance. Respondent also argues that the public policy
14 09:24:12 nature of union law provisions under REMIT would
15 09:24:17 affect objective arbitrability. In the present case,
16 09:24:21 this is not correct. It has been held numerously by the court of
17 09:24:26 justice of the European Union, starting with
18 09:24:30 Swiss.
19 09:24:34 That public policy. Nature of the applicable EU law
20 09:24:37 provisions does not exclude the objective
21 09:24:40 arbitrability of a dispute. Most recently, general advocate Biondi in the
22 09:24:47 rebel case. Specifically highlighted. He. He said
23 09:24:53 that arbitral tribunals are not only bound, but he
24 09:24:57 even qualifies arbitral tribunals as the guarantors
25 09:25:00 that EU law will be applied correctly. So this

01 09:25:05 confirms that the public policy nature of
02 09:25:08 provisions does not exclude objective arbitrability
03 09:25:11 and this has also been confirmed by the Austrian
04 09:25:14 Supreme Court.
05 09:25:21 Members of the tribunal. Let me move on to the
06 09:25:25 party's choice of Austrian law. With regard to non
07 09:25:29 contractual claims and the Rome II regulation. At the outset of
08 09:25:36 this debate, it has to be highlighted that
09 09:25:42 conflict of laws, rules applicable are in arbitration.
10 09:25:45 Is it different world I would even say
11 09:25:49 than conflict of law rules applicable before
12 09:25:53 state
13 09:25:53 courts. Now the Rome II regulation does not apply to
14 09:25:56 the present arbitration and the Rome II regulation as the Rome one regulation was
15 09:26:04 not designed for arbitration. The
16 09:26:08 drafters of the Rome II regulations carefully also
17 09:26:12 avoided conflicts between the Rome II regulation and
18 09:26:15 international conventions, and article 28 para one
19 09:26:21 highlights that, and I quote this regulation shall not prejudice the application of
20 09:26:25 international conventions to which one
21 09:26:28 or more member states are parties at the time when
22 09:26:31 this regulation is adopted, and which laid down
23 09:26:34 conflict of laws, rules relating to Non-contractual
24 09:26:38 obligations? Let me come
25 09:26:38 back to the applicability of the European convention of
1961, which applies to the

01 09:26:40 present arbitration proceedings and contains in its
02 09:26:43 article 7 para one a conflict of law rule allowing the
03 09:26:48 parties to choose the applicable law to
04 09:26:50 non-contractual obligations, and it provides as
05 09:26:54 follows the parties shall be free to determine by
06 09:26:58 agreement the law to be applied by the arbitrators to
07 09:27:02 the substance of the dispute. So this provision confirms the very fundamental
08 09:27:13 principle of party
09 09:27:13 autonomy that guides international arbitration. We
10 09:27:18 can see that the conflict of laws, rules of the
11 09:27:22 European convention of 1961 were specifically designed for international arbitration.
12 09:27:29 They prevail over the provisions of the Rome II
13 09:27:32 regulation by acknowledging
14 09:27:34 the principle of party autonomy. Article 7 follows
15 09:27:38 the conflict of laws principles that are embedded in most
16 09:27:43 international arbitration laws and institutional
17 09:27:46 arbitration rules, notably in section 603 of the
18 09:27:49 Austrian Code of Civil
19 09:27:50 Procedure and article 21 of the ICC rules. Consequently, any restrictions contained
20 09:28:00 in article 6 para four of the
21 09:28:02 Rome II regulation do not apply and can therefore not
22 09:28:06 invalidate the party's choice of Austrian law. In
23 09:28:09 article 14.1 of the contract, which expressly extends
24 09:28:14 to torture's liability. Now, even if the European
25 09:28:22 convention did not prevail, the parties choice of

01 09:28:26 Austrian law would be valid. In the present case, the
02 09:28:31 Austrian lex arbitrary follows and allows follows the
03 09:28:35 principle of party autonomy and allows the parties to
04 09:28:38 choose not only the applicable law, but it also, as a
05 09:28:41 1st step, allows the parties to choose the applicable
06 09:28:44 conflict rules relevant for determining the applicable
07 09:28:47 law by agreeing to the application of the ICC rules,
08 09:28:50 the parties expressly chose the conflict rule embedded
09 09:28:55 in article 21 ICC rules, which also states that the
10 09:29:01 parties shall be free to agree upon the rules to be
11 09:29:04 applied by the arbitral tribunal to the merits of the
12 09:29:07 dispute. Members of the tribunal, the
13 09:29:12 arbitral
14 09:29:13 arbitral tribunals in the past have honored such a
15 09:29:19 choice by deciding by deciding on the applicability
16 09:29:25 to non on
17 09:29:26 the applicable law to Non-contractual claims. And this
18 09:29:31 decisions, and I referenced the ICC case
19 09:29:37 number 2125 should or could provide guidance for the
20 09:29:41 present arbitral proceeding. Let me reiterate that
21 09:29:48 the Rome II regulation does not directly apply in
22 09:29:51 international arbitration, and it does not replace the
23 09:29:53 conflict of rules, conflict of laws, rules
24 09:29:56 specifically designed for international arbitration.
25 09:30:01 Only those provisions of the Rome II regulation that form

01 09:30:04 part of European public policy might be relevant in the
02 09:30:09 arbitration.
03 09:30:11 Members of the tribunal. In my view, the restriction
04 09:30:14 of parties autonomy to choose the law applicable to a
05 09:30:17 non-contractual obligation arising out of an act
06 09:30:20 of unfair competition or restriction of
07 09:30:23 competition
08 09:30:24 embedded in article 6. Para four of the Rome II
09 09:30:27 regulation aims
10 09:30:29 to avoid the circumvention
11 09:30:31 of
12 09:30:31 the law of the affected market. So this is a very
13 09:30:36 specific purpose of this restriction of party
14 09:30:39 autonomy, where otherwise party autonomy is also
15 09:30:41 acknowledged by the Rome II regulation. So this restriction
16 09:30:46 could only be
17 09:30:47 relevant in a case such
18 09:30:50 circumvention is present.
19 09:30:51 However, the party's choice of Austrian law does not
20 09:30:54 amount to such circumvention
21 09:30:56 because it does not lead to the
22 09:30:58 application, and this is significant of a less
23 09:31:03 stringent liability regime. So it does not lead to a
24 09:31:07 situation where.
25 09:31:10 Competition rules could be avoided. In any case, the

01 09:31:15 restriction of party autonomy in article 6, para four
02 09:31:17 of the Rome II regulation has
03 09:31:19 been heavily criticised in literature, which underlines the
04 09:31:24 fact that this provision should not be
05 09:31:26 qualified as
06 09:31:27 European public policy. Before concluding, let me briefly also address the
07 09:31:36 significance or insignificance of the conflict of
08 09:31:40 laws. Question the tribunal has to resolve because, in
09 09:31:44 any
10 09:31:44 case, the laws of the member
11 09:31:45 states must comply with the union law principle of
12 09:31:49 effectiveness. So the full practical effectiveness of
13 09:31:53 competition law could be endangered by national
14 09:31:56 concepts of causation between the harmful event and
15 09:32:00 the damage occurred, or by different damages laws in
16 09:32:04 general. So the private enforcement of competition
17 09:32:07 law must
18 09:32:08 be equally effective in all member states. Therefore,
19 09:32:11 it cannot make a difference from this perspective
20 09:32:14 whether Austrian, Croatian or Hungarian law applies.
21 09:32:18 Applying the causation requirement that hinders
22 09:32:21 the full effectiveness of the enforcement of EU
23 09:32:24 competition law would conflict with EU public policy
24 09:32:28 and on this basis, the question of which domestic
25 09:32:32 damages law applies becomes less relevant. Members of

01 09:32:37 the tribunal. Let me conclude the
02 09:32:40 arbitration agreement covers claimant's claim for
03 09:32:43 unlawful market manipulation. The tribunal is also
04 09:32:48 competent to decide claimant's claim for
05 09:32:51 transportation losses under Austrian law. Claimant's
06 09:32:54 claims, based on a
07 09:32:56 violation of article 5 REMIT, are objectively
08 09:32:59 arbitrable and the Rome II regulation does not
09 09:33:02 apply
10 09:33:02 in the present arbitration proceedings. Therefore, it
11 09:33:05 does not invalidate the party's
12 09:33:07 choice of Austrian law to govern non-contractual
13 09:33:11 claims. Thank you.
14 09:33:13 PRESIDENT: Thank you very much, Ms Soldatenkova.
15 09:33:17 MS PETKUTE: May I just before we start with
16 09:33:19 cross-examination? I don't see the transcript on the
17 09:33:23 screen, so.
18 09:33:25 PRESIDENT: Let's take a minute to fix this. Did you see
19 09:33:35 your own slides when you were.
20 09:33:37 MS PETKUTE: Yes, I, I had them. Thank you.
21 09:33:41 PRESIDENT: Could you.
22 09:33:45 MS PETKUTE: Niteworks. Thank you.
23 09:33:49 PRESIDENT: Let us know if it stops or if there is any
24 09:33:52 concern.
25 09:33:52 Q Sometimes it does stop.

01 09:33:56 PRESIDENT: Only sometimes. Respondent you have the
02 09:34:02 floor.
03 09:34:02 MS PETKUTE: Good afternoon.
04 09:34:03 Q Dr Koller. My name is Natalia Soldatenkova. I am
05 09:34:05 counsel for the respondent Gazprom Export. I will ask
06 09:34:08 you a series of brief questions concerning your expert
07 09:34:11 report. And as we have limited time, I would be very
08 09:34:14 grateful if you could please answer specifically the
09 09:34:16 questions that you ask, and I apologise in advance if
10 09:34:18 I may need to interrupt you, and I will certainly try
11 09:34:21 to avoid that. But I will ask you to refer to a
12 09:34:25 document. You will see the document on the screen.
13 09:34:28 And thank you once again for being present here today,
14 09:34:33 Dr Koller, and your 1st report and the presentation.
15 09:34:36 You opined on the interpretation of the arbitration
16 09:34:37 clause. And in this respect, you referred to exhibit
17 09:34:43 c, w 911. Can we please open that exhibit for the API
18 09:34:48 operator? That would be tab k1 797. This is the
19 09:34:57 decision of the Supreme Court referenced on your slide
20 09:35:01 of 2020. If you could, please go to page 6 of the PDF.
21 09:35:18 MS PETKUTE: If you could make it a little bigger, I
22 09:35:20 would. Yes.
23 09:35:21 Q We should indeed. If you could go to page 6. Yes.
24 09:35:27 And a little bit lower to the bottom of that page.
25 09:35:38 MS PETKUTE: Next page.

01 09:35:40 Q Should we move to next page please? I'm apparently
02 09:35:42 referring to the key to the page reference in the PDF
03 09:35:46 file, which does not match. Match? Yes. Can we go
04 09:35:51 to the last paragraph, please? I will give you some
05 09:35:57 time to review because this paragraph sets out
06 09:36:00 essentially the factual background of the dispute that
07 09:36:02 was considered by the arbitral tribunal. Which
08 09:36:06 decision was the subject of the Austrian court
09 09:36:08 decision?
10 09:36:24 MS PETKUTE: Which paragraph are you exactly referring
11 09:36:25 to, or which part of this paragraph.
12 09:36:29 Q I'm referring to the entirety of the paragraph in the
13 09:36:31 sense of the factual background. I will try to
14 09:36:33 summarise it and please let me know if you disagree.
15 09:36:36 So in essence, plaintiff argued that the defendant had
16 09:36:39 a dominant position on the market for the transport of
17 09:36:42 gas from Slovakia to Italy because it was one of the
18 09:36:46 pipeline, and that was the only pipeline available in
19 09:36:50 that direction. The plaintiff had no choice
20 09:36:52 accordingly but to conclude the long-term contract
21 09:36:54 with the defendant on the defendant's conditions. Is
22 09:36:57 it a correct summary of the facts which you can see on
23 09:37:00 the screen?
24 09:37:01 A I will briefly read again.
25 09:37:03 Q Of course.

01 09:37:32 A That is a paraphrasing of of the last of the last
02 09:37:35 paragraph of this of this paragraph you're showing me.
03 09:37:39 Yes.
04 09:37:40 Q Thank you, thank you. Let's now go to the next page
05 09:37:43 and on the top we will see two paragraphs describing
06 09:37:46 essentially the legal position of the plaintiff. In
07 09:37:49 that case. So the plaintiff's primary position in
08 09:37:54 arbitration was that the contracts were void due to
09 09:37:57 the breach of article 102 of the Treaty on the
10 09:38:00 Functioning of the European Union, correct?
11 09:38:03 A Yes.
12 09:38:04 Q And the next paragraph describes the alternative basis
13 09:38:07 of the plaintiff's claims. The plaintiff argued that
14 09:38:10 it would not have concluded long-term contracts if it
15 09:38:13 was not for the defendant's breach of article 102
16 09:38:17 TFEU, is that right? And it thus claimed that the
17 09:38:19 duration of the contracts and laws, the under are a
18 09:38:22 direct consequence of the breach under article 102.
19 09:38:25 Correct.
20 09:38:26 A I will read it. So the damage was caused to the
21 09:38:41 plaintiff by the contractual services to be rendered
22 09:38:44 by it. It would not have concluded the contracts if
23 09:38:47 the defendant had not abused its dominant market
24 09:38:50 position, the duration of the long-term contracts and
25 09:38:53 consequently the plaintiff's loss are a direct

01 09:38:56 consequences of the defendant's infringement of
02 09:38:59 article 102. Yes, yes.
03 09:39:01 Q So essentially that was the consequence of the
04 09:39:03 conclusion of the contract which was procured by the
05 09:39:06 breach of article 102. Right.
06 09:39:12 A Yes.
07 09:39:13 Q Thank you. Can we now please go to page 10 of the
08 09:39:16 same file? That should be ten in PDF, but we need to
09 09:39:20 be corrected once again. We need next page. And if
10 09:39:38 we look at the paragraph on top, can I please ask you
11 09:39:43 to look at the 3rd line of the 1st paragraph and I
12 09:39:46 would I will read it out loud for everyone. The abuse
13 09:39:49 of the dominant position and therefore functionally
14 09:39:52 closely connected to the conclusion of the contract,
15 09:39:55 the violation of article 102 TFEU had the consequence,
16 09:39:58 according to the position taken by the plaintiff and
17 09:40:00 the arbitration proceedings, that it suffered damage
18 09:40:03 due to the creation of the contractual obligations. This alleged damage is therefore
19 09:40:08 closely
20 09:40:09 linked to
21 09:40:09 the
22 09:40:09 conclusion of the capacity contract.
23 09:40:13 A Could you scroll up a bit bit more? There is another
24 09:40:19 paragraph in the decision stop. And. So the difference
25 09:40:37 between this case and our case is that in
26 09:40:38 this case, as you can see in in in

01 09:40:43 para 3.3 that

02 09:40:45 the arbitral tribunal the arbitration clause was

03 09:40:49 referring to any disputes arising between the parties under

04 09:40:52 this agreement. So it was a rather narrow

05 09:40:55 arbitration clause in comparison to the one we

06 09:40:58 are

07 09:40:58 facing in this arbitration proceedings.

08 09:41:01 Q Okoli your anticipating the question that I did not

09 09:41:03 ask, can we go back to the paragraph which we read

10 09:41:07 before, please? Could we go to page 10 of the

11 09:41:13 PDF

12 09:41:13 file, please? So if you look once again at the

13 09:41:17 sentence, starting with the abuse of the dominant

14 09:41:19 position and therefore functionally closely

15 09:41:22 linked, my

16 09:41:22 question is basically about that particular case,

17 09:41:24 not

18 09:41:25 about the comparison with our case. Is it correct that the claim in that case related to

19 09:41:30 the conclusion of the contract

20 09:41:31 which

21 09:41:32 was procured by the abuse of dominance based on the facts of that very case?

22 09:41:37 A Well, in that case, the abuse of the dominant position

23 09:41:39 had an impact impact on the conclusion of the

24 09:41:43 contract, as far as I understand it.

25 09:41:45 Q Thank you. And it is that particular claim which was

01 09:41:47 found to be covered by the arbitration agreement.

02 09:41:49 Correct.

03 09:41:52 A Unless there were any other claims raised and not

04 09:41:55 directly mentioned here. Yes.

05 09:41:57 Q Thank you. Now, at page 6 of your presentation, you

06 09:42:01 are saying that according to the claim, as formulated

07 09:42:04 respondents, abusive conduct directly affected the

08 09:42:07 performance of the contract via the contractual price

09 09:42:10 formula packed to the TTF price reference index. Do

10 09:42:14 you confirm this statement?

11 09:42:15 A Yes.

12 09:42:17 Q So all analysis in your report is based on this

13 09:42:19 understanding of the claimant's claims, correct.

14 09:42:22 A Well, this is only a very brief summary of the as. As

15 09:42:29 claimants claim is formulated for the purpose of this.

16 09:42:32 Of this presentation. You would of course have to

17 09:42:37 look at all the submissions on how the claim is

18 09:42:40 formulated, but the connection to the contract is the

19 09:42:46 or the performance of the contract is. Is is the

20 09:42:48 connection to the contractual price formula.

21 09:42:51 Q Thank you. And if claimant had made different claims

22 09:42:55 not connected to the contract price, your conclusion

23 09:42:57 could have been different, correct? I emphasise the word could

24 09:43:11 because I understand that, of course, you could not say definitively

25 09:43:14 whether it would or would not. That would depend

01 09:43:16 on

02 09:43:17 the claim.

03 09:43:25 A My my conclusion would not have been different, because

04 09:43:29 under the European convention. The arbitration clause

05 09:43:36 can be extremely broad and refer to all contractual

06 09:43:41 and non-contractual claims and. And therefore, I

07 09:43:45 don't see any requirement of a sufficient connection test.

08 09:43:51 So

09 09:43:51 it it would not have been different. It would, of course depend on how the claim is formulated, but it

10 09:43:57 would not necessarily change the conclusion because

11 09:44:00 if

12 09:44:00 you see on the top of the slide, this slide starts

13 09:44:03 with even if the arbitration clause only refers to

14 09:44:06 disputes arising out of the contract, which is not the

15 09:44:08 case.

16 09:44:09 Q But of course, ultimately the conclusion depends on

17 09:44:11 how the claim is formulated. Correct?

18 09:44:27 A Which conclusion exactly are you referring to?

19 09:44:29 Ultimately depends on the interpretation of the

20 09:44:31 arbitration agreement.

21 09:44:33 Q Yes. And whether the claim falls under the

22 09:44:35 arbitration agreement as interpreted depends on how

23 09:44:38 the claim is formulated, right?

24 09:44:40 A Yes.

25 09:44:40 Q I have a hypothetical question in this respect.

01 09:44:44 Imagine that ETF front month index rose, and as a
02 09:44:47 result, the claimant's counterparties did not pay the
03 09:44:50 invoices in time. They did not buy gas from claimant
04 09:44:53 or refused to hedge its transactions because the gas
05 09:44:56 price was too expensive or, say, ordered less gas.
06 09:45:00 And usually there is no contract in place in my
07 09:45:03 hypothetical example. But claimant believes that the
08 09:45:06 gas prices rose because of the respondent's market
09 09:45:09 manipulation. Would the claimant be able to bring a
10 09:45:12 claim against respondent? I'm looking at the
11 09:45:45 transcript and there was no.
12 09:45:47 Usually in my hypothetical example, there is no
13 09:45:49 contract in place. That was what I want to say.
14 09:45:53 A But if. If there is no contract in place between the
15 09:45:56 parties, there is. There is no business relationship,
16 09:46:05 there is no as the European convention puts it, trade
17 09:46:13 relationship. So I, I don't see in your
18 09:46:16 hypothetical
19 09:46:17 how there can be an arbitration agreement.
20 09:46:19 Q Yes. I'm not asking about the arbitration agreement.
21 09:46:22 I'm asking about whether a claim could be possible
22 09:46:25 against the respondent in a scenario which I
23 09:46:29 described.
24 09:46:30 A So you essentially asking me whether a claim under
25 09:46:32 European law could be possible? Yes. In in such a

01 09:46:36 scenario.

02 09:46:38 MS PETKUTE: Due to.

03 09:46:39 Q The breaches associated with the rise in the gas

04 09:46:43 price, due to damages associated with the rise in the

05 09:46:45 gas price, rather.

06 09:46:46 A Than, strictly speaking, not opined on the substance

07 09:46:53 of claimant's damages claim under REMIT. But assuming

08 09:46:57 there there is a claim for violation and there is a

09 09:47:00 violation of article 5, there could be could be a damages

10 09:47:04 claim and if there is no contract at all, then

11 09:47:08 I don't see how there could be an arbitration agreement and the debate would be

12 09:47:15 Q And in my hypothetical example, that would be a claim

13 09:47:18 in tort. Given that there is no contract, right?

14 09:47:21 A It would be a damages claim on the on the Austrian law

15 09:47:26 applying section 1311 of the Austrian Code of

16 09:47:29 Civil Procedure, Austrian Civil Code.

17 09:47:31 Q And such claim would be filed to a competent national

18 09:47:33 court. Correct. If there is no contract with the

19 09:47:36 arbitration agreement.

20 09:47:37 A If there is no contract with an arbitration agreement,

21 09:47:39 that's correct.

22 09:47:41 Q Thank you. You also mentioned at slide 3 of your

23 09:47:44 presentation, with reference, inter alia, to the

24 09:47:46 Austrian Supreme court decision, which we have read

25 09:47:49 before, that parties

01 09:47:51 typically have an intention to
02 09:47:52 avoid a division of jurisdiction between different
03 09:47:54 fora. Do you confirm this statement?
04 09:47:58 A Yes, I do confirm the statement.
05 09:48:00 Q You also suggest at slide 5 of the presentation that
06 09:48:04 the requirement of a defined legal relationship under
07 09:48:07 article 2 of the New York Convention and section 51881
08 09:48:14 of the Austrian Civil Code are fulfilled by. The
09 09:48:17 arbitration agreement refers to the parties business
10 09:48:20 relationship. Is it correct?
11 09:48:30 A That's correct.
12 09:48:32 Q You, of course, have a. And in fact, you refer to it
13 09:48:34 in the presentation that the parties also concluded the gas
14 09:48:37 transportation agreement. Right.
15 09:48:39 A Right.
16 09:48:41 Q The contract was concluded on 11th of September 2017,
17 09:48:45 and the gas transportation agreement on 29th of
18 09:48:49 September 2017. This is just 18 days difference,
19 09:48:53 right?
20 09:49:03 A I'm not as quick as calculating as you are, but I must
21 09:49:07 be around 18 days.
22 09:49:08 Q Which is close in time. Now, the purpose of the gas
23 09:49:12 transportation agreement was to physically transport
24 09:49:14 gas to be supplied under the contract. Right.
25 09:49:20 A I haven't looked at the purpose of the gas

01 09:49:23 transportation agreement, so I cannot answer that
02 09:49:25 question.
03 09:49:27 Q But you would agree with me that the gas
04 09:49:29 transportation agreement relates to the party's
05 09:49:31 business relationship, doesn't it?
06 09:49:34 A Yeah. It's 11 agreement forming part of the business
07 09:49:38 relationship. Yes.
08 09:49:39 Q Let's look what gas transportation agreement has to
09 09:49:42 say about arbitration. Please pull up exhibit cet1.
10 09:49:47 That is step G 1.81. And can we please now go to page 9 of the PDF. That should be
11 09:50:08 article 12. Can you please zoom it because it's too
12 09:50:14 small. The font. Can I please ask
13 09:50:26 you to read from the last paragraph of this article?
14 09:50:26 That would be paragraph d.
15 09:50:28 A All right. The seat of the arbitration shall be
16 09:50:33 Zurich, Switzerland. The language of arbitration
17 09:50:36 shall be English. The law of arbitration is the law
18 09:50:40 of the confederation of Switzerland.
19 09:50:44 Q And the contract provides for a seat in Vienna,
20 09:50:47 Austria. Right.
21 09:50:50 A The sales contract.
22 09:50:51 Q The sales contract? Yes, yes. So the parties did not
23 09:50:55 intend to submit the entire business relationship to
24 09:50:58 one forum, did they?
25 09:51:06 A If you could scroll up a little bit that I can look at
the entire clause of 12.2. And when you look at

01 09:51:17 literature a, it says that any dispute arising out of
02 09:51:20 or connected with this agreement, including without
03 09:51:23 limitation, the dispute to the validity or existence
04 09:51:26 of this agreement, shall be resolved by arbitration in
05 09:51:27 accordance with the rules of arbitration of the
06 09:51:31 international Chamber of Commerce. So what I can
07 09:51:35 derive from reading this arbitration agreement,
08 09:51:37 together with the arbitration agreement contained in
09 09:51:42 the sales contract, which is formulated much broader,
10 09:51:46 that in any case, the parties wanted to avoid state
11 09:51:50 court proceedings. It appears that for the gas
12 09:51:54 transportation agreement, they have selected for a
13 09:51:59 different seat of arbitration, which does not,
14 09:52:04 however, tell us anything about the scope of
15 09:52:08 the agreement containing article 14 of the sales
16 09:52:10 contract.

17 09:52:11 Q But you would agree with me is that if the parties had
18 09:52:15 one claim under the contract and one claim under the
19 09:52:17 Gas transportation agreement, those two claims would
20 09:52:20 be considered in two different fora, one in
21 09:52:23 arbitration with a seat in Austria and another in
22 09:52:26 arbitration with a seat in Zurich.

23 09:52:33 A Yes. And and this is significant for the present
24 09:52:38 purposes also because there is no claim under the gas
25 09:52:41 transportation agreement that has been raised in this

01 09:52:43 arbitration.

02 09:52:45 Q Let's agree to disagree on this. Now, if we move to

03 09:52:47 the European convention, on which you also opined in

04 09:52:50 your 1st report, you conclude that the European

05 09:52:54 Convention on International Commercial Arbitration

06 09:52:55 governs the present arbitration clause. Right.

07 09:52:58 A Correct.

08 09:53:00 Q Article 1.1 of the European convention limits the

09 09:53:03 scope of its application to arbitration agreements

10 09:53:06 concluded for the purposes of settling disputes, and I

11 09:53:08 quote, arising from international trade. Correct.

12 09:53:15 A Could you could you show me the exhibit where the

13 09:53:20 article 1.1 is, of course, reproduced?

14 09:53:23 Q Can we please open tab l 2452? That is exhibit r l

15 09:53:38 457. And if you could open article 1.1, please. We

16 09:53:42 need to scroll down. That should be page 14. Yes.

17 09:53:59 A This convention shall apply to arbitration agreements

18 09:54:01 concluded for the purpose of settling disputes arising

19 09:54:05 from international trade between physical or legal

20 09:54:07 persons having. When concluding the agreement, the

21 09:54:10 habitual residence or their seat in different

22 09:54:12 contracting states. Yes.

23 09:54:15 Q So if the claim is not arising from international

24 09:54:19 trade under the European convention, it is not covered

25 09:54:21 by the arbitration agreement.

01 09:54:26 A In a hypothetical case, yes, but the present claims,
02 09:54:32 in my view, are clearly arising from international
03 09:54:35 trade.
04 09:54:37 Q So competition law and the claim arises from
05 09:54:39 international trade, in your opinion.
06 09:54:41 A Exactly. Because the term international trade covers
07 09:54:44 contractual as well as non-contractual claims.
08 09:54:49 Q You cite paragraphs 12 and 12 b of exhibit Arielw 459
09 09:54:55 in support of your contention that reference to
10 09:54:57 international trade must be interpreted not by
11 09:55:00 reference to national law, but rather autonomously, as
12 09:55:02 you right now suggest. Is it right.
13 09:55:06 DR REINER: Not to, I understand.
14 09:55:06 A Could you please show me the exhibit?
15 09:55:08 Q Of course. That would be tab l2 454. And this is
16 09:55:16 exhibit RL 459. And if you could please go to page.
17 09:55:21 I think it should be page 3 of this document.
18 09:55:26 A So this is the commentary by Dominic usher.
19 09:55:29 Q Yes. I think it's too close right now. This document
20 09:55:32 we lost it. While we are trying to recover the file.
21 09:55:39 I have a different question. Would you agree that not
22 09:55:42 only EU member states are parties to the European
23 09:55:44 convention?
24 09:55:51 A I agree.
25 09:55:54 Q And you suggested autonomous interpretation of the

01 09:55:58 term international trade. In the meaning recognized
02 09:56:03 by the convention, but it could not possibly amount to
03 09:56:06 trade and understood only in the European Union.
04 09:56:08 Correct. Because not only EU states are parties to
05 09:56:12 the convention.
06 09:56:46 A Respectfully, I don't really understand what you mean
07 09:56:49 by in the meaning recognised by the convention, but
08 09:56:51 could not possibly amount to trade.
09 09:56:53 Q Let me rephrase my question. So the suggested
10 09:56:57 autonomous interpretation of the term international
11 09:57:00 trade in meaning recognised by the convention, it
12 09:57:02 could not amount to trade as understood only in the
13 09:57:05 European Union. Correct. Because the parties to the
14 09:57:08 convention are parties. They include states which are
15 09:57:12 not member states to the European Union.
16 09:57:15 A But the autonomous interpretation of the European
17 09:57:17 convention is is a question of international public
18 09:57:19 law. It does not depend on the member states. The
19 09:57:23 laws of the member states that are party to this
20 09:57:25 convention.
21 09:57:26 Q Thank you. Now we have the document back. So you
22 09:57:30 referred to paragraphs 12 and 12(b), which we can see
23 09:57:33 on the screen. But before we discuss them, can I
24 09:57:37 please invite you to look at the paragraph just above.
25 09:57:39 That would be paragraph 9, the same page of the PDF.

01 09:57:42 We just need to go up a little bit. We keep losing
02 09:57:49 this document. Can I please ask you to read paragraph 9
03 09:57:57 out loud?
04 09:57:59 A There was general agreement among the drafters that an
05 09:58:03 attempt to provide a uniform definition of the
06 09:58:06 commercial character of the dispute would be
07 09:58:08 exceedingly difficult, owing to the variety of
08 09:58:12 meanings and scope given by the various legal systems
09 09:58:15 to this concept. The preparatory works indicate that
10 09:58:19 for the purpose of article 1 per 1 liter a, the
11 09:58:22 test
12 09:58:23 should be. Whether the dispute submitted to
13 09:58:25 arbitration is of is of a commercial nature in
14 09:58:28 accordance with the laws of all the countries with
15 09:58:31 which the parties are related.
16 09:58:33 Q So this paragraph states there was no general
17 09:58:35 agreement by the drafters how to define international
18 09:58:38 trade within convention. Right.
19 09:58:41 A This is what the paragraph states.
20 09:58:44 Q It further states that the preparatory work indicates
21 09:58:46 that the test as to whether the dispute is of
22 09:58:49 commercial nature requires assessment of the laws of
23 09:58:51 all the countries with which the parties are related.
24 09:58:54 Correct.
25 09:59:14 A Interestingly, this paragraph doesn't cite any

01 09:59:18 reference to the alleged preparatory works, so I
02 09:59:23 cannot assess whether this is really correct or not.
03 09:59:27 Q But it does contain a reference, doesn't it? Without
04 09:59:30 specifying, of course, the exact page or volume of the
05 09:59:34 preparatory works.
06 09:59:36 A I it's it's it's an allegation that this happened.
07 09:59:39 Yes.
08 09:59:40 Q And paragraphs 12 and 12(b) is to which you referred,
09 09:59:42 do not contain any reference to the agreement between
10 09:59:45 the drafters or preparatory work for the European
11 09:59:48 convention. Isa. Do they. They don't even contain a
12 09:59:52 mention that there was a general agreement or there
13 09:59:55 was something in the preparatory works.
14 09:59:58 A Let me briefly read it again. Of course, the
15 10:00:01 criterion international trade could be interpreted
16 10:00:04 autonomously instead of by reference to the relevant
17 10:00:06 national legal systems, and autonomous interpretation
18 10:00:08 would expand the scope of application of the
19 10:00:10 convention and would be in line with the modern
20 10:00:13 approach to international commercial arbitration. In
21 10:00:14 light of the more recent work achieved in this field,
22 10:00:17 such as Uncitral. 12(b) says the criterion
23 10:00:23 international trade does not require that the parties
24 10:00:26 be considered under their own national laws as
25 10:00:30 commercial persons. And could you scroll down a

01 10:00:34 little bit? Paragraph 13 is also relevant because it

02 10:00:39 highlights that in one award, the arbitrators.

03 10:00:41 Interpreted the phrase international trade as an

04 10:00:44 independent, self-contained concept for the purpose of

05 10:00:46 the convention. And this is the view I also support.

06 10:00:49 And in my view, this is the convincing view how to

07 10:00:54 interpret this term.

08 10:00:56 Q But once again, no reference to the general agreement,

09 10:00:59 no reference to preparatory works, right?

10 10:01:02 A Correct.

11 10:01:04 Q I have a question in this respect. Respondent is a

12 10:01:07 Russian entity and claimant is a Croatian entity.

13 10:01:09 Right. But you did not, of course, assess the content

14 10:01:13 of Russian or Croatian law in this respect. Correct?

15 10:01:19 A I'm not an expert on Russian or Croatian law.

16 10:01:22 Q Thank you. Now, Doctor Kola, you also opined on the

17 10:01:25 room to regulation. Let's open this regulation. This

18 10:01:29 is exhibit RL 496. And for the operator that is tab l

19 10:01:36 .2. 491. Can we please go to page 5 where article 6

20 10:01:59 which is a subject of discussion, is contained?

21 10:02:06 Please go up a little bit. Yes. Can you please read

22 10:02:10 the 1st paragraph of article 6?

23 10:02:15 A With pleasure. The. The law applicable to a

24 10:02:18 non-contractual obligation arising out of an act of

25 10:02:23 unfair competition shall be the law of the country,

01 10:02:25 where the competitive relations or the collective
02 10:02:30 interests of consumers are or are likely to be
03 10:02:33 affected.
04 10:02:34 Q Thank you. Let's now look at the bottom of the page
05 10:02:36 where you can see the last paragraph of the same
06 10:02:39 provision. It says the law applicable under this
07 10:02:43 article may not be derogated from by any by an
08 10:02:46 agreement pursuant to article 14. Correct. That is
09 10:02:49 what stated here.
10 10:02:51 A Stated there. Yes.
11 10:02:55 □202603230043 Q Dr Koller, section 611 of the Austrian Civil code,
12 10:03:00 which is the arbitration law of the seat of
13 10:03:01 arbitration, provides. The arbitral award shall be
14 10:03:04 set aside if it conflicts public policy. Yes. Civil
15 10:03:11 procedure of course. Civil procedure code.
16 10:03:16 A Which subsection are you referring?
17 10:03:19 Q Section 611.
18 10:03:19 A Could you show me the exhibit, Prof?
19 10:03:22 MS PETKUTE: Carla, could you get closer to the
20 10:03:23 microphone?
21 10:03:23 A Could you please show me the exhibit?
22 10:03:25 Q Let me look for the tab reference.
23 10:03:29 MS PETKUTE: 501.
24 10:03:32 Q That would be RL 501. But let us find the tab number.
25 10:03:43 Yes, this is a document. Can we scroll down please?

01 10:03:55 All the way down to section 611. Here we have it.

02 10:04:08 And this provision begins with an arbitral award shall

03 10:04:11 be set aside. If I'm reading for paragraph 2. And if

04 10:04:14 we go to the next page, because the ground concerning

05 10:04:18 public policies on the next page. At 0.8, it is

06 10:04:26 stated the arbitral award conflicts with the

07 10:04:28 fundamental values of the Austrian legal system or the

08 10:04:31 public. Correct?

09 10:04:35 A Correct.

10 10:04:37 Q Dr. Carla, you of course aware that article 14 of the

11 10:04:40 contract also requires any arbitral award to be

12 10:04:43 enforceable under the New York convention? Right.

13 10:04:51 A Can we look at the contract again?

14 10:04:53 Q Of course, that this article on which you opined. Now

15 10:04:57 that would.

16 10:04:57 A Be exhibit, I don't know all the articles by heart.

17 10:04:59 Q That would be exhibit c01c1, basically. That would be

18 10:05:17 j .1.1 for the operator. Yes. And

19 10:05:32 can we go to article 14 please? Now, specifically

20 10:05:42 referring to paragraph 4. Which states any arbitral

21 10:05:48 award shall be enforceable in accordance with the

22 10:05:49 rules of the New York Convention of 1958 on the recognition and

23 10:05:55 enforcement of Foreign arbitral

24 10:05:57 awards.

25 10:05:59 A I see that.

01 10:06:02 Q And public policy is also one of the grounds for
02 10:06:04 refusal to enforce an arbitral award under article 5
03 10:06:07 of the New York convention, correct?
04 10:06:10 A That is correct.
05 10:06:12 Q Let's go back to the Rome II regulation. That is the
06 10:06:14 document which we were looking previously. Not the
07 10:06:19 Austrian code, but the regulation just before they
08 10:06:22 were strangled. The previous document. Yes. Can we
09 10:06:32 please go to page 9 of the PDF? There is a
10 10:06:40 wrong page, I think. Could we go up please, to the
11 10:06:43 recitals? We will need recital 21. This is a wrong provision.
12 10:06:52 You need to go up. Please. It's the
13 10:06:54 beginning of the document. That
14 10:06:57 should be page 2. Yes. Can you please zoom
15 10:07:06 recital
16 10:07:06 21 a little bit? Can you see recital 21.
17 10:07:18 A Yes, I can.
18 10:07:18 Q Can I please ask you to read it out loud?
19 10:07:22 A The special rule in article 6 is not an exception to
20 10:07:27 the general rule in article 41, but rather a
21 10:07:32 clarification of it in matters of unfair competition,
22 10:07:36 the conflict of law rule should protect competitors,
23 10:07:41 consumers and the general public and ensure that the
24 10:07:45 market economy functions properly. The connection to
25 10:07:49 the law of the country, where competitive relations or

01 10:07:53 the collective interests of consumers are or are
02 10:07:57 likely to be affected affected generally satisfies
03 10:08:02 these objectives.
04 10:08:03 Q Thank you. So it is stated in recital 21 that the
05 10:08:06 objective of a conflict of law rule is to protect
06 10:08:09 consumers, competitors and the general public and
07 10:08:13 ensure that the market economy functions properly.
08 10:08:15 Correct.
09 10:08:17 A This is what recital 21 states.
10 10:08:20 Q Thank you. This means that article 6 protects general
11 10:08:23 public, doesn't it? And this is a public policy
12 10:08:27 objective.
13 10:08:33 A Well, I section recital 21 says it protects the
14 10:08:38 general public. That's true. Thank you. So it
15 10:08:40 doesn't say anything about the public policy nature of
16 10:08:44 article 6. And the point I was making is that an a
17 10:08:49 more stringent requirement would lead to a more
18 10:08:54 effective enforcement. And the the competition law
19 10:08:57 that applies in this case is, is the same all out.
20 10:09:00 The European Union.
21 10:09:02 Q Dr K?hler, do you suggest that the Croatian court
22 10:09:05 should always apply Austrian law causality test when
23 10:09:08 dealing with antitrust law disputes because it is more
24 10:09:12 stringent?
25 10:09:14 A I'm suggesting that the causality test that the

01 10:09:19 Croatian court applies have has to make sure that
02 10:09:23 European Union law competition law is enforced
03 10:09:27 effectively. And you can see from the jurisprudence
04 10:09:31 of, of of the Court of Justice when it comes to the
05 10:09:34 enforcement of European Union law, that the principle
06 10:09:39 of effectiveness tends to override principles of
07 10:09:44 general tort law of the member states when it's
08 10:09:47 considered to hinder the effective enforcement. And
09 10:09:50 that's why there is a leveling up between the
10 10:09:54 different conditions of causality and also different
11 10:09:58 issues of proof, for instance.

12 10:10:01 Q But isn't the causality test a question of national
13 10:10:04 law?

14 10:10:06 A This is where we disagree. The causality test has to
15 10:10:13 meet the standards that European law imposes for the
16 10:10:17 practical effectiveness of a prohibition. For
17 10:10:19 instance.

18 10:10:21 Q If I go back, go back to recital (21), which we agreed
19 10:10:27 protects the aim of article states that the aim of
20 10:10:30 article 6 is to protect the general public. It
21 10:10:33 further says in the last sentence that to satisfy this
22 10:10:36 objective, the applicable law shall be the one of the
23 10:10:38 country where competitive relations are affected.

24 10:10:41 Correct. I'm just referring to the wording of recital
25 10:10:47 (21).

01 10:10:48 A This is the wording of recital (21). Yes.

02 10:10:51 Q And if I put to you the claimant argues that the

03 10:10:54 respondent's conduct affected competitive relations in

04 10:10:57 Croatia. It means that under the logic of this

05 10:11:00 sentence, Croatian law should apply to the claimant's

06 10:11:03 claims. Right?

07 10:11:09 A Well, that's too broad a statement. You have to

08 10:11:12 differentiate between the competition law aspect of it

09 10:11:16 and the legal consequences that follow from a

10 10:11:19 violation of competition law. Now, the competition

11 10:11:22 law aspect is harmonised because it's either

12 10:11:27 article 12102 of the Treaty on the Functioning of the

13 10:11:30 European Union and article 5 REMIT, and the legal

14 10:11:34 consequences are the damages and also these legal

15 10:11:38 consequences have to meet the practical effectiveness

16 10:11:44 test that European Union law imposes. That's why

17 10:11:49 that's exactly why I said this conflict of laws

18 10:11:53 question is less relevant than it seems at 1st sight.

19 10:11:57 Q Dr Koller. So if there were legal systems in the EU

20 10:12:00 that envisage even a more stringent antitrust

21 10:12:02 liability regime than, say, Austrian law, then, and

22 10:12:05 you would would you find relevant provisions of this

23 10:12:08 legal systems rather than of Austrian law applicable

24 10:12:10 to the dispute at hand?

25 10:12:16 A No, this is not the point. The point is that when you

01 10:12:20 look at the case law of the European Court of Justice

02 10:12:23 in other areas, market market abuse, for instance, or.

03 10:12:30 Competition law in general, that the standard, the.

04 10:12:35 The Court of Justice formulates in its decision is.

05 10:12:45 Is a specific one for for causality not to hinder the

06 10:12:48 enforcement of EU law. So I would not come to the

07 10:12:51 conclusion that the most. How did you put it? Again.

08 10:12:56 Q The more stringent.

09 10:12:57 A The most stringent. How do you mean stringent?

10 10:13:00 Stringent in this respect?

11 10:13:01 Q Well, with the strictest rules with respect to

12 10:13:03 establishing causality.

13 10:13:05 A But strict rules establishing causality would mean

14 10:13:08 that there is less enforcement. Or do you mean strict

15 10:13:12 rules on liability? Because there is a very strict

16 10:13:18 rule on causality? It would mean less enforcement of

17 10:13:20 EU law.

18 10:13:23 Q I'm referring to the latter, where there would be

19 10:13:25 stricter rules for liability.

20 10:13:33 A Well, the idea is not to search for this for the

21 10:13:36 strictest, the strictest approach in the in in the

22 10:13:39 union. The idea is rather that the court decides on

23 10:13:45 how strict or not strict the the the European courts

24 10:13:49 finally then decide how strict or not strict the

25 10:13:52 approach has to be.

01 10:13:53 Q But isn't that effectively what you suggest when you
02 10:13:55 are saying that the Austrian law would achieve the
03 10:13:58 objectives of article 6?
04 10:14:07 A No. What I'm. What I'm suggesting is that when you
05 10:14:09 look at the purpose of this provision of
06 10:14:12 article 604, that it aims to avoid certain provisions on on
07 10:14:19 competition law
08 10:14:20 by
09 10:14:20 choosing a specific law. And this purpose of this
10 10:14:23 provision is also accomplished and guaranteed.
11 10:14:27 If
12 10:14:28 the. If the law the parties chose is. Establishes a even
13 10:14:37 stricter liability regime than the one that would apply
14 10:14:40 under
15 10:14:41 article 6 para, one of the Rome II regulation.
16 10:14:44 Q Dr. Just one last row of questions, so to say in this
17 10:14:46 matter, is it a fact that the contract provided for
18 10:14:49 gas supplies to Croatia.
19 10:14:57 A I didn't analyse that in my report, so I cannot answer
20 10:15:02 that.
21 10:15:04 Q As a matter of fact, it did. And to the best of your
22 10:15:08 knowledge, did the contract provide for payments to
23 10:15:11 Austria?
24 10:15:13 A I'm not aware of the payment schedule under the
25 10:15:16 contract.

01 10:15:16 Q As a matter of fact, it did not. And as we
02 10:15:19 determined, the parties to the contract are a Croatian
03 10:15:22 company and a Russian company, correct?
04 10:15:24 A Correct.
05 10:15:26 Q And as a matter of fact, supplies in payments under
06 10:15:27 the contract were not made in Austria. So the only
07 10:15:30 connection of this contract to Austria is a reference
08 10:15:33 to Austrian substantive law and Austrian seat. Right.
09 10:15:39 A Again, I would have to analyse all the contractual
10 10:15:42 provisions and the performance of the contract to
11 10:15:44 correctly answer that question.
12 10:15:45 Q But to the best of your knowledge.
13 10:15:49 A Cannot answer that to the best of my knowledge.
14 10:15:51 Q So you did not analyse the contract to the extent of
15 10:15:53 what was required with respect to the performance of
16 10:15:57 the party's obligations. Right? Only the arbitration
17 10:16:00 clause.
18 10:16:05 A Well, and insofar as issues of performance might be
19 10:16:09 relevant for the interpretation of the arbitration clause
20 10:16:12 and the issues of objective arbitrability and
21 10:16:15 the choice of law clause.
22 10:16:17 Q And can the place of performance be relevant to those
23 10:16:19 issues, such as, say, the issue of applicable law?
24 10:16:28 A Are you asking me hypothetically.
25 10:16:31 Q Hypothetically.

01 10:16:33 A A place of performance can play a role.

02 10:16:39 Q Thank you, Dr Cole. You also point on arbitrability

03 10:16:41 of the claimant's claims arising under the REMIT regulation.

04 10:16:44 Right. And you, of course, aware

05 10:16:48 that REMIT

06 10:16:48 regulation was not adopted under article 112, right?

07 10:17:02 A Article 112. Of which law are you referring to?

08 10:17:07 Q I'm asking whether the REMIT regulation was adopted

09 10:17:10 under article 102 or 10212.

10 10:17:17 A Article 102 of which code or.

11 10:17:19 Q The Treaty on the Functioning of the European Union.

12 10:17:20 A Can you please show me 112?

13 10:17:24 Q Maybe it's better to show you the REMIT regulation to

14 10:17:27 see whether it makes any reference to article 102.

15 10:17:32 A One or two or 112, 102, 102.

16 10:17:45 Q Can we please open the REMIT regulation? That would

17 10:17:48 be. Let me give you the tab number. While we are looking

18 10:18:11 for the REMIT regulation, I have a

19 10:18:13 different question. In your presentation, you cited

20 10:18:16 several cases that, in your opinion, support

21 10:18:18 your position on arbitrability of the claimant's claim under the REMIT. Let's
consider

22 10:18:23 those cases one by one. If you could

23 10:18:26 please go to the presentation of Dr Koller. Can we go

24 10:18:32 to page 10?

25 10:18:37 MS PETKUTE: Here?

01 10:18:37 Q You refer to exhibit c, w s 934, right?

02 10:18:45 A Correct.

03 10:18:45 Q This is the judgment of the Court of justice of 24

04 10:18:49 October 2018 in apple sales. Correct.

05 10:18:52 A You would have to show me the exhibit.

06 10:18:54 Q This is a case on which you are relying. But that

07 10:18:56 would be tab point k 1.821. I think we have the wrong

08 10:19:12 document on the screen. Yes, we have a wrong

09 10:19:16 document. That is exhibit c, w s 934 that we need.

10 10:19:23 To have K 1.821. Yes. Now we have the correct

11 10:19:28 document. If you could stay on the 1st page.

12 10:19:34 A Yes.

13 10:19:37 Q So this is a apple sales decision of the Court of

14 10:19:39 Justice. Now I have just one question. Did this case

15 10:19:42 concern an action under article 102 of the Treaty on

16 10:19:48 the Functioning of the European Union, or REMIT.

17 10:19:51 A Article 102.

18 10:19:53 Q Thank you. Now, if I could go back to the

19 10:19:55 presentation. Could we go to page 11, please? At

20 10:20:04 page 11, you refer to several other authorities.

21 10:20:07 First, you refer to exhibit c w 960. This is the

22 10:20:12 judgment of the Court of justice of one June 1999.

23 10:20:19 Naturally, that case could not concern the REMIT

24 10:20:21 regulation because it was adopted on 25th of

25 10:20:26 October 2011. Right. We can open the case. If it

01 10:20:29 could be helpful.

02 10:20:31 A It could be helpful to identify the exact date.

03 10:20:35 Q Of course. Can we open cws9 hundred and 60. This is

04 10:20:41 step {K1} 846. Yes, this is the correct decision.

05 10:20:46 A I concede it's 1st June 1999.

06 10:20:49 Q So it predates REMIT, right?

07 10:20:50 A Yes.

08 10:20:51 Q Thank you. Can we go back to the presentation please?

09 10:20:57 You then refer to exhibit c, w s 965. This is a

10 10:21:03 chapter from the Austrian yearbook on international

11 10:21:05 arbitration of 2016?

12 10:21:08 MS PETKUTE: Which.

13 10:21:08 Q Contains an overview of decisions of the Austrian

14 10:21:10 Supreme Court on arbitration in 2014 and 2015. None

15 10:21:15 of those cases concerned an action under the REMIT.

16 10:21:18 Correct?

17 10:21:21 A Again, I don't I don't see the document yet.

18 10:21:25 Q This is quite a voluminous document, but if it's

19 10:21:27 helpful, we can go there and search by the word REMIT.

20 10:21:32 A We. The significant. Fact why these decisions

21 10:21:45 support. My conclusion is that REMIT also contains a

22 10:21:51 provision on market manipulation that complements

23 10:21:55 article 102 of the treaty on the functioning of

24 10:21:57 European Union. So both instruments have the same

25 10:22:03 purpose of protecting the uninfluenced competition.

01 10:22:09 So our REMIT sort of. Puts more concrete cases of
02 10:22:18 market manipulation. Or is. Also a competition law
03 10:22:25 instrument in that respect. And that's why these
04 10:22:29 cases like eco, Swiss and the following case law and
05 10:22:31 the case law of the Austrian Supreme Court that I
06 10:22:34 cited, support the objective arbitrability of such
07 10:22:39 disputes. It's just an analogy that I've drawn in
08 10:22:44 both the report and the presentation.

09 10:22:47 Q But as a matter of fact, none of those cases cited in
10 10:22:51 that book concerned it. Can we move to exhibit C, w,
11 10:22:55 s 966, also referenced on your slide. This is a
12 10:22:59 judgment of the Court of Justice in Genentech, Inc.
13 10:23:04 dated seven July 2016. Right?

14 10:23:07 A Correct.

15 10:23:08 Q This case concerned interpretation of article 101 of
16 10:23:11 the Treaty on the Functioning of the European Union
17 10:23:12 and not REMIT. Correct.

18 10:23:16 A Can you scroll down a little bit?

19 10:23:17 Q Of course. I think we need to scroll down further.
20 10:23:22 Can we keep scrolling down through the case slowly?
21 10:23:25 That would be most helpful. Yes. We can stop here.

22 10:23:28 A I can see that.

23 10:23:29 Q And can we go back to the slide, please? You also
24 10:23:35 cited an opinion by advocate general Biondi, delivered
25 10:23:38 on the 26th of February, 2026. In this case, this

01 10:23:42 opinion concerned interpretation of EU sanctions
02 10:23:44 regulations not REMIT. Correct.
03 10:23:48 A Can we go to the document again, please?
04 10:23:51 Q Of course. And that would be exhibit c, a 739. As
05 10:24:04 you can see, reference for a preliminary ruling
06 10:24:07 directly mentions restrictive measures relating to
07 10:24:10 Russia's actions. And then regulation number 833 of
08 10:24:17 2014. No mention of REMIT. Now, if I could go back
09 10:24:20 to the slide you also referenced to decisions of
10 10:24:25 the
11 10:24:25 Austrian
12 10:24:25 Supreme Court that is exhibit c, ws9 11,
13 10:24:30 which we discussed, and CWS. Can we go back to the
14 10:24:33 presentation, please? And CWS-960 four. The
15 10:24:45 exhibit cws9 hundred and 11, which
16 10:24:47 we discussed today, as you would recollect, concerned,
17 10:24:49 an action under article 102, right?
18 10:24:52 A That is correct.
19 10:24:54 Q And then you refer to exhibit CWS 964. This is the
20 10:24:58 decision of the Supreme Court of Austria dated
21 10:25:02 18 February 2015. Did this case concern article 101
22 10:25:07 or REMIT.
23 10:25:10 A Can we please look at it briefly?
24 10:25:12 Q Of course. Can we open CWS-964? Can we zoom it?
25 10:25:19 Thank you. And just scroll through it. Scroll

01 10:25:24 further please. Yes. Stop here. I'm referring to the 2nd paragraph
02 10:25:46 on this page.
03 10:25:56 A Yes, I can see it.
04 10:25:58 Q So article 101, right.
05 10:26:01 A That is correct.
06 10:26:02 Q Can we go to the REMIT regulation which we discussed
07 10:26:06 at the very beginning and open exhibit c 15. That is
08 10:26:10 tab l 1.15. And can we zoom it a little bit. If you
09 10:26:23 look. To the left side of this document, you will see
10 10:26:29 a reference to a particular provision of the Treaty on
11 10:26:33 the Functioning of European Union. That is the 2nd
12 10:26:36 paragraph, just after the European parliament and
13 10:26:39 the counsel of the European Union. Do you see any
14 10:26:45 reference to article 102 or article 101 of the Treaty
15 10:26:52 on the Functioning of the European Union.
16 10:27:01 A No.
17 10:27:03 Q Thank you. And one last question, Dr Koller.
18 10:27:05 A Can we can we stick with the document f for a a minute
19 10:27:09 and scroll down a little bit?
20 10:27:12 Q Of course.
21 10:27:19 A Thank you. When you when you look at the 1st recital
22 10:27:22 of r, and this is the old version of REMIT in the new
23 10:27:26 one, it's even more highlighted that. It says that it
24 10:27:29 is important to ensure that consumers and market
25 10:27:31 participants can have confidence in the integrity of

01 10:27:34 the electricity and gas markets. That price is set
02 10:27:37 on. The wholesale energy markets reflect a
03 10:27:39 fair and
04 10:27:40 competitive
05 10:27:41 interplay between supply and demand, and that no
06 10:27:44 profits can be drawn from market abuse. This is what
07 10:27:46 I was referring to earlier when I said that there
08 10:27:49 is a significant interplay and and and resemblance of REMIT and European
09 10:27:58 competition law in
10 10:28:00 general, most notably
11 10:28:02 article 102 TFEU.
12 10:28:02 Q Thank you, Dr Koller. Dr Koller, have you cited or
13 10:28:05 are you at least aware of any judgment of the Court of
14 10:28:08 Justice dealing specifically with REMIT, which would
15 10:28:12 support private actions prior to a decision on
16 10:28:14 infringement of REMIT by competent national regulatory
17 10:28:17 authority. And I emphasise dealing specifically with
18 10:28:20 REMIT.
19 10:28:43 A So just just to understand your question correctly,
20 10:28:45 you you you're asking me whether I have cited
21 10:28:51 decisions supporting. Private actions prior to
22 10:28:56 decision on infringement by competent.
23 10:28:59 Q Yeah. So a case which would say that a remedy there
24 10:29:03 can be a private claim for damages under REMIT prior
25 10:29:06 to an infringement, prior to establishment of an
26 10:29:09 infringement by an array. If you cited any decisions

01 10:29:13 of the Court of Justice, which would specifically say
02 10:29:16 so with respect to REMIT.
03 10:29:18 A No, I have not.
04 10:29:19 Q And are you aware of such decisions?
05 10:29:23 A I'm not aware of such decisions. However, we cannot
06 10:29:28 exclude that such decisions exist as they might be.
07 10:29:35 The subject matter of confidential arbitrations.
08 10:29:38 Q Such decisions of the Court of Justice.
09 10:29:40 A Not the Court of Justice, but on private enforcement
10 10:29:42 in general.
11 10:29:43 Q But you are not aware of at least one case where
12 10:29:46 national court or arbitral tribunal will determine a
13 10:29:48 private action for damages due to infringement of
14 10:29:51 REMIT. Are you?
15 10:29:59 A I'm not aware of such a case. Interestingly, however,
16 10:30:04 the agency for the
17 10:30:06 coordination of national regulatory. Authorities
18 10:30:15 only. Traces public enforcement. So they. They don't
19 10:30:21 collect data on private enforcement.
20 10:30:22 Q Yeah. So if I go to that website, I will not see any
21 10:30:25 decision by national court or tribunal. Correct.
22 10:30:28 Because they trace the decisions on the infringement.
23 10:30:33 A The only trace the decisions on public enforcement,
24 10:30:36 not private enforcement. That's why we wouldn't find
25 10:30:39 any data there.

01 10:30:40 Q Thank you. Dr Kola. I have no further questions for
02 10:30:43 the expert witness.
03 10:30:44 PRESIDENT: Thank you very much. Do you have questions
04 10:30:50 in redirect?
05 10:30:51 MS PETKUTE: Yes. Not.
06 10:30:52 PRESIDENT: Proceed with the questions in redirect. And
07 10:30:54 if we need a break, we will take a break. Maybe
08 10:30:59 before the arbitrators ask their questions. Because
09 10:31:03 we started at nine. Let us know. Otherwise we
10 10:31:06 continue.
11 10:31:07 MS HOFFMAN: Normally, say every one and a.
12 10:31:08 PRESIDENT: Half an hour. Yes. And this is a very long
13 10:31:11 session. So let us know after the direct we complete
14 10:31:16 the direct and after the direct, because there is a
15 10:31:19 ten minute budget on the direct and after the direct,
16 10:31:21 if you need to, we need to take a break. Then we'll
17 10:31:24 take a break before the arbitrators questions. Thank
18 10:31:27 you. Please proceed.
19 10:31:29 MS PETKUTE: Prof colin, in the context of opining on
20 10:31:33 jurisdiction about the claim related to the gas
21 10:31:38 transportation losses, you said there is no claim
22 10:31:41 under the GTA raised in this arbitration. Could you
23 10:31:45 elaborate and explain the statement in particular in
24 10:31:48 your understanding, under which contract is the claim
25 10:31:51 raised for gas transportation losses in this

01 10:31:54 arbitration?

02 10:31:55 A In my understanding, it is a claim that arises out of

03 10:32:00 the sales agreement, loss of revenue claim and and the

04 10:32:07 only relevance the Gas transportation agreement has

05 10:32:09 in, in in this respect is to determine the amount of

06 10:32:14 of losses, if I understood correctly.

07 10:32:17 MS PETKUTE: Thank you. You were also asked about the

08 10:32:20 possibility to set aside an award because of a

09 10:32:23 violation of the Austrian or the public in relation to

10 10:32:27 room 2 regulation discussion. Can you explain,

11 10:32:31 please, why it is your opinion that the room 2

12 10:32:33 regulation is not a rule of public policy that must be

13 10:32:38 applied in arbitration proceedings?

14 10:32:41 A In my view, it cannot be the case that all provisions

15 10:32:45 of the Rome II regulation or all provisions of union

16 10:32:49 law for that matter, form part of European public

17 10:32:52 policy. And specifically, when we look at

18 10:32:57 article 6(4) and and the controversy this restriction

19 10:33:03 of party autonomy has caused in literature, I don't

20 10:33:09 see that particular provision as being part of

21 10:33:12 European public policy. And as I indicated earlier,

22 10:33:16 that if it leads. If the application or the. The

23 10:33:20 non-application of this rule would lead to a a

24 10:33:23 so-called over enforcement of competition law. This

25 10:33:26 could in any case not violate European public policy.

01 10:33:32 MS PETKUTE: And also in this context, you had the
02 10:33:34 discussion about the strict regime or strict liability regime. What do
03 10:33:41 you mean with when you say strict liability regime.
04 10:33:45 So is the test for liability should be strict. Does
05 10:33:49 that mean that the hurdle should be high, or do you
06 10:33:52 mean that there is there should be not so high hurdle
07 10:33:56 to establish liability?
08 10:33:59 A Well, the point is that it could potentially violate
09 10:34:07 European Union competition law if the hurdle to
10 10:34:11 enforce a damages claim was too high, be it either for
11 10:34:17 proving causality or proving other elements of a
12 10:34:20 damages claim.
13 10:34:22 Q Thank you. We have no further questions.
14 10:34:26 PRESIDENT: Thank you very much. Let me turn to my
15 10:34:29 co-arbitrators. The tribunal has no question to the
16 10:34:33 expert. So this concludes your examination.
17 10:34:36 Professor, thank you very much for
18 10:34:38 coming and give testimony before this
19 10:34:40 tribunal. You may remain in the room. I suggest we
20 10:34:45 have a 15 minute break. Now before we introduce the
21 10:34:49 next witness.
22 10:34:49 Thank you. So we will
23 10:34:52 resume at 34 plus 15 at ten, two at 1050.
24 10:39:21 Q Good morning. Testing the audio for the 2nd session.
25 10:39:25 Testing one. Two. Three. Four. This is another audio test for the 2nd

01 10:46:11 session of the morning. Today is Monday 23rd of
02 10:46:18 March.
03 10:46:28 MS HOFFMAN: Any audio?
04 10:46:40 Q Why are you. Why did you have. So many.
05 10:52:09 PRESIDENT: Good morning, Prof Perner. Good morning.
06 10:52:13 Could you please get closer to the microphone so that
07 10:52:15 we can hear you? You should have in front of you a
08 10:52:20 text of affirmation. May I please ask you to read
09 10:52:24 that text?
10 10:52:24 MS PETKUTE: Of course. Declaration ICE Stefan Perner.
11 10:52:28 Sincerely and truly declare and affirm that the
12 10:52:30 evidence I shall give shall be the truth, the whole
13 10:52:34 truth, and nothing but the truth.
14 10:52:38 PRESIDENT: Prof Pienaar, you have issued two expert
15 10:52:41 reports in this arbitration, one dated 15th of
16 10:52:46 April 2025 and 1 dated 4th of January 2026. Do you
17 10:52:51 have these reports in front of you?
18 10:52:53 MS PETKUTE: Yes.
19 10:52:55 PRESIDENT: Do you confirm that this remains your
20 10:52:59 professional opinion? What is stated in these report
21 10:53:01 reports?
22 10:53:01 MS PETKUTE: Yes, I took it from.
23 10:53:03 PRESIDENT: Would you like to amend something or correct
24 10:53:05 something in these reports?
25 10:53:07 MS PETKUTE: No.

01 10:53:08 PRESIDENT: Thank you very much. With tribunal's
02 10:53:11 permission, then I would give the floor to Prof to
03 10:53:14 start his presentation.
04 10:53:15 A Thank you. Good morning, Prof Keller. We have the
05 10:53:20 slides.
06 10:53:22 MS PETKUTE: You will see.
07 10:53:27 A Again. Good morning, Mr professor. We have in front
08 10:53:32 of us the slides you provided us with, and we're
09 10:53:35 listening to your presentation. You had reserved 30
10 10:53:37 minutes.
11 10:53:38 MS PETKUTE: Thank you. Thank you. The tribunal. Thank
12 10:53:40 you very much. I would like to give my presentation
13 10:53:44 now for personal details, I would like to refer to the
14 10:53:48 CV, my two reports. The only thing that changed
15 10:53:53 between the two reports is that I was appointed
16 10:53:55 justice at the constitutional court of Austria in June 2025. The two legal areas I deal
17 10:54:05 with in the next 30 minutes stem from the same agreement. As you
18 10:54:08 of course know, in 2017. PPD and Gazprom entered into
19 10:54:13 a ten year gas supply contract under which Gazprom had
20 10:54:17 to sell natural gas to PPD in the 1st years. As I
21 10:54:22 understand, Gazprom delivered gas and PPD paid the
22 10:54:27 agreed sum of euros as contractually agreed. And then
23 10:54:32 the 1st problem came up in 2021. It is the issue of
24 10:54:36 market manipulation. As you just heard, over the
25 10:54:38 course of mid-2021 even before the war in Ukraine,

01 10:54:43 European gas prices rose to record levels. PPD is
02 10:54:48 claiming, and we heard this from Prof K?hler, damages
03 10:54:53 under articles 102 of the Treaty on the Functioning of
04 10:54:57 the European Union, article 5 of the REMIT and section
05 10:55:00 1311 of the Austrian Civil Code. I analysed whether
06 10:55:03 PPD could rely on these provisions when claiming
07 10:55:08 damages. So, according to article 102 of the Treaty
08 10:55:15 on the Functioning of the European Union, the abuse of
09 10:55:17 a dominant position by an undertaking is prohibited.
10 10:55:21 Article 5 of the REMIT prohibits market manipulation
11 10:55:24 in the energy market. It is undisputed that both
12 10:55:28 provisions directly apply. Article 102 is part of
13 10:55:33 primary law. Article 5 is part of an EU regulation.
14 10:55:38 We have also just heard that such behaviour as the
15 10:55:41 alleged is unlawful under these provisions. Also, the
16 10:55:46 provisions protect market participants such as PPD.
17 10:55:50 The wording is therefore, one has to say, unambiguous
18 10:55:53 at 1st sight and leads to an obvious question if
19 10:55:58 anybody unlawfully manipulates the market or abuses a
20 10:56:02 dominant position, why should the damaged party not be
21 10:56:05 able to rely on such prohibition? Would the
22 10:56:09 provisions not be somewhat incomplete if
23 10:56:13 they laid
24 10:56:14 down prohibitions without awarding claims to a damaged
25 10:56:17 party? The answer is, you know, lies within EU law.

01 10:56:22 Therefore, a binding interpretation will only be
02 10:56:26 provided by the Court of Justice as there has not been
03 10:56:32 a ruling so far. This would have been the best
04 10:56:35 argument to ask the court for an answer in a
05 10:56:38 preliminary proceeding. As you just mentioned,
06 10:56:41 however, the law gives a clear picture of what the
07 10:56:45 answer in such a preliminary ruling will be. Ramit
08 10:56:48 provides for member states to lay down rules on
09 10:56:51 penalties in article 18 and sets out detailed
10 10:56:54 specifications. This is because EU law must, of
11 10:56:57 course, ensure a uniform application of its provision.
12 10:57:01 Therefore, guidance is given to the member states on
13 10:57:04 how to apply penalty penalties and how they should be shaped.
14 10:57:10 Thus, the fact that treaty and regulation remains silent on
15 10:57:15 damages other than penalties mean
16 10:57:17 that a damaged party cannot rely on claims in case of
17 10:57:22 unlawful behaviour under primary law and REMIT. Of course not. According to
18 10:57:26 the principle of
19 10:57:28 subsidiarity and the singular limited competence, EU law must only
20 10:57:33 step in when and where necessary.
21 10:57:37 Therefore, provisions on penalties are included to
22 10:57:40 ensure uniform application of fines. In contrast,
23 10:57:45 detailed provisions on damages are not
24 10:57:48 necessary
25 10:57:48 because the European legislator can rely on the body

01 10:57:52 of national tort laws which come into play. EU
02 10:57:55 law simply does not have to ordain that
03 10:57:58 damages are awarded in such cases, as. We just heard
04 10:58:01 from professor collins that the national civil laws of
05 10:58:05 the member states applied. The decisive question is,
06 10:58:08 therefore, whether the unlawful behaviour triggers
07 10:58:12 tort law
08 10:58:13 claims or, more precisely, must trigger tort
09 10:58:16 law claims under national laws. And this question is
10 10:58:21 discussed under the label of
11 10:58:24 private enforcement. Such enforcement would, of
12 10:58:27 course, strengthen the effectiveness of the treaty and
13 10:58:31 REMIT and complement the public enforcement regime.
14 10:58:36 Therefore, and in line with leading scholars, I have
15 10:58:39 no doubt that the court of the. Of justice of
16 10:58:42 the European Union would, if asked, vote in favour of
17 10:58:47 private enforcement of article 102 and article 5 of the
18 10:58:52 REMIT. So as a preliminary result, we can conclude that
19 10:58:56 EU law prescribes for private enforcement claims must
20 10:59:02 exist. If we apply tort law which is applicable. As I
21 10:59:08 understand the claim can easily be granted. The
22 10:59:12 verdict of unlawfulness comes from EU law, whereas the
23 10:59:16 claim as such has its foundations. In section 1311 of
24 10:59:20 the Austrian Civil Code, Austrian courts would qualify
25 10:59:25 article 5 of the REMIT as protective in the sense of section 1311. These are in the
cited

01 10:59:34 wording of the Austrian Supreme Court

02 10:59:36 prohibitions intended to protect members of a

03 10:59:41 particular group from the violation of legal rights.

04 10:59:46 In conclusion, the verdict of unlawfulness comes

05 10:59:49 from European law, section 1311. Some somehow

06 10:59:54 translates this European verdict into national

07 10:59:59 Austrian tort law. So as Austrian law applies, the next question is

08 11:00:08 purely hypothetical what if we had to apply another

09 11:00:12 national tort law, which, for instance, does not

10 11:00:15 contain a provision such as section 1311 of the

11 11:00:20 Austrian Civil Code? Would the answer really be that

12 11:00:24 there would be no claim just because another national tort law applies in

13 11:00:30 cases of market abuse and abuse of a dominant

14 11:00:34 position? The answer is, of course, no. We have also just

15 11:00:38 heard it from Prof Koller. We must not forget where

16 11:00:41 private enforcement comes from. It comes from EU law

17 11:00:44 and if directly applicable, European Union law

18 11:00:48 prescribes for private enforcement, then the answer

19 11:00:51 must be private enforcement. According to the Court

20 11:00:56 of Justice. Such a result

21 11:00:57 can be derived from the principle of effectiveness

22 11:01:01 of

23 11:01:01 EU law. National laws must effectively grant claims

24 11:01:07 prescribed for by EU law, and if provisions hinder the

25 11:01:11 damaged party from bringing such claims, they must not

01 11:01:14 be applied. Therefore, if a market participant infringes
02 11:01:19 article 102 or article 5 respectively, national laws
03 11:01:24 have to award damages. In conclusion, PPD can bring a tort claim against
04 11:01:32 Gazprom, so the tribunal. This was the 1st and a little
05 11:01:37 shorter part of my analysis. Topic two stems from
06 11:01:41 the
07 11:01:42 same agreement, but from 2022. As you of course know, Gazprom and PPD had
08 11:01:49 agreed on
09 11:01:55 euros as currency in the contract of 2017.
10 11:02:00 In 2022, Russia issued a decree intending to change
11 11:02:03 the currency of the contract to roubles and leaving
12 11:02:07 the modalities of the change to the discretion of the
13 11:02:07 Central Bank of Russia. On the following day, one April 2022, Gazprom
14 11:02:15 wrote a letter to PPD. The letter said. In other
15 11:02:18 words,
16 11:02:19 Gazprom would not abide by its obligations should
17 11:02:22 PPD
18 11:02:23 not be willing to pay in roubles instead of the
19 11:02:26 contractually agreed euros. In doing so, Gazprom referred to the decree of its
20 11:02:34 owner, Russia. Now the tribunal. I'm sure last week
21 11:02:41 you heard a
22 11:02:42 lot about the very complex payment mechanism which
23 11:02:46 was
24 11:02:47 proposed and how onerous it was for the buyer. I will
25 11:02:50 not repeat all of this. Let me just point out in our
26 11:02:54 context, most important aspects of the mechanism, the

01 11:02:59 duration risk as the obligation would only be
02 11:03:02 fulfilled as soon as roubles are transferred to the
03 11:03:05 account of Gazprom, the risk of delay and all its
04 11:03:10 consequences would always fully lie with PPD and more.
05 11:03:15 The whole procedure is at the
06 11:03:17 discretion of the Central Bank of Russia. This is
07 11:03:20 not an
08 11:03:21 assumption. It is the wording of footnote 1 of the
09 11:03:24 letter sent by Gazprom in April 2022. This brings, of
10 11:03:30 course, huge risk for PPD and apart from this, you never know who gets your money,
11 11:03:37 which triggers a substantial sanctions risk. So which questions arise from the events
12 11:03:46 just described? First, the respondent and their expert
13 11:03:52 argue that PPD was legally obliged to accept a new
14 11:03:56 payment mechanism. Second, the question arises
15 11:03:59 whether the alleged
16 11:04:00 consent to the letter by PPD could be rescinded. And
17 11:04:06 3rd, the respondent argues that PPD had no right to
18 11:04:12 keep the money instead of paying. Therefore, Gazprom
19 11:04:18 claims unjust enrichment of PPD. I have
20 11:04:19 to
21 11:04:20 read this from my notes because it is so far against
22 11:04:24 the understanding of Austrian civil law and as I saw, Prof clicker did not even opine
23 11:04:33 on this in
24 11:04:37 answering the questions. Different legal frameworks
25 11:04:40 apply. The relationship between PPD and
Gazprom is governed by their contract. In particular, the payment mechanism is
governed by

01 11:04:47 article 9 of the
02 11:04:48 contract and force majeure per article 11. Therefore,
03 11:04:52 the main source of rights and obligations,
04 11:04:55 respectively, is the contract itself. Insofar as
05 11:05:00 the parties have not agreed on
06 11:05:02 their rights and
07 11:05:03 obligations. The conventions on contracts for the
08 11:05:07 international sale of goods CSG applies.
09 11:05:10 As you know,
10 11:05:11 the convention only regulates rights and obligations of the
11 11:05:16 parties in an existing
12 11:05:18 contract, the validity
13 11:05:19 of the contract and aspects of unjust enrichment are not covered.
14 11:05:24 Therefore, the parties chose Austrian law to apply. Let us now start the analysis.
15 11:05:34 As already said, article 9 of the contract prescribes for the payment mechanism
16 11:05:38 which must be observed by PPD as the buyer. The mechanism
17 11:05:44 was agreed upon by the parties in 2017. In its letter from April 2022, Gazprom
18 11:05:53 intended to change the payment mechanism. I'm repeating this because it
19 11:05:58 is not just a change of currency, it's a
20 11:06:00 change of the whole payment procedure, the whole
21 11:06:02 mechanism, which was very onerous, as I just
22 11:06:06 mentioned, to assess the legal consequences of this
23 11:06:09 letter from April 1, we must follow chronological steps.
24 11:06:16 First, in response to the
25 11:06:18 Russian invasion of Ukraine in February 2022, the

01 11:06:21 European Union, as you know,
02 11:06:23 introduced several sanctions against Russia and
03 11:06:26 Russian companies. The respondents expert argues that these embargoes
04 11:06:31 qualified as force majeure and triggered
05 11:06:37 decree 172, as well as subsequent decrees. Therefore,
06 11:06:41 reference is made in the opinion to the
07 11:06:44 wider geopolitical dynamic as background. However, I
08 11:06:49 will not go into politics and I will not discuss the
09 11:06:55 political consequences of the sanctions. My point is
10 11:06:59 that the political description, be it accurate or not,
11 11:07:03 must not be confounded with the legal analysis. Even
12 11:07:08 Gazprom acknowledges that the EU sanctions did not did
13 11:07:11 not make it impossible for Gazprom to continue to
14 11:07:16 accept payments in accordance with the contract.
15 11:07:19 Therefore, the EU sanctions of early 2022 did not
16 11:07:24 render the performance of either PPD or Gazprom
17 11:07:29 impossible. Consequently, they can never, ever
18 11:07:34 qualify as force majeure under article 11 of the
19 11:07:37 contract. The provision only applies when one party
20 11:07:39 is, quote, unable to perform, and this was not the
21 11:07:45 case following the sanctions regarding the payment
22 11:07:49 mechanism, the focus therefore shifts to the decrees
23 11:07:55 decree 172 and the subsequent decrees. First, no
24 11:08:00 decree could ever change the contract between the
25 11:08:03 parties. The contract between the parties could, of

01 11:08:05 course, only be amended by mutual agreement. The
02 11:08:10 respondent and its expert opined that PPD was obliged
03 11:08:14 to agree to the amendment, so they also see that the
04 11:08:17 decree could not. Neither the decree nor the letter
05 11:08:21 could as such, change the agreement. Why should PPD
06 11:08:27 be obliged? Have been obliged to agree. The
07 11:08:30 respondent and his expert bring three arguments.
08 11:08:34 First, the respondent argues that the changes of the
09 11:08:38 new mechanism amount to just a formality. Second,
10 11:08:42 however, according to Gazprom, this allegedly minor
11 11:08:46 formal amendment of the payment procedure is caused by
12 11:08:50 major force. Force majeure is invoked and. Third,
13 11:08:55 the respondent also invokes the principle of good
14 11:09:00 faith on the side of PPD. I have to add. I, on the
15 11:09:04 other hand, cannot see why there should have been an
16 11:09:07 obligation to agree to such an amendment. Gazprom bases its 1st
17 11:09:14 argument. This is all just a change of
18 11:09:16 formalities. On article 54 CSG, which you have on the slides before
19 11:09:23 you. In front of you. This provision
20 11:09:26 obliges the buyer to take steps and comply with gas formalities to enable payment to
21 11:09:39 be made. If, for instance, a buyer must pay by bank
22 11:09:43 transfer in an international legal transaction,
23 11:09:44 the buyer must open a
24 11:09:51 bank account. He must ensure that the money can leave the country in a cross-
25 11:09:51 border transaction by,
for
example, applying for authorization to REMIT the

01 11:09:55 money

02 11:09:55 abroad. The purpose of article 54 is crystal clear.

03 11:10:00 It is to ensure that the buyer takes such preparatory

04 11:10:06 steps on his side to make payment possible. Can the

05 11:10:10 provision go so far that it obliges the buyer to change the whole, the

06 11:10:15 buyer to change the whole

07 11:10:17 payment mechanism? No such questions are not governed

08 11:10:20 by article 54. A change of the payment mechanism, not

09 11:10:24 even a change of the currency, is not a formal step to

10 11:10:29 make payment possible, but a material change of the

11 11:10:32 contract. I think we can all agree on this, and the

12 11:10:35 obstacle does not come from the

13 11:10:36 side of the buyer. Therefore, the

14 11:10:39 provision

15 11:10:39 does of course, not obliged him to overcome the obstacle from the side of

16 11:10:46 the seller. In conclusion, nothing, absolutely

17 11:10:50 nothing can be gained from article 54 Cisg. Instead, the question is in

18 11:10:57 truth, whether decree 172, which prohibited the

19 11:11:01 seller from receiving payments in

20 11:11:04 euros, qualified as force majeure. As the

21 11:11:08 respondent argues, and look into the leading source, which is also

22 11:11:13 heavily cited by the respondent and its expert shows

23 11:11:16 that parties very often rely on this exemption.

24 11:11:20 Actually, however, quote, they only very rarely

25 11:11:25 succeed. This is fully in line with my assessment

01 11:11:29 of
02 11:11:29 the case. First, the formal requirements of
03 11:11:34 the
04 11:11:34 contract for relying on force majeure are simply not fulfilled.
05 11:11:40 According to article 11, which you can see on the
06 11:11:42 slide, Gazprom would have been obliged to immediately notify
07 11:11:48 PPD and and provide a confirmation of the Russian
08 11:11:54 Chamber of Commerce. These provisions must be
09 11:11:57 interpreted as requiring
10 11:11:58 any party seeking to rely on a force majeure event to
11 11:12:03 comply with the prerequisites set out by the contract.
12 11:12:07 Gazprom did not take the proper steps. It could not,
13 11:12:11 □202603230014 therefore rely on force majeure. In my opinion, this
14 11:12:16 makes sense because utmost
15 11:12:18 clarity is needed when it comes to the question of
16 11:12:22 whether parties of an international sales contract are
17 11:12:25 obliged to refer to affect performance, and whether
18 11:12:28 they need to prepare for alternative scenarios. This
19 11:12:32 is why we have binding formal requirements in
20 11:12:38 article 11 of the agreed contract. Moreover, an information duty is not needed by the
21 11:12:47 contract. It is also already prescribed for and also
22 11:12:50 prescribed for by article 79 of the CISG. There's an
23 11:12:55 obligation to notify under article 79 and an obligation to notify under article 11 if the
24 11:13:02 obligation to notify under the contract was not
25 11:13:05 understood as a prerequisite on of relying on force

01 11:13:09 majeure, it would be rendered meaningless. It would
02 11:13:12 have no scope of application at all. And this is
03 11:13:15 against the uniform opinion basic rule of contract
04 11:13:18 interpretation in Austria as well as under
05 11:13:21 CISG, probably worldwide, is that no contractual
06 11:13:25 clause should be left without any scope of
07 11:13:28 application. And that is what we would do, because article 11
08 11:13:33 is not needed for the obligation to notify, because we
09 11:13:37 already have an obligation to notify under article 79.
10 11:13:41 So the only meaning is to provide different
11 11:13:44 consequences than article 79. And another basic rule
12 11:13:48 of international sales law states that the parties
13 11:13:51 can, of course, deviate from
14 11:13:53 provisions of the CISG by tacit agreement, Gazprom and
15 11:14:00 its expert, of course, dispute this.
16 11:14:02 They argue that they could still rely on force majeure
17 11:14:06 because article 79, paragraph 4, only states that
18 11:14:10 liability follows from a failure to inform about
19 11:14:14 the force majeure event. Now, as I just pointed out,
20 11:14:19 this argument blanks out article 11 completely out of
21 11:14:23 the picture. But not only this, it also does not consider the
22 11:14:26 scope of article 79 CISG. The sphere of application of this provision is
23 11:14:33 limited to damages only. Therefore, what
24 11:14:36 else would article 79 ordain for than damages and a liability? The prerequisites of
25 11:14:44 the right to rely on force majeure are simply not

01 11:14:47 covered by article 79. Whether a party can rely on
02 11:14:51 force majeure in the 1st place is governed by
03 11:14:56 article 11 of the contract. Therefore, Gazprom could
04 11:15:00 not rely on force majeure because it simply did not
05 11:15:04 act in line with the contract. A summary of the
06 11:15:08 leading sources which confirm this understanding is
07 11:15:10 provided on the slide, all with the respective exhibit numbers. Apart from this, the
08 11:15:19 question is hypothetical. There was no force majeure.
09 11:15:24 Gazprom disputes that and argues that article 11
10 11:15:29 expressly mentions actions of a governmental authority
11 11:15:33 which were not induced or promoted by the affected
12 11:15:37 party. The. This is correct. This enumeration must
13 11:15:42 be read together with the definition of force majeure
14 11:15:45 as quote. Any unforeseen event or circumstance beyond
15 11:15:49 the reasonable control of the affected party. This brings us to the point. Reliance on
16 11:15:57 the enumeration of events in the contract
17 11:16:00 alone does not help. The contract also mentions a
18 11:16:05 fire, for example, of a factory as event of force
19 11:16:08 majeure. However, if the owner sets the factory on
20 11:16:12 fire, he cannot rely on force
21 11:16:13 majeure. Even if fire was mentioned. The
22 11:16:18 decisive point is decree 172 can in principle
23 11:16:24 qualify as force majeure, but it is not force
24 11:16:26 majeure for Gazprom, who is owned by Russia, the
25 11:16:31 issuer of the decree. In assessing the question, the legal test was

01 11:16:38 helpful. Of course, state run companies are not
02 11:16:42 always barred from relying on force majeure when it
03 11:16:45 comes to measures by the owner. A state run company
04 11:16:48 can, for instance, rely on a measure which was a
05 11:16:51 consequence of a force majeure event. During the
06 11:16:54 pandemic, states enacted many neutral
07 11:16:57 measures like lockdowns, which affected private and
08 11:17:01 public companies in the same way. However, decree 172
09 11:17:05 and the subsequent decrees did
10 11:17:07 not enact neutral measures affecting all companies
11 11:17:11 alike. Only official Russian suppliers such as
12 11:17:15 Gazprom, are covered by the decree, and its motive is
13 11:17:18 to ensure Russia's financial stability. Stability of
14 11:17:22 the owner of Gazprom. The decrees expressly targets deliveries made to
15 11:17:28 states which, quote, commit unfriendly acts against
16 11:17:31 Russia. The decree objectively favors
17 11:17:35 Gazprom
18 11:17:36 and its owner by leaving the agreed payment
19 11:17:41 mechanism at the discretion of the Russian Central
20 11:17:44 Bank. Nothing shows the intention of favoring the
21 11:17:48 state run supplier through this new payment mechanism
22 11:17:51 better. And exactly here comes into play and shifts
23 11:17:56 the burden of proof whether this is accurate or not,
24 11:18:01 from the claimant to the state. As the owner of Gazprom. So this decree does
25 11:18:09 therefore
not equal falling

01 11:18:11 meteorite, as Gazprom alleges, had a meteorite
02 11:18:14 fallen, would not have pierced the corporate veil.
03 11:18:19 Understood? Gazprom instead cannot rely on a
04 11:18:23 decree issued by its owner as an event from outer
05 11:18:26 space.
06 11:18:29 Gazprom. However, I mentioned this before, also
07 11:18:32 argues that PPD had to agree to the amendment
08 11:18:35 out of good faith, irrespective of article 11 of the
09 11:18:40 contract. Let us briefly think
10 11:18:42 about this. What would you the tribunal
11 11:18:45 in your position do any reasonable seller. Maybe. Who wants the buyer to change the
12 11:18:53 agreed payment mechanism? You demand your
13 11:18:55 contracting partner not to pay by the agreed payment
14 11:18:59 mechanism,
15 11:19:00 but buy roubles and with a different payment mechanism,
16 11:19:03 you would talk, you would explain, you
17 11:19:06 would ask for understanding. Or in the words of the
18 11:19:09 contract, meet and endeavor to find a solution
19 11:19:12 acceptable to both parties. What did Gazprom do?
20 11:19:17 Neither need nor endeavour.
21 11:19:19 It sent a letter informing informing PPD unilaterally
22 11:19:24 about the new payment mechanism, which could
23 11:19:27 be amended by the Central Bank of Russia any time,
24 11:19:31 and
25 11:19:32 it's demanded, demanded PPD to agree, quote, with a

01 11:19:36 view to ensure uninterrupted natural gas supplies. The question is, would you, as a
02 11:19:43 reasonable buyer,
03 11:19:44 ever agree to such a proposal without even
04 11:19:48 discussing
05 11:19:49 the changes? And the answer is obviously no. I cannot
06 11:19:52 reconcile this approach with the legal basis
07 11:19:55 provided for in the contract. The letter did not
08 11:19:57 trigger an obligation to agree out of good
09 11:19:59 faith. In
10 11:20:00 fact, it is the other way round. Even if we spoke of
11 11:20:04 force majeure. There was no obligation to agree to
12 11:20:07 such a. Bless you. This brings us to the question as
13 11:20:13 to whether PPD could avoid the alleged
14 11:20:16 agreement.
15 11:20:18 A In its palm. The alleged amendment or agreement.
16 11:20:23 MS PETKUTE: The alleged amended agreement or amendment
17 11:20:25 of the agreement. As you know, I did not opine on the
18 11:20:29 fact whether there actually was an amendment and
19 11:20:32 whether there was an agreement. So hypothetical
20 11:20:35 question if there had been an amendment, could it be
21 11:20:38 rescinded by PPD? In its letter, Gazprom stated it
22 11:20:42 would not deliver natural gas under the contract if
23 11:20:45 the decree was not followed. Unable to find alternatives on such short notice, PPD
24 11:20:52 returned the countersigned letter to
25 11:20:55 Gazprom. Gazprom's expert relies on the principle of

01 11:20:59 veneer contrafactum proprium, and argues that PPD
02 11:21:02 could not claim that it never intended to
03 11:21:05 agree.
04 11:21:06 I can again not see how this approach is in line
05 11:21:09 with what PPD claims and what Austrian civil law
06 11:21:12 prescribes for following the expert's line of thought.
07 11:21:16 Every reliance on a legal right could be seen as
08 11:21:20 veneer a contrafactum, or, in his words, 180-degree
09 11:21:26 U-turn. PPD also refrained from arguing that
10 11:21:30 requiring roubles instead of the contractually agreed
11 11:21:33 euros amounted to a 180-degree U-turn. We must not
12 11:21:39 take shortcuts by simply referring to an intangible
13 11:21:42 veneer contract principle. Instead, we have to assess
14 11:21:47 the requirements for such legal rights. I did this
15 11:21:53 and it brings us to the question of duress. Under
16 11:21:57 Austrian law, a party can rely on duress under section
17 11:22:03 870. Now we have to apply the Austrian civil Code, as
18 11:22:06 I mentioned before, and avoid the contract. If,
19 11:22:09 quote, unjust and reasonable fear was induced, PPD
20 11:22:15 claims it only countersigned the letter because
21 11:22:17 Gazprom stated it would stop delivering further gas.
22 11:22:22 First prerequisite. Was it reasonable to fear negative
23 11:22:26 consequences should the letter not be countersigned? Yes. The delivery of gas was in
24 11:22:33 the hands of the seller and
25 11:22:35 Gazprom, a major source of gas
supply for the buyer. Of course, PPD wanted to secure

01 11:22:40 gas deliveries by
02 11:22:41 any means. This assessment is even underlined by the
03 11:22:45 fact that PPD took precautions to procure gas supply
04 11:22:49 elsewhere and seek alternatives. They did everything
05 11:22:51 they could. They even signed this letter. Second
06 11:22:55 prerequisite. Was the threat unjust? Yes.
07 11:22:59 Gazprom made future deliveries conditional on PPD
08 11:23:04 agreeing to a contract amendment, which Gazprom had no
09 11:23:09 right to require. Remember, there was no obligation
10 11:23:11 to agree by PPD. In conclusion, PPD could avoid the amendment. The
11 11:23:17 fact that Gazprom succeeded with its behaviour for
12 11:23:20 some time did not bar PPD from relying on duress
13 11:23:25 later. What is the consequence of this assessment? PPD
14 11:23:29 successfully avoided the amendment and had the right
15 11:23:32 to reject the offer by Gazprom. Therefore, even if one assumes that PPD suspended
16 11:23:41 its payment obligation, it did so lawfully.
17 11:23:45 Therefore, it goes without saying that Gazprom had no
18 11:23:48 right to. On its side, suspend the performance of its
19 11:23:54 own obligations. According to article 71. Article 71 grants the
20 11:24:01 debtor the right to suspend its performance if it
21 11:24:04 becomes apparent that the other party will not
22 11:24:07 perform. However, the provision, of course, of
23 11:24:11 course, only comes into play when this other party
24 11:24:15 does unlawfully not perform. This was not the case.
25 11:24:18 PPD could lawfully suspend performance, whereas

01 11:24:21 Gazprom was in breach of performance. We have seen that PPD
02 11:24:26 did not
03 11:24:26 have to pay in roubles and did not have to follow.
04 11:24:30 The new alleged allegedly agreed payment mechanism.
05 11:24:35 Gazprom now brings forward one
06 11:24:39 last argument. To be quite honest,
07 11:24:42 the argument is not quite easy to understand for me, so
08 11:24:45 I apologise if it becomes a little complicated. Now. The money which PPD should
09 11:24:56 have used to pay
10 11:25:01 Gazprom for the purchase price. In other words, in September
11 11:25:01 and October 2022 were allocated or assigned
12 11:25:06 to Gazprom. Yes. The purchase price. That's it. In
13 11:25:09 the eyes of Gazprom, PPD did not use it for
14 11:25:13 this purpose. Again, an easier word meaning Gazprom.
15 11:25:17 Instead, the money was used to acquire gas elsewhere.
16 11:25:22 Therefore, it is claimed that PPD obtained a
17 11:25:26 benefit at the expense of Gazprom by using, I assume,
18 11:25:31 the purchase price a right allocated to Gazprom. As a
19 11:25:35 result, the claim of unjust enrichment
20 11:25:38 arises. The prerequisites are shown on the slide.
21 11:25:43 Gazprom relies on section 1,041 of the Austrian Civil
22 11:25:47 Code, and you have the elements and the prerequisites
23 11:25:50 also shown on the slides. As I just said, this sounds
24 11:25:55 complicated. However, the answer is easy. There is,
25 11:25:59 of course, no claim under section 1041. What do we need contractual
11:26:05 claims for? If we could easily rely on

01 11:26:09 unjust enrichment instead, the seller can claim the
02 11:26:13 purchase price and of course, nothing else of any potential enrichment
03 11:26:18 obtained by the buyer at the seller's expense is
04 11:26:20 reflected in the statutory claim for default interest.
05 11:26:24 Therefore, where a buyer defaults on its obligation,
06 11:26:29 allegedly defaults on its obligation to pay the
07 11:26:32 purchase price. A claim for unjust enrichment pursuant
08 11:26:36 to section 1041 of the Austrian Civil Code does not
09 11:26:40 apply. This is undisputed in Austria. It is so
10 11:26:45 undisputed that it is difficult to find a reference,
11 11:26:51 but it can be found. Claims under section 1041 are subsidiary and they
12 11:26:57 are not admissible when the relationship is governed
13 11:27:01 by a contract. Remember the purchase price? The
14 11:27:07 result of my analysis. The 2nd part of my analysis,
15 11:27:10 to be more precise, can be concluded as follows.
16 11:27:13 First, PPD did not have to
17 11:27:15 agree to a change of the payment
18 11:27:19 mechanism. Second, PPD had the right to avoid the contractual
19 11:27:23 amendment. And 3rd, Gazprom does not have a claim out of unjust
20 11:27:28 enrichment against PPD. Thank you.
21 11:27:32 A Thank you very much, Prof Perner. Let me turn to
22 11:27:39 respondent. The respondent is going to ask you
23 11:27:42 questions and respondent had reserved. 115 minutes
24 11:27:48 for the examination of the expert. Do you have the
25 11:27:50 floor?

01 11:27:50 DR REINER: Many thanks, Madam president. Good morning,
02 11:27:56 Dr Perner. My name is Arseniy Bystrov. Me and my
03 11:28:01 colleague Elizaveta Shegay will ask you several
04 11:28:03 questions regarding your
05 11:28:04 opinions. Due to the time
06 11:28:06 constraints, I kindly ask you to answer to the
07 11:28:09 questions directly and apologise in advance if I will
08 11:28:11 be forced to interrupt you. You have started with
09 11:28:16 your biography
10 11:28:17 and stated that the
11 11:28:18 only material thing that have changed between two legal
12 11:28:21 opinions filed with this
13 11:28:23 tribunal is the fact that you are now a sitting member
14 11:28:25 of the constitutional court of Austria. Am I correct.
15 11:28:29 A Of the constitutional Court? Yes. That's correct.
16 11:28:31 MR BYSTROV: Congratulations. And in that judicial
17 11:28:36 capacity, you are required to decide cases
18 11:28:38 independently and impartially. Am I correct.
19 11:28:44 A As every judge in Austria.
20 11:28:45 MR BYSTROV: In these proceedings, however, you appear as
21 11:28:47 a party appointed expert retained by PPD, correct?
22 11:28:51 Yes. Would you agree with me that a judge must not
23 11:28:55 only be impartial, but also be seen to be impartial by
24 11:28:58 an external observer? Yes. And that in contrast, a
25 11:29:03 party appointed expert is engaged to present an

01 11:29:06 opinion in support of the appointing party's case.

02 11:29:09 Correct.

03 11:29:10 A I didn't understand the question.

04 11:29:14 MR BYSTROV: Appointed expert parties appointed expert is

05 11:29:16 engaged to present an opinion in support of the

06 11:29:19 appointing party's case. Correct?

07 11:29:22 A No.

08 11:29:24 MR BYSTROV: Could you kindly elaborate on that?

09 11:29:25 A No, of course not. I mean, did you not hear my

10 11:29:28 declaration at the beginning? I declared that I

11 11:29:32 submit the truth. Nothing but the truth. What would

12 11:29:35 this be for if it was a partial opinion?

13 11:29:39 MR BYSTROV: I didn't say it's a partial opinion. So

14 11:29:41 you're all here. You state is to assist both parties

15 11:29:45 equally and to provide an opinion relied upon by both

16 11:29:48 parties and the tribunal. Is that correct?

17 11:29:50 A I'm here to explain the tribunal. My opinion of the

18 11:29:55 legal requirements.

19 11:29:56 Q Are you being remunerated by PPD for your opinion?

20 11:29:59 Yes. You have previously acted as an expert or

21 11:30:04 advisor for, as stated at paragraph 24 at page 6 of

22 11:30:07 your. First of your 1st report, correct? Yes. And

23 11:30:11 you were instructed by counsel for this case as well?

24 11:30:14 Correct.

25 11:30:17 A I'm instructed.

01 11:30:18 Q For this case. They provided you with factual
02 11:30:24 materials and the questions you were asked to address.
03 11:30:26 Correct. And you did not independently define the
04 11:30:32 scope of your mandate as laid out at paragraph 26 of your 1st expert
05 11:30:37 report.
06 11:30:38 A I rely on the factual exhibits. I rely on the factual
07 11:30:42 information given and provided to me, of course. I
08 11:30:47 mean, I do this as a judge too. I also rely on the
09 11:30:51 facts which are given by the parties.
10 11:30:54 Q The parties or the party. Parties parties. And in
11 11:30:57 this case, you have relied on the facts by the party.
12 11:30:59 A Not free to tell me about your view of the facts,
13 11:31:03 whether the view of the facts is not correct, because
14 11:31:06 I stated all of them in my two expert reports. Would
15 11:31:10 you agree with me.
16 11:31:11 Q That an expert's role is to present a balanced and
17 11:31:17 objective analysis, including points that may not
18 11:31:19 favour the instructing party?
19 11:31:23 A Yes, on the basis of the legal framework which you
20 11:31:28 have to apply. Definitely.
21 11:31:31 Q Can you identify any conclusion in any of your reports
22 11:31:36 that runs contrary to the position of PPD?
23 11:31:41 A Contrary to the position of PPD?
24 11:31:42 Q Indeed.
25 11:31:45 A What do you mean contrary?

01 11:31:48 Q Well, I mean.

02 11:31:50 A For example, when I say, for example, a claim of

03 11:31:54 unjust enrichment does not arise, then it might favour

04 11:31:59 PPD in the end. But you could also say that it's the

05 11:32:03 result of the legal analysis by a lawyer who is

06 11:32:08 impartial. So I'm not you know, I'm not convinced

07 11:32:13 about what this question is aiming at.

08 11:32:15 Q So there is no material conclusion in your report, any

09 11:32:19 of them that undermines PPD case. Correct.

10 11:32:24 A Undermines in what sense?

11 11:32:26 Q In the sense of how they present their case.

12 11:32:32 A I only see a fraction of the case. You know, I learned

13 11:32:39 that you had been sitting for for over a week now. My

14 11:32:44 opinion is limited to the facts which were

15 11:32:47 presented to the tribunal to you. And this is what

16 11:32:51 I'm opining about.

17 11:32:53 Q Well, Dr Perna, in most of the EU states,

18 11:32:59 constitutional court judges avoid party appointed

19 11:33:02 expert roles altogether or accept them only in

20 11:33:05 exceptional circumstances. I understand this is not

21 11:33:07 the case in Austria. However, as I understand

22 11:33:11 following the public situation with Wolfgang

23 11:33:14 Brandstatter in mid-2021 the president of the

24 11:33:17 constitutional Court of Austria, Mr Wharton,

25 11:33:20 expressed the opinion that the members of

01 11:33:22 the court, when acting in any external
02 11:33:25 capacity, shall not refer to their status as
03 11:33:29 constitutional court judges, especially in politically
04 11:33:31 sensitive and/or high stake commercial disputes, to avoid
05 11:33:35 any appearance of impartiality. Now, my
06 11:33:38 question to you have you informed the Constitutional
07 11:33:41 Court of Austria and/or its president about your involvement in this case? As a party
08 11:33:45 appointed expert?
09 11:33:47 A I did not need to inform because there are, as you
10 11:33:50 said, rightfully said, very strict rules and also very
11 11:33:55 clear rules on transparency. As you also said. Are
12 11:33:59 you still listening to me or of course, because you
13 11:34:03 were chatting with your colleague in Austria, as you
14 11:34:09 know, and, and as you mentioned,
15 11:34:11 between the lines, we have, for
16 11:34:14 example,
17 11:34:15 lawyers sitting at the constitutional court,
18 11:34:17 attorneys
19 11:34:18 at law, sitting at the constitutional court. There
20 11:34:21 are very strict rules for impartiality, very strict rules for what mandates you
21 11:34:30 can accept. Accept what you have to disclose. In my case,
22 11:34:36 in this concrete case, for
23 11:34:37 example, I accepted the mandate before I became a
24 11:34:41 member of the constitutional court, as you know, and I
25 11:34:47 cannot see anything with

01 11:34:50 which conflicts with these rules.

02 11:34:53 Q Your report uses definitive language supporting PPD

03 11:34:58 legal position rather than setting out completely

04 11:35:01 competing interpretations. Would you agree with me?

05 11:35:05 A I again, did not.

06 11:35:07 Q You use rather definitive language supporting this

07 11:35:10 position rather than evaluating competing positions?

08 11:35:13 Would you agree with me?

09 11:35:16 A I always evaluate the positions of both sides in such

10 11:35:22 statements and when you ask whether I try to be as

11 11:35:29 clear as

12 11:35:30 possible, then I can can give you an easy answer. I

13 11:35:34 always try to be as clear as possible. This is what I

14 11:35:38 also require from my students. For example. This is

15 11:35:42 also what we try to do in our textbooks to

16 11:35:46 be as precise, as clear as possible. And this is also

17 11:35:51 something which in the end favors the picture of a

18 11:35:55 lawyer as being precise to the point.

19 11:35:59 And I hope you you also want to be precise and to the point.

20 11:36:05 Q Yeah. Therefore, I would kindly ask you to refer to

21 11:36:09 page 39 of your 2nd expert opinion and read the 7th

22 11:36:13 line at

23 11:36:16 paragraph 9339, page 39, paragraph 9093.

24 11:36:21 That's very convenient.

25 11:36:23 A Paragraph 93.

01 11:36:23 Q Yeah, the 7th line starting from the words.

02 11:36:26 Therefore, it would be outright.

03 11:36:31 A Therefore.

04 11:36:31 Q Yeah. One sentence is is enough. Just one sentence.

05 11:36:40 A Therefore, it would be outright wrong to speak of an

06 11:36:44 honest quote, offer a proposal of changes or any

07 11:36:48 endeavour of GPE to come to a mutual solution

08 11:36:53 acceptable to both parties.

09 11:36:56 Q Now kindly turn to page 46 of the same report to the

10 11:37:01 paragraph 113.

11 11:37:02 A Yes.

12 11:37:03 Q And read the last sentence.

13 11:37:09 A Upon a closer look. However, these quote citations

14 11:37:13 can only be but regarded as several, quote red

15 11:37:18 herrings.

16 11:37:18 Q Would you accept that such clear language as you frame

17 11:37:21 it is more typical of advocacy submissions than

18 11:37:25 neutral expert analysis?

19 11:37:27 A No, because it's just as precise as possible. And if

20 11:37:32 it's a misquotation, it's a misquotation. And there's

21 11:37:36 there's no reason to circumvent the question. If it's

22 11:37:39 correct, it's correct. If it's not correct, it's not

23 11:37:41 correct. And you can state this. You have to you

24 11:37:45 have to give the reader a clear picture of your

25 11:37:48 opinion. This is my opinion, of course, some some

01 11:37:53 someone else can formulate in a different way. That's
02 11:37:57 that's understood, of course, but I prefer to be cl
03 11:38:02 clear.
04 11:38:02 Q As a sitting Constitutional Court judge, would you
05 11:38:05 expect an expert appearing before you to be. And to
06 11:38:09 be seen as independent of the party that retained
07 11:38:12 them, am I correct? Do you accept.
08 11:38:15 A That we seldom have oral hearings at the
09 11:38:19 Constitutional Court? In most of the cases, it is
10 11:38:23 decided by. In closed hearings, not not in public
11 11:38:29 meetings. But yes, of course.
12 11:38:32 Q Would you accept that a reasonable observer might
13 11:38:36 question whether a judge acting as a paid expert for
14 11:38:39 one side in a high stake, politically sensitive?
15 11:38:41 Let's be clear dispute can fully avoid that perception
16 11:38:45 of alignment. Of course. Ultimately, your opinion in
17 11:38:55 this situation.
18 11:38:56 A Austrian constitutional law. Pardon the case has
19 11:38:59 nothing to do with Austrian constitutional law. As
20 11:39:03 you certainly know.
21 11:39:09 Q Ultimately, your opinion in this arbitration is relied
22 11:39:11 upon by PPD to advance its case. Am I correct?
23 11:39:17 A PPD advances in this case? Yeah, I assume so.
24 11:39:22 Otherwise they would not have sued.
25 11:39:25 Q And you understand that the tribunal must assess not

01 11:39:29 only the content of your opinion, but also its
02 11:39:32 independence and objectivity. Correct?
03 11:39:35 A I assume so.
04 11:39:40 Q Dr Perner, you were appointed to the Constitutional
05 11:39:43 Court following nomination by the political party.
06 11:39:46 Now, correct?
07 11:39:51 A I was appointed by by the by the president of the
08 11:39:56 federal republic, alexander van der Bellen. But you
09 11:39:59 were.
10 11:40:00 Q Proposed by NEOs.
11 11:40:01 A Would you maybe. Let me answer the question, but yes,
12 11:40:07 you you said you would interrupt me. Maybe. And you
13 11:40:10 also apologized beforehand. So you. Apologise again.
14 11:40:13 You did not. You do not need to apologise again. The
15 11:40:17 suggestion came by the government of the Republic of
16 11:40:20 Austria.
17 11:40:22 Q So you do not accept that Parthenios like proposed you
18 11:40:26 as a judge of Constitutional Court of Austria?
19 11:40:30 A Yeah, they. They suggested my nomination within the
20 11:40:37 government, but it was a nomination by the government.
21 11:40:40 Q Well, because it was their turn, wasn't it? It was.
22 11:40:43 It was their turn to suggest, wasn't it?
23 11:40:46 A That's what I read on the media. And that's what I, I
24 11:40:52 think is correct. But yeah, appointed by the
25 11:40:56 government and ultimately by the president of the

01 11:40:58 federal republic.

02 11:41:00 Q Would you accept that NEOS has publicly taken

03 11:41:03 positions regarding Russian energy policy and Gazprom?

04 11:41:08 A I think so, yes.

05 11:41:11 Q NEOS, to be more specific, has made statements

06 11:41:13 advocating for immediate departure from Russian gas

07 11:41:16 supplies. Correct?

08 11:41:18 A I don't know, might be true. Yeah, if you say so.

09 11:41:22 Q So you are not aware of of these statements. As an

10 11:41:25 Austrian citizen.

11 11:41:26 A I'm not aware of all the statements. You know, in

12 11:41:29 Austrian politics. I assume it's like in politics in

13 11:41:32 Europe and, and elsewhere. There are many statements,

14 11:41:36 there's much media noise and you don't follow all the

15 11:41:38 statements. But when it comes to the independence of Austria

16 11:41:47 from Russian gas supply, I would agree that NEOS take

17 11:41:53 a more independent position than maybe the freedom

18 11:41:57 party of Austria, which has closer ties to Russia.

19 11:42:01 The NEOS, for example, are of the opinion that clean

20 11:42:05 energy must be pursued rather than gas. That's

21 11:42:10 correct, that's correct. And coal? That's correct.

22 11:42:15 Q So you are not to publicly distance yourself from

23 11:42:18 those statements of NEOS, are you?

24 11:42:21 A Distance myself, I have to be completely impartial.

25 11:42:26 Q But you have never done this publicly. And you're not

01 11:42:28 doing this now?

02 11:42:29 A No, because I would never in public argue about

03 11:42:35 politics in my role as justice at the Constitutional

04 11:42:40 Court. And to be honest, I never did this before.

05 11:42:44 I'm not a member of the NEOS. I do not have any close

06 11:42:48 ties to any party, I think, or I hope I assume I was appointed

07 11:42:54 because of my expertise. I was appointed after an

08 11:43:00 independent hearing. I was not mentioned as the

09 11:43:06 candidate of the party beforehand. I'm just an

10 11:43:10 independent expert who happens to be justice at the

11 11:43:14 Constitutional Court of Austria.

12 11:43:17 Q Prof Perner, from the perspective of reasonable

13 11:43:21 external observer, you are asserting constitutional

14 11:43:24 judge appointed with the support of a political party,

15 11:43:26 NEOS, that has taken public positions, not you, but

16 11:43:29 the party, of course, critical of Gazprom on the

17 11:43:32 issues related to this dispute. And you now appear as

18 11:43:36 a paid expert party appointed expert against Gazprom

19 11:43:39 Export. Do you.

20 11:43:40 A Accept that at this time interrupt you because you

21 11:43:45 said was critical of Gazprom, not you.

22 11:43:47 Q But but yeah.

23 11:43:48 A Yeah, that's what you said. I'm not sure, but I doubt

24 11:43:54 that NEOS was critical of Gazprom. I think they are, in fact, for reasons of

25 11:44:02 climate change, maybe economic independence, critical

01 11:44:08 of dependence on gas and oil. That is correct. But I
02 11:44:12 don't think that this assessment equals to being
03 11:44:16 critical of a certain company, Gazprom, for example.
04 11:44:20 Q So just for reiterate, for reiteration, you are not
05 11:44:24 aware of any statements of NEOS party specifically
06 11:44:27 addressed against Gazprom.
07 11:44:28 A I'm not aware.
08 11:44:29 Q Of them. Okay. No problem. But okay, then just last
09 11:44:32 question on this thing. And we finally moved to the
10 11:44:34 law. Do you accept that if you were sitting as a judge
11 11:44:39 and saw an expert with your exact profile? I'm not
12 11:44:42 saying you specifically your exact profile appointment
13 11:44:44 with the support of this party, public alignment
14 11:44:47 and
15 11:44:48 party appointing appointment testimony, you would
16 11:44:51 examine that expert's independence with
17 11:44:54 some
18 11:44:54 sort of care, wouldn't you?
19 11:44:59 A Know? I mean, I would always assess anything with care,
20 11:45:06 but I cannot doubt any independence of such a person.
21 11:45:11 How should I?
22 11:45:13 Q Well, okay, then we can move to the REMIT questions.
23 11:45:17 A And as I said before, not that it is of substantial
24 11:45:22 relevance, but I might add that I was appointed long,
25 11:45:27 long before, before I became a member of the Constitutional

01 11:45:32 Court of Austria. As I said in the beginning, for the
02 11:45:35 sake of
03 11:45:35 transparency and for the sake of clarity between the
04 11:45:39 1st and the 2nd report, I was appointed. So
05 11:45:45 I
06 11:45:45 understand that you follow Austrian politics
07 11:45:47 very closely. So you might know that in February of
08 11:45:55 2025, the government formed, including NEOS, and this
09 11:46:01 was long after I had been appointed in this
10 11:46:07 dispute
11 11:46:08 between PPD and Gazprom. Thank you. Just to make
12 11:46:11 that.
13 11:46:11 Q Clear, that's absolutely clear. Also, one matter of
14 11:46:15 fact, to to end up this personal part is like that.
15 11:46:19 NEOS indeed has direct
16 11:46:21 statements
17 11:46:22 against Gazprom now.
18 11:46:24 A And also maybe. In my opinion, I do not deviate in
19 11:46:31 my 2nd expert opinion from the 1st legal expert
20 11:46:34 opinion, I included REMIT. In the 1st expert
21 11:46:38 opinion,
22 11:46:39 I included section 1041. I included force
23 11:46:43 majeure.
24 11:46:44 I included the rest. It is correct that I
25 11:46:47 did not include article 54. This was

01 11:46:50 because it was
02 11:46:51 only
03 11:46:52 mentioned by Prof Schleicher in
04 11:46:54 his report, which was sort of answer to
05 11:46:58 my 1st report. And article 54 was not mentioned
06 11:47:02 by
07 11:47:02 me, because maybe we can discuss this later. As I
08 11:47:06 pointed out in my presentation, I think it is not the
09 11:47:09 right answer for our case. Prof cricketers. I think
10 11:47:13 it doesn't.
11 11:47:15 Q Like, for the sake of clarity, article 54 was
12 11:47:20 mentioned in the statement of defence by the
13 11:47:23 respondent. But I understand you were not just not
14 11:47:26 instructed to opine upon article 54 in your 1st
15 11:47:30 report. Therefore, no questions from us from our side
16 11:47:32 in this regard.
17 11:47:34 A Yeah. I mean, we were I mean, I think that we experts
18 11:47:43 are appointed in order to assess disputed questions or
19 11:47:48 critical questions and questions. Where where the
20 11:47:51 answer is obvious might be included, such as section
21 11:47:56 1041, but also might be excluded.
22 11:48:01 Q Well, so moving to the REMIT part, by the way, you
23 11:48:04 have just stated that this dispute has nothing to do
24 11:48:07 with the Austrian constitutional law. Do you confirm
25 11:48:10 this statement? And do not you agree with me that

01 11:48:15 REMIT issues do. Relate to Austrian constitutional
02 11:48:20 law as practically as part of the EU law? In this
03 11:48:24 part it is more or less constitutional. One.
04 11:48:28 A Well, in the sense that European Union law.
05 11:48:37 Supersedes even Austrian constitutional law if it does
06 11:48:42 not come to the basic principles of Austrian
07 11:48:47 constitutional law, then the answer would be yes. But
08 11:48:50 you know that the body of Austrian constitutional law
09 11:48:56 and the body
10 11:48:57 of European material union law is rather
11 11:49:02 different, and you would not find
12 11:49:05 a single, not a single legal textbook on Austrian
13 11:49:09 constitutional
14 11:49:10 law mentioning such directives of the European
15 11:49:14 Union
16 11:49:14 in order to discuss questions and matters of constitutional law.
17 11:49:20 Is there. I think this is quite
18 11:49:21 obvious. I think it's obvious for you too.
19 11:49:24 Q Is there any case law establishing tortious liability
20 11:49:27 for damages under REMIT?
21 11:49:30 A So we shift the focus now from constitutional law to
22 11:49:34 okay, if there is any case law.
23 11:49:37 Q Establishing tortious liability for damages under
24 11:49:40 REMIT.
25 11:49:41 A As I mentioned, there is case law by the Austrian

01 11:49:48 Supreme Court. The other one, the Supreme Court
02 11:49:52 discussing market manipulation cases under the
03 11:49:58 Austrian Stock exchange act. That is true. It is
04 11:50:02 also a market manipulation case. And the Austrian.
05 11:50:06 The Austrian Supreme Court precisely laid out its position on how market
06 11:50:16 manipulation on the one hand
07 11:50:19 and section 1311 of the Austrian civil Code on
08 11:50:26 the other hand. Converge. Let's say let's use this
09 11:50:31 term because the unlawfulness is ordained by the market
10 11:50:36 manipulation provisions and the entry door
11 11:50:36 to
12 11:50:37 tortious liability is section 1311. This is the same
13 11:50:41 for the Austrian Stock Exchange Act and of course for REMIT. Even if there are no
14 11:50:48 specific remedy cases, at least I'm not aware of them.
15 11:50:52 Q So this is just to clarify and confirm it refers to
16 11:50:55 Austrian national law provisions rather than REMIT and
17 11:50:57 REMIT is not mentioned in this case. You've mentioned
18 11:50:59 in your presentation.
19 11:51:02 A It refers to the Austrian stock exchange act, which
20 11:51:05 prohibits market manipulation, and it is settled case
21 11:51:10 law of the Austrian Supreme Court that protective
22 11:51:15 laws, in the sense of section 1311 are statutes can be
23 11:51:21 administrative acts, can be national, can be of
24 11:51:29 international provenance, can be European Union law
25 11:51:32 provisions, everything. So if you count one and one, then the result is
26 11:51:39 two.

01 11:51:39 Q So no REMIT is mentioned "yes" or "no"?

02 11:51:41 A Yes. But there's also no case law awarding damages.

03 11:51:46 If somebody drops a bomb on the intercontinental. And

04 11:51:49 we are sure that tort law claims would exist.

05 11:51:52 Q Is there any specific act prohibiting throwing bombs

06 11:51:57 on intercontinental?

07 11:52:00 A Is there any.

08 11:52:00 Q Any specific act specifically prohibiting throwing

09 11:52:04 bombs into intercontinental specifically?

10 11:52:07 A No. And there's a specific act. Isn't it? Yeah.

11 11:52:10 Even better for claims.

12 11:52:13 Q You mean what which which of them.

13 11:52:15 A Even better because sections 1311 as I just said is

14 11:52:19 the entry door. It's the entry for unlawfulness

15 11:52:24 coming from the whole legal body of framework

16 11:52:28 nationally and internationally. And it transposes

17 11:52:31 this verdict of unlawfulness into Austrian toddler.

18 11:52:37 Q So following that, you have just stated, let's open

19 11:52:42 paragraph 31 on page 10 of your 1st report.

20 11:52:50 Yeah.

21 11:52:50 And the 3rd sentence there. If you could kindly

22 11:52:55 read it. 3131 the 3rd sentence the EU prohibit

23 11:53:02 prohibition.

24 11:53:07 A The 1st sentence is the.

25 11:53:07 Q Third one, the 3rd one, the 3rd one. Sorry.

01 11:53:11 A The EU prohibition then serves as the anchor for the
02 11:53:16 qualification of a certain behaviour as unlawful,
03 11:53:20 whereas the other prerequisites for a claim, ie damage
04 11:53:24 and causation, are derived from national toddler.
05 11:53:28 Q Would you agree with me that the causation test should
06 11:53:31 be applied? The one that is envisaged by the national
07 11:53:34 law? Yes. Thank you very much. Now, moving further
08 11:53:44 to the question of duress.
09 11:53:46 A There is no other question. I would like to add one
10 11:53:49 aspect.
11 11:53:50 Q Respectfully, Dr Perner, the frame of
12 11:53:53 cross-examination is that I'm answering, asking
13 11:53:55 questions, answering. And then you have an option of
14 11:53:58 direct.
15 11:53:59 A You asked half a question because you know that in my
16 11:54:03 presentation, I did not only refer to section 1311,
17 11:54:08 but also on a, on on a slide on national tort law, on
18 11:54:17 other applicable national laws. And what I said was,
19 11:54:20 as Prof Koller said before me, that national laws have
20 11:54:28 to grant tort law claims because they are ordained by
21 11:54:33 European Union law. And it would be rather peculiar
22 11:54:38 to have a verdict coming from European Union law and
23 11:54:43 not transposing it or transposing it. In different
24 11:54:50 member state countries in a different way. And this
25 11:54:53 is what I would like to add. So the causation test

01 11:54:56 comes from Austrian law, as causation provides for
02 11:55:00 damages in the end. But maybe it's different in
03 11:55:05 another member state. And then the principle of
04 11:55:08 effectiveness is to be observed.
05 11:55:13 Q Why did not you then check article 6636 for provisions
06 11:55:18 of Rome II?
07 11:55:20 A What do you mean? Why did I not check them?
08 11:55:23 Q Why did not you give your opinion on them? If this is
09 11:55:26 the important point you are now covering under the
10 11:55:29 principle of effectiveness. Because it.
11 11:55:33 A Suffices to cite the principle of effectiveness. I
12 11:55:36 don't need secondary law to assess what primary law
13 11:55:39 prescribes for.
14 11:55:41 Q What is your source to state? That principle of
15 11:55:44 effectiveness is a primary law, whereas article 6 of
16 11:55:47 the Rome II is secondary one, because.
17 11:55:50 A Article 6 comes from a directive and the principle of
18 11:55:53 effectiveness comes from the treaties and the treaties
19 11:55:56 are primary law and directives are secondary law. So
20 11:56:01 article 288 of the Treaty on the Functioning of the
21 11:56:03 European Union regulations and directives. It's a.
22 11:56:07 The Rome II direct regulation, of course.
23 11:56:10 Q And do you state that regulations are part of the
24 11:56:14 secondary law of the EU?
25 11:56:15 A Yes.

01 11:56:15 Q I do, and do you believe that principle of
02 11:56:18 effectiveness in this regard supersedes article 6 of the Rome II, am I
03 11:56:22 correct?
04 11:56:23 A I say that the principle of effectiveness comes from
05 11:56:27 primary law and of course, secondary law has to
06 11:56:32 comply with primary law. I mean, there are decisions
07 11:56:35 of the European Court
08 11:56:36 of Justice where it declared directives and
09 11:56:40 regulations void because they infringed European
10 11:56:44 primary law, of course.
11 11:56:48 Q Then let's move to the duress section. Finally, kindly
12 11:56:53 open page 19, paragraph 49 of the 1st
13 11:56:56 expert report of Dr Perner. Please. Let's move to
14 11:57:01 the
15 11:57:01 5th line. The words the
16 11:57:05 general prerequisites. If you could kindly read it,
17 11:57:07 Prof Perner.
18 11:57:10 A The whole sentence.
19 11:57:11 Q From the sentence, the general prerequisites, the 5th
20 11:57:15 line. So regarding.
21 11:57:17 A The general prerequisites for the reliance on duress
22 11:57:21 under section 817, Austrian general Civil Code.
23 11:57:27 Therefore, 1st a contract agreement. Second
24 11:57:30 inducement of unjust and reasonable fear. Third,
25 11:57:35 causation of the agreement by the other party.

01 11:57:38 Q Do you confirm that these are the elements of duress
02 11:57:41 pursuant to section 870 Austrian Civil Code?
03 11:57:45 A I can confirm this.
04 11:57:48 Q And under Austrian law, who is to prove elements of
05 11:57:51 duress, claimant or respondent?
06 11:57:56 A The one who relies on a specific prerequisite. So.
07 11:58:04 So in general, if the prerequisite is a. For example,
08 11:58:10 contractual agreement, the claimant would have to
09 11:58:14 prove the contractual agreement.
10 11:58:15 Q So in the case at hand it's PPD. That is that bears
11 11:58:19 burden of proof, correct? Yes. So causality is one
12 11:58:25 of the elements of duress under section 870, Austrian
13 11:58:28 Civil Code. Correct.
14 11:58:31 A It's the 3rd prerequisite.
15 11:58:33 Q Thank you. Is my understanding correct that for
16 11:58:36 duress under section 870, fear must be induced by the
17 11:58:41 counterparty. Is it correct that the threat must have
18 11:58:46 come from GPE in the case at hand in order to to to
19 11:58:49 for duress to be established under section 870.
20 11:58:53 Austrian Civil Code.
21 11:58:53 A From Gazprom. Yes. Yes. From the.
22 11:58:55 Q From Gazprom. Gazprom Export.
23 11:58:57 A From the contracting partner.
24 11:58:59 Q Which which of them is a contracting partner? Gazprom
25 11:59:03 or Gazprom.

01 11:59:03 A Export the party to the contract of 2017. In your
02 11:59:07 words.
03 11:59:09 Q GPE and in your.
04 11:59:10 A Words, the contracting partner.
05 11:59:13 Q Let's move it like that.
06 11:59:14 A You ask the general question and I gave you on this
07 11:59:18 basis, the general answer.
08 11:59:20 Q The last one was specific. But anyway, and you have
09 11:59:23 made this conclusion in your expert report explicitly,
10 11:59:27 am I correct.
11 11:59:30 A Which conclusion.
12 11:59:30 Q That the contracting party should induce fear on its
13 11:59:35 counterparty? So section 870 can work okay.
14 11:59:40 A But it also. Yes, that is correct. But it also
15 11:59:44 suffices if the contracting partner accepts. When
16 11:59:52 another party 3rd party makes the threat sort of
17 11:59:57 incorporates the threat into the own behaviour. But
18 12:00:01 in principle, this is section 875 of the Austrian
19 12:00:06 general Civil Code, which affects threats by 3rd
20 12:00:10 parties. But in general, it's the contracting
21 12:00:13 partner. As you say. This is correct, I can confirm.
22 12:00:15 Q Have you cited section 875, Austrian Civil Code
23 12:00:19 anywhere in your reports?
24 12:00:22 A I would I mean, we have only limited time and.
25 12:00:25 Q To the best of your knowledge.

01 12:00:27 A And I. I sure that you scrolled through my
02 12:00:31 presentations and through my reports, and I'm sure
03 12:00:34 that you are able to provide an answer.
04 12:00:37 Q For the record. The answer is no to the best of your
05 12:00:40 knowledge, have you. Do you know whether PPD relies
06 12:00:45 on section 875 anywhere in its submissions? PPD.
07 12:00:54 A Not sure whether PPD rely. I don't remember that PPD
08 12:00:58 relied on section 875, but of course, as you know, in
09 12:01:07 many cases, even the Austrian Supreme Court does not
10 12:01:12 end in. In our lectures it's the same. We do not
11 12:01:16 always differentiate between the threat or the. In
12 12:01:21 general, generally speaking, because it also
13 12:01:25 affects other cases within the meaning of section 871
14 12:01:32 and 870
15 12:01:33 deceit. For example, whether this behaviour must have
16 12:01:36 come from the contracting partner or from 3rd
17 12:01:39 parties, because
18 12:01:40 there are situations where it's not actually
19 12:01:43 the contracting partner, but a 3rd party and the
20 12:01:47 contracting partner accepting this 3rd party
21 12:01:51 behaviour. So if it's 870 or the additional
22 12:01:56 prerequisites of
23 12:01:59 875 is sometimes not easy to distinguish.
24 12:02:02 Q Would you agree with me, Dr Perner, that section 870
25 12:02:05 and section 875 are two different provisions of

01 12:02:08 Austrian Civil Code.

02 12:02:11 A Is this really a question?

03 12:02:13 Q It's for the record, I need to get it from.

04 12:02:16 A You 870 and 875. Whether these are different

05 12:02:21 sections, I. I can happily confirm this.

06 12:02:23 Q Thank you very much. Could we kindly open ra01

07 12:02:30 exhibit for the for the technical is l 2.1. Could you kindly zoom it a

08 12:02:43 little bit? And a little bit below to the section

09 12:02:53 875. Even though neither Prof

10 12:03:00 Perner nor PPD ever cited this section

11 12:03:04 beforehand, I kindly ask you, Dr Perner, to read it

12 12:03:06 out aloud for everybody to be on the same page.

13 12:03:12 A 875 if one of the contracting parties has been induced

14 12:03:16 by a 3rd party to enter into a contract by trickery, I

15 12:03:20 would say deceit. Where do you have this

16 12:03:22 translation from? Okay. Or by unjust or and

17 12:03:25 well-founded fear or to make an erroneous declaration. This is error in the sense of

18 12:03:33 871. The contract shall

19 12:03:34 be valid only in the case that the other party

20 12:03:40 participated in the 3rd party's action, or must

21 12:03:44 obviously have known of it. Do 870 to 874 apply?

22 12:03:52 Q Could you kindly recall whether, to the best of your

23 12:03:55 knowledge? Of course. The case of PPD falls under

24 12:03:59 this section, and maybe, if yes, guide us to any

25 12:04:02 sources on the record confirming this.

01 12:04:06 A Sources on the record confirming what?

02 12:04:09 Q That PPD pleads that its case falls under section 875,

03 12:04:13 all extended under section 875.

04 12:04:17 A You know, as I said before, being different legal

05 12:04:22 sections within the Austrian Civil Code, there is a

06 12:04:26 close link because uniform, uniform. In the end, I

07 12:04:31 cannot think of a legal opinion contradicting the

08 12:04:38 statement 875 only affects certain 3rd parties. The

09 12:04:46 so-called real 3rd parties. And then there are other

10 12:04:50 3rd parties. For example, auxiliaries or. People

11 12:04:59 within the company, which are not 3rd parties in the

12 12:05:04 sense of 875. And their behaviour is always

13 12:05:10 attributed to the contracting partner. So it the

14 12:05:13 point is, it would be misleading to say that the

15 12:05:17 behaviour of all 3rd parties is covered by 875,

16 12:05:21 because it's undisputed under Austrian law, that 875

17 12:05:27 only concerns certain 3rd parties.

18 12:05:29 Q Have you any source on the record confirming your

19 12:05:34 words?

20 12:05:36 A We might. I'm not sure because as as you know, we are

21 12:05:43 limited to the exhibit numbers, which is I mean, you

22 12:05:50 mentioned the transparency and the impartiality of

23 12:05:54 judges and I, I agreed with you, and I think that is a

24 12:06:00 good point you make. It would be wise to to let us

25 12:06:04 before a tribunal, just state what, in our opinion, the

01 12:06:11 legal framework

02 12:06:11 ordains and and also refer to exhibit numbers which are

03 12:06:15 by chance not part of the exhibits, but fact under

04 12:06:21 Austrian law. And I guarantee you that the

05 12:06:24 distinction between 3rd parties in the sense of 875 and other 3rd parties is

06 12:06:30 settled under Austrian law. In 2017, I

07 12:06:34 published a textbook on Austrian civil

08 12:06:37 law before.

09 12:06:38 Q We're moving.

10 12:06:39 A There, before.

11 12:06:39 Q Moving there, if I may, because the time is limited.

12 12:06:42 And I kindly.

13 12:06:42 A Ask you.

14 12:06:43 Q Dr.

15 12:06:45 PRESIDENT: It's absolutely impossible to record if both

16 12:06:47 of you speak over each other. So I would ask you just

17 12:06:54 to consider the tribunal's interest, which is to hear

18 12:06:58 a question and answer.

19 12:07:02 Now, if there is anything you would like to add to

20 12:07:06 a question, you will have the opportunity in redirect

21 12:07:10 to add. But I would ask for the interest of the tribunal

22 12:07:17 to allow Prof Bennett to finish his sentence. So

23 12:07:22 please finish your sentence. Do not develop too much

24 12:07:25 because there will be an opportunity to review the

25 12:07:30 what you're introducing. So you were saying

01 12:07:33 just briefly.

02 12:07:34 A Just short in the standard textbooks of Austrian civil

03 12:07:37 law, you will find the distinction.

04 12:07:41 Q When you introduced your long answer, you started from

05 12:07:45 the word. In our opinion, by this hour, who do you

06 12:07:49 mean?

07 12:07:52 A The answer of. Could you maybe scroll up?

08 12:07:55 Q Of course. That's .18.2 for line of the transcript.

09 12:08:01 You say it would be wise to to let us before a

10 12:08:05 tribunal, just state what in our opinion, the legal

11 12:08:08 framework ordains.

12 12:08:09 A Yeah, the legal experts.

13 12:08:11 Q So all the legal experts together.

14 12:08:13 A Yeah. It is also true for Prof Klicker, of course. I

15 12:08:16 mean, if if, if he presents an idea which he did not

16 12:08:20 mention in his report and he has a suitable exhibit

17 12:08:23 number or does not have a suitable exhibit number,

18 12:08:28 should not should not make any difference in assessing

19 12:08:33 the legal framework. I mean, it is settled, Austrian law,

20 12:08:38 that

21 12:08:38 you have to distinguish between 3rd parties in the

22 12:08:41 sense of 875 and others. That's what I refer to. I

23 12:08:44 refer to us as the legal experts.

24 12:08:49 Q So moving further anyway, would you agree with me that

25 12:08:52 standard of fear pursuant to Austrian Civil Code is

01 12:08:56 subjective? I mean that the threatened part is
02 12:08:58 perception of threat is decisive in this regard.
03 12:09:07 A The perception of the threatened party that is
04 12:09:10 decisive.
05 12:09:11 Q Is there any case law establishing.
06 12:09:14 A Because the provision protects the free will of the
07 12:09:19 one who has the right to rescind under 870, and
08 12:09:25 therefore it is a subjective test which we apply?
09 12:09:27 That is correct.
10 12:09:29 Q Is there any case law establishing test of reasonable
11 12:09:32 fear on the side of a company?
12 12:09:43 A I'm I'm not sure because these cases I mean, obviously
13 12:09:49 these cases differ from one another because it's
14 12:09:53 duress and it's reasonable fear induced by one party.
15 12:09:56 This is not a standard case. These are specific cases
16 12:10:02 which have to be assessed specifically on the fact to
17 12:10:07 fact basis. Yeah.
18 12:10:08 Q Well, let me rephrase my question then. Is there any
19 12:10:10 case law establishing reasonable fear on the side of a
20 12:10:13 company? I mean, at least one case that that is on
21 12:10:17 the record referring to company being in fear in terms
22 12:10:21 of section 870 or 875, for that matter.
23 12:10:26 A There might be there might be cases. I don't know
24 12:10:29 whether there are cases on the exhibit list. And I
25 12:10:35 don't I don't have a full, clear assessment and

01 12:10:39 picture of all these cases, but I would assume that
02 12:10:42 there are cases also where reasonable fear was induced
03 12:10:46 on a business person. Of course, in long standing
04 12:10:51 contractual relationships, as you know, it is settled
05 12:10:54 case law that the fear can be unjust. Also, in cases where the threat
06 12:11:03 is made by.
07 12:11:06 By. Alluding to an unlawful termination of the
08 12:11:12 contract. And it does not make a
09 12:11:13 difference whether this is a contract with a consumer or
10 12:11:18 with a
11 12:11:19 business person, because the contract can be as
12 12:11:22 relevant for the consumer as for the business person.
13 12:11:26 So I don't see the relevance of the difference
14 12:11:30 between consumers and business purposes. It can be a
15 12:11:33 highly relevant case and a highly relevant contract
16 12:11:38 for this business person. The only contract for the business person with the
17 12:11:45 only supplier and then the standard of fear. Why
18 12:11:48 should it differ to the standard of fear in cases of
19 12:11:51 consumers? I honestly don't see the difference.
20 12:11:57 Q Well, have you compiled exhibits to your reports
21 12:12:00 yourself, Dr Perner?
22 12:12:03 A Have I compiled exhibits to my report.
23 12:12:06 Q Yourself.
24 12:12:07 A Which means have I.
25 12:12:10 Q Prepared them like for presentation before the

01 12:12:14 tribunal yourself? I mean ones that are cited in it.

02 12:12:17 A I wrote everything myself, yes.

03 12:12:20 Q And effectively. But for the clarification, there is a case about the

04 12:12:26 company on, on on the record about establishing reasonable

05 12:12:30 fear on the side of a company pursuant to section 870,

06 12:12:33 Austrian Civil Code, and Prof Perner respectfully

07 12:12:36 cited it as cws869. But in order to have full

08 12:12:41 translation in English on on the screen, are we kindly

09 12:12:45 ask the technical staff to open it as exhibit r, l e

10 12:12:50 25 or k 4.25, if I may.

11 12:12:59 A Where did I cite it?

12 12:13:01 Q Right after paragraph 54 of your 1st report. It's.

13 12:13:09 118 ook case.

14 12:13:12 A 1800. obr okay. Okay.

15 12:13:19 Q Okay.

16 12:13:20 A Yeah.

17 12:13:24 Q Can you kindly scroll a little bit down?

18 12:13:29 A Let me just read the sentence, which includes the

19 12:13:33 footnote according to established case law. And now I

20 12:13:37 cite exhibit {CWS-869}, the subjective view of the

21 12:13:42 threatened party is decisive in this regard.

22 12:13:45 Q That's why I'm asking you this question precisely.

23 12:13:47 A That was your question. Yeah.

24 12:13:50 Q So if I may, I would kindly read for the tribunal

25 12:13:53 reasons for the decision. The only decision about

01 12:13:57 establishing reasonable fear on the side of company
02 12:14:01 provided to the materials. The 1st plaintiff and the
03 12:14:05 defendant were partners from 1988 to June 1996. She
04 12:14:11 supported him during their relationship in every
05 12:14:14 respect, but especially financially. Even though
06 12:14:17 there had been repeated relationship crisis since
07 12:14:21 1992, the 1st plaintiff was always psychologically at
08 12:14:24 the mercy of the defendant and although she recognised
09 12:14:27 her sad situation, was simply unable to
10 12:14:30 help herself, she was also physically abused by him. The defendant, who traded
11 12:14:36 in all kinds
12 12:14:37 of goods during the cohabitation, had already
13 12:14:39 successfully passed the certified public accountant
14 12:14:42 exam in 1979. For this reason, the 1st
15 12:14:46 plaintiff as managing director of the 2nd plaintiff
16 12:14:49 entrusted him with the accounting from the beginning
17 12:14:51 of the cohabitation, the defendant, who was not up to
18 12:14:55 the requirements of proper accounting, given his
19 12:14:56 knowledge and skills, only did the accounting work
20 12:15:00 sporadically, which is why several financial
21 12:15:02 criminal
22 12:15:02 proceedings were brought against the 1st plaintiff
23 12:15:05 during the cohabitation to limit the time. I'll stop
24 12:15:07 right here because you know it suffices. Dr
25 12:15:13 Dr Perner,

01 12:15:13 do you know who was the CEO of PPD back in April 2022?

02 12:15:21 A The CEO of PPD? I assume Mr Vujnovac.

03 12:15:27 Q Is it correct that you apply the case about the small

04 12:15:31 company run by a couple in abusive relationships to

05 12:15:34 the CEO and one of the key companies, one of the key

06 12:15:37 suppliers of gas to the southeastern region of Europe.

07 12:15:43 A Sorry that he's the the head of this company, which is

08 12:15:47 he was.

09 12:15:47 Q He was he was.

10 12:15:48 A Yeah, yeah.

11 12:15:49 Q My question is, is it correct that you apply this

12 12:15:52 case? I mean, the case about.

13 12:15:53 A I understood you correctly. No, I did not apply any

14 12:15:56 cases. I applied the law.

15 12:15:58 Q But do you believe that this case is somewhat relevant

16 12:16:01 to the question at hand, don't you?

17 12:16:04 A I mean, I had to assess the question whether the

18 12:16:06 subjective view of the threatened party is decisive.

19 12:16:09 And the answer is yes. And there are official

20 12:16:13 headnotes of the Austrian Supreme Court, also cited in

21 12:16:17 footnote 38, which confirmed this, and also this case.

22 12:16:20 Yes.

23 12:16:22 Q Do you believe that PPD discharged its burden of proof

24 12:16:26 regarding reasonable fear on its side?

25 12:16:29 A Discharged in what manner.

01 12:16:32 Q So matched the burden of proof like the standard of
02 12:16:34 proof under Austrian law?
03 12:16:37 A You know, I, I did not assess the facts of the case,
04 12:16:45 but as we discussed before, I assessed the legal
05 12:16:50 consequences arising out of the facts which were
06 12:16:56 presented here. And I certainly read the letter from
07 12:17:01 April 1, which I also cited in my reports and in the
08 12:17:07 presentation. The letter, in the words of 870,
09 12:17:13 threatened to not deliver any gas anymore if PPD did
10 12:17:20 not comply with the payment mechanism and applying
11 12:17:25 such reasonable standards which. Which allude to
12 12:17:33 behaviour or elements within a person, always have to
13 12:17:38 be also assessed from an objective manner. Assessing
14 12:17:43 a reasonable party and a reasonable contracting
15 12:17:48 partner would. Of course, when it comes to such a
16 12:17:51 contract, be in fear because, as I understood, gas
17 12:17:56 supply from Russia and from GPE was very important for
18 12:18:02 PPD and therefore the letter caused the assumption
19 12:18:09 that if it was not countersigned, gas deliveries would
20 12:18:13 be stopped. And this amounts to reasonable fear in
21 12:18:16 the sense of 870.
22 12:18:20 Q For the record, like, to the best of your knowledge,
23 12:18:23 as always, is this the only example of a case where
24 12:18:28 reasonable fear was established on the side of company
25 12:18:31 you provide this cited case.

01 12:18:36 A I would have to look, for example, at the cases cited
02 12:18:41 in the official headnote I cited in footnote 38. For
03 12:18:45 example.

04 12:18:46 Q I mean official head notes. That's that's clear. I
05 12:18:48 mean, the cases themselves, when you refer to the case
06 12:18:51 specifically, was this the only one?

07 12:18:57 A Again, I don't know which of the cases within the
08 12:19:01 official head notes could relate to business persons
09 12:19:06 or consumers.

10 12:19:07 Q Business persons and consumers, but not to the
11 12:19:09 companies. Correct.

12 12:19:10 A Or companies. But that's, in my opinion, does not
13 12:19:13 make a difference.

14 12:19:14 Q That is that is understood.

15 12:19:16 A Because you have you all this is a good example for
16 12:19:20 for what I what I refer to when we spoke of 870. But
17 12:19:24 on the other side, of course, you have to attribute
18 12:19:29 the behaviour and also the inner elements of a
19 12:19:33 concrete person to a company because the company
20 12:19:36 itself cannot act. Therefore, the company always
21 12:19:40 needs a human and human behaviour, which has to be
22 12:19:44 attributed. This follows from section 26 of the
23 12:19:48 Austrian Civil Code, which equals companies, legal
24 12:19:55 persons and humans.

25 12:19:57 Q That is correct. Yeah, that is stated in this case

01 12:19:59 also. Yeah, no problem with that. Could I kindly ask
02 12:20:02 you to look at the at page 22
03 12:20:06 of your 1st report? It would be paragraph 55, but it's
04 12:20:09 rather
05 12:20:09 long. Yeah. Page 22. Here. Here is the statement starting from the words in
06 12:20:20 view of the above. It's somewhere in the middle.
07 12:20:21 It's the 11th line, probably. It's not that easy to
08 12:20:24 find. And I kindly ask you to.
09 12:20:29 A I can count to 11.
10 12:20:31 Q I believe you can. Yeah. So please read this one
11 12:20:36 sentence aloud if I if I may ask you.
12 12:20:38 A The demand.
13 12:20:39 Q In view of the above, it starts.
14 12:20:41 A In view of the above. It appears reasonable to
15 12:20:45 conclude that a purchaser who must expect the
16 12:20:48 interruption of gas supply as a consequence of not
17 12:20:52 giving consent, was in reasonable fear.
18 12:20:56 Q So, to the best of your knowledge and to the extent of
19 12:20:59 facts, you know, how soon could further gas supplies
20 12:21:04 be interrupted if no amendment was agreed by PPD?
21 12:21:09 Like a day, a week, a month probably.
22 12:21:18 A I think I think this is a difficult question, but not
23 12:21:23 from the factual background, but because we have to
24 12:21:29 distinguish two aspects from each other. First
25 12:21:34 aspect. We should not get into the trap of the

01 12:21:41 □202603230060 so-called hindsight bias. So we have to assess what
02 12:21:47 the reasonable person would think. And the latter
03 12:21:54 states that it had to be countersigned with a view to
04 12:21:59 uninterrupted gas supplies. Judging from this letter,
05 12:22:05 I'm not a business person and I'm not the head of PPD
06 12:22:09 or another company. Fortunately or unfortunately, however,
07 12:22:16 this
08 12:22:16 is a serious consequence which is alluded to by the
09 12:22:22 letter, and I would maybe
10 12:22:26 fear interruption within days. Second, when assessing the ongoing contract after
11 12:22:38 2022, I vaguely remember that there was a situation
12 12:22:41 where it was not paid and gas supplies were cut off
13 12:22:46 only a few days later. So I think it is. It is, and it was reasonable to
14 12:22:53 fear that the cut off happened within days. And you know
15 12:22:59 what consequences this would have for, I mean, for
16 12:23:02 the
17 12:23:03 country whose main supplier is the company who has to
18 12:23:08 rely on these sources. You cannot live without gas
19 12:23:12 supplies. If they if they run out and if you don't
20 12:23:18 have gas supplies for for a period of few days, even.
21 12:23:22 Q Did you know that on 31 March 2022, before the decree
22 12:23:27 was published, PPD had asked GPE not to supply in
23 12:23:31 April and GPE had agreed?
24 12:23:33 A No.
25 12:23:34 Q Would it impact your conclusion anyhow?

01 12:23:39 A Conclusion on.

02 12:23:41 Q On whether reasonable fear could be established on the

03 12:23:44 site of PPD in the case at hand.

04 12:23:47 A So the question was on 31 March.

05 12:23:51 Q Before the decree was published, PPD addressed GPE and

06 12:23:54 asked it not to supply in April.

07 12:23:56 A Not to supply for April.

08 12:23:57 Q Yeah. And would it affect your conclusion anyhow,

09 12:24:03 because you have just stated you did not know that

10 12:24:06 before. I just told you.

11 12:24:10 A First. First, it underlines the fact that these

12 12:24:18 supplies were made on very short notice because obviously on

13 12:24:24 the

14 12:24:24 31 March, the companies discussed the deliveries for

15 12:24:28 April. So for a day after. So obviously this all happens

16 12:24:36 on very short notice. So even. Before decree, it even underlines

17 12:24:41 my assessment. And then of course, I'm again, I'm not

18 12:24:45 a business person, but there must be a sort of

19 12:24:49 planning mechanism within the company.

20 12:24:51 And there's also a planning for for May. And I assume that if you don't receive the

21 12:25:02 the gas supply for next

22 12:25:04 month, then you run out for the month of May. That is

23 12:25:08 at least what I assume. But this is up to the

24 12:25:11 experts. And I'm sure you had experts and you will

25 12:25:16 have experts who can answer these questions much better than me. But

in my opinion, it shows that everything

01 12:25:19 happens at very short notice when we see that on
02 12:25:26 31 March, we discussed the deliveries for one April.
03 12:25:31 Of the same year.
04 12:25:35 Q Do. How does the fact that you are now discussing whether
05 12:25:39 it was reasonable to conclude that there was a fear
06 12:25:43 established on the site of PPD. Reconcile with your previous statement when you
07 12:25:50 have agreed with me that
08 12:25:55 it is the magnitude, the assessment of the person, the
09 12:25:58 concrete specific person that matters under section
10 12:25:59 870.
11 12:26:05 A I'm not an expert for gas supply. That's what I.
12 12:26:09 What I mentioned, even even before you asked for the
13 12:26:16 sake of transparency. However, as I said, we. In
14 12:26:23 many cases, as lawyers, we have to assess standard of duty,
15 12:26:29 standard of care, and therefore we have to rely on
16 12:26:29 facts given
17 12:26:36 to US. So I'm also not an engineering expert, but I would
18 12:26:43 be ready to provide an opinion on deficiencies and of
19 12:26:47 the recourses of certain parties. If the facts are
20 12:26:52 provided to me. And in this case, as I said before, the letter was
21 12:26:57 provided, and I have a picture of the factual
22 12:27:00 background, the situation, I know that gas supply is
23 12:27:04 important. I know that PPD was a very important gas
24 12:27:09 supplier in Croatia and know that that Gazprom was a very
25 12:27:13 important source of gas supply for PPD. All of this
is undisputed, and therefore my assessment is that it is

01 12:27:18 my assessment is not. I would fear the consequences.

02 12:27:22 My assessment is I think it is reasonable that

03 12:27:27 fear was induced and the tribunal would also would

04 12:27:32 also. Every judge would try to meet this standard. Is it,

05 12:27:37 in our view, reasonable to. To to in the

06 12:27:46 assessment of the case, to to see that there was fear

07 12:27:49 induced in

08 12:27:50 the end?

09 12:27:51 Q Are you aware of the contract payment term, like in

10 12:27:55 terms of timing of the payment?

11 12:27:59 A I'm aware of the mechanism and I'm aware of the

12 12:28:05 decree. I read the letter. I know, as I said in the

13 12:28:09 presentation, that the new proposed mechanism would

14 12:28:12 lead to delays. I'm not sure whether this would be

15 12:28:18 according to decree 1722, this would be delays of two days, five

16 12:28:24 days or six days. But I don't need to be an expert to

17 12:28:29 know that it is a difference. If you compare the two

18 12:28:35 mechanisms with each other. The 1st agreed mechanism

19 12:28:38 of 2017, you pay euros to the account of Gazprombank

20 12:28:45 and your obligation is discharged, and

21 12:28:47 then you pay euros to a certain account. Then

22 12:28:52 the money is changed to roubles. Then the roubles are

23 12:28:57 transferred to the account and then to the account of

24 12:29:01 Gazprombank. This must cause a delay of at

25 12:29:05 least

01 12:29:05 days. And as

02 12:29:07 you know, the sums involved are huge and interest

03 12:29:12 rates are at stake also. I mean, if you explain. I'm happy to accept. But

04 12:29:21 within a few days, gas supplies can also be cut off.

05 12:29:25 You never know whether after a payment you are

06 12:29:29 discharged of your obligations. You also don't know

07 12:29:32 whether you have to pay

08 12:29:35 additional euros because you don't know at which at

09 12:29:41 which exchange rate the euros are transferred to

10 12:29:44 roubles and

11 12:29:45 back. So you never know what happens until the amounts

12 12:29:50 agreed upon in roubles reaches the account of

13 12:29:55 Gazprombank.

14 12:29:56 Q So were you aware of the fact that PPD was to pay to

15 12:30:00 GPE under the contract pursuant to month plus 30 days

16 12:30:03 mechanism? So the next payment, from the perspective

17 12:30:07 of the one April should have come on the 30 May, not

18 12:30:10 before. Were you aware of that fact?

19 12:30:17 A I'm not aware of specific dates.

20 12:30:20 Q So last question about duress. Did you base your

21 12:30:24 position that CEO of PPD was feared on certain facts

22 12:30:29 and presumptions, which the claimant's counsel gave

23 12:30:31 you? Correct.

24 12:30:34 A The claimant's counsel gave me the facts. Yes. And I

25 12:30:37 included them into the report. Yes.

01 12:30:39 Q Thank you very much. No further questions on duress.

02 12:30:41 I now pass the microphone to Elizaveta Shegay to ask

03 12:30:45 further questions regarding the CISG.

04 12:30:47 PRESIDENT: Just before we move to the next topic.

05 12:30:53 Q Died about an hour and a half.

06 12:30:56 PRESIDENT: Absolutely wanted to.

07 12:31:00 PRESIDENT: Suggest maybe a ten minute break.

08 12:31:03 PRESIDENT: Maybe even 15.

09 12:31:05 PRESIDENT: Fifteen minute break. Okay, claimant.

10 12:31:09 PRESIDENT: Maybe suggest lunch break probably now.

11 12:31:11 PRESIDENT: Or maybe a lunch break.

12 12:31:12 PRESIDENT: Maybe a lunch break, I don't know.

13 12:31:14 A It gets better and better.

14 12:31:16 PRESIDENT: Let's have a lunch break now and resume.

15 12:31:21 It's ready.

16 12:31:22 PRESIDENT: But in principle.

17 12:31:23 PRESIDENT: You were not asking for such a long break.

18 12:31:26 But give. Would you? Would you agree? It's a good

19 12:31:29 time to have.

20 12:31:30 Q Our concern is whether the lunch is actually served

21 12:31:33 because we were supposed to. Okay. And slightly

22 12:31:38 later.

23 12:31:39 PRESIDENT: Well.

24 12:31:39 PRESIDENT: But we do not object to lunch break.

25 12:31:42 Q No.

01 12:31:42 PRESIDENT: No, it's not yet. Not yet.

02 12:31:44 PRESIDENT: So let's take.

03 12:31:45 PRESIDENT: I take it back.

04 12:31:47 PRESIDENT: You take it back. Let's take a 15 minute

05 12:31:51 break now. We will resume at 46 of the hour. 1246.

06 12:31:58 Prof Berner, you are giving testimony, so you are not

07 12:32:02 to speak to anyone during the short break we're

08 12:32:06 having. You, of course, can leave the room and and

09 12:32:11 have a coffee and and take a rest. But you have also,

10 12:32:14 I think, a room for witnesses which is assigned to the

11 12:32:18 experts, but do not speak to anyone, do not call

12 12:32:22 anyone and do not confer with anyone during the break.

13 12:32:24 And we will shortly come back. Thank you very much.

14 12:40:34 Q 1960. 687.

15 12:41:01 MS HOFFMAN: Well, I need to see.

16 12:41:17 Q This is an audio test for the 3rd session of the

17 12:41:20 morning. Testing. One. Two. Three. Four. Testing

18 12:41:23 one. Two. Three. Four.

19 12:47:03 MS SHEGAY: So if we are all ready, we will continue with

20 12:47:05 the examination of Prof Bernard.

21 12:47:09 A Good afternoon, Prof Bernard. My name is Elizaveta

22 12:47:13 Shegay and I will continue to conduct this

23 12:47:17 cross-examination. And my topics will mostly cover

24 12:47:20 the topics on the un convention on the Sales of goods.

25 12:47:25 First of all, I

01 12:47:25 would like to take you back to your
02 12:47:29 own presentation. Slide 13. If we could please open
03 12:47:32 it. So here in the last under the last bullet point, you
04 12:47:46 state that article 54 of the CISG deals
05 12:47:50 only with impediments on the side of the buyer, not
06 12:47:53 the seller. Do I understand correctly that you
07 12:47:57 implied by this that only regulations of the state of
08 12:48:02 the buyer are relevant?
09 12:48:08 PRESIDENT: No regulations of other countries might be
10 12:48:13 might be relevant to, for example, 3rd countries, even
11 12:48:18 regulations or other aspects of the legal framework of
12 12:48:23 the country of the seller. The point is that if we
13 12:48:28 speak of obstacles after the conclusion of the contract, the obstacle
14 12:48:34 must come from the side of the
15 12:48:38 buyer in order to activate the mechanism. In order to
16 12:48:42 think about activating the mechanism of article 54 of
17 12:48:47 the CISG and under no circumstances a hindrance that
18 12:48:55 comes from the side of the seller after the conclusion
19 12:48:58 of the contract can oblige the buyer to comply with
20 12:49:04 formalities. That's what I wanted to say.
21 12:49:07 MS SHEGAY: So the regulations of the country of the
22 12:49:10 seller could also apply in case they produce the
23 12:49:14 effect you've just described. Correct?
24 12:49:16 A Of course. I mean, you you also mentioned in in your
25 12:49:21 in your documents and you also provided exhibits which

01 12:49:25 definitely and without a doubt say that this is the
02 12:49:28 case. I mean, the regulations can come from any
03 12:49:32 country. It depends on what international private law
04 12:49:40 leads to, to, to what legal framework international
05 12:49:43 private law leads to. And there might be other
06 12:49:47 obstacles in the sense of public law, which the buyer
07 12:49:53 may overcome. But. Yes.

08 12:49:55 Q Understood. Thank you. But do you also agree that a
09 12:49:59 contractual obligation, any contractual obligation
10 12:50:02 would imply that a party performs in expectation that
11 12:50:07 the other party would also perform its obligation? So
12 12:50:11 if you pay, you expect to have the goods actually
13 12:50:14 delivered.

14 12:50:18 Q Yes.

15 12:50:19 A I mean, in a, in, in, in such.

16 12:50:23 Q Just a "yes" or "no" question.

17 12:50:24 A I think it's quite as a yeah. But I would like to
18 12:50:28 frame it in the, in the sense of sales contracts,
19 12:50:33 there are two respective obligations. And you perform
20 12:50:38 in order to cause the other party to perform, of
21 12:50:42 course.

22 12:50:43 Q Exactly. So if the legislation of the seller's
23 12:50:50 country prevents it from supplying. Unless a certain
24 12:50:54 payment mechanism is complied with, can it be said
25 12:50:59 that the buyer cannot effectively perform its payment

01 12:51:03 obligation without complying with this payment

02 12:51:05 mechanism? The. Practically speaking, I understand

03 12:51:11 that it does not quite align with your interpretation

04 12:51:14 of article 54, but practically speaking.

05 12:51:16 A Yeah, practically speaking, the buyer has to overcome

06 12:51:21 formalities.

07 12:51:22 Q And also take steps.

08 12:51:25 A Correct and and take set, as I mentioned, for example,

09 12:51:27 to open up a banking account in order to make payment

10 12:51:31 possible. This is this is completely correct. So but

11 12:51:36 article 54 is because we speak of article 54 is

12 12:51:39 restricted to formalities, formal steps, and it is

13 12:51:46 also restricted to requirements which existed at the

14 12:51:53 time of the conclusion of 1st performance of the

15 12:51:58 contract and not of. And it does not concern later

16 12:52:03 hindrances.

17 12:52:04 Q So do you consider that article 54 takes into account

18 12:52:07 only the legal framework as existed at the moment of

19 12:52:11 conclusion of contract? Is that your suggestion?

20 12:52:14 A Yes, also.

21 12:52:17 Q And the regulations applicable at the moment of

22 12:52:21 payment are not necessary.

23 12:52:22 A Conclusion. And let's say the 1st payment, of course,

24 12:52:26 because there might be a time gap between the

25 12:52:29 conclusion of the contract and the 1st payment.

01 12:52:31 Q Only the 1st payment or any other payments. For
02 12:52:33 example, in our case, we have an installment contract.
03 12:52:37 A So yeah, the.
04 12:52:37 Q Start of payments.
05 12:52:40 A Of the performance of the contract.
06 12:52:44 Q The start of the performance or the start of the
07 12:52:46 performance of every installment.
08 12:52:48 A Of the obligation we are speaking about. And this is
09 12:52:51 the obligation of the buyer.
10 12:52:53 Q To pay.
11 12:52:53 A Yeah, of course, to pay.
12 12:52:55 Q For every installment. I mean, for every monthly
13 12:52:58 supply. For example.
14 12:52:59 A You speak about installment contracts.
15 12:53:03 Q I speak about a situation as in our case, under the
16 12:53:07 contract, the parties have installment obligations,
17 12:53:10 which means that each month the seller supplies and
18 12:53:14 the buyer pays for the month of supply. So my
19 12:53:18 question is, shall we look at the regulations
20 12:53:21 applicable as of the moment of payment for this
21 12:53:24 particular installment or only payment for the
22 12:53:27 1st installment? For example, in some time in 2017.
23 12:53:34 A Article 54 primarily concerns the situation before
24 12:53:39 the performance starts. So before the 1st performance,
25 12:53:43 before the. In your case, I assume the 1st

01 12:53:46 installment.

02 12:53:50 Q 2017 in 2017. I mean, the contract was concluded in

03 12:53:53 2017. So the 1st installment.

04 12:53:55 A For example.

05 12:53:56 Q Thank you. But also on the language of article 54, if I may

06 12:54:01 again bring your attention to the quotation we have on

07 12:54:04 the slide, it actually says that the buyer's

08 12:54:06 obligation to pay the price includes taking such steps and complying with such

09 12:54:12 formalities. Is it your

10 12:54:13 opinion that formalities include such steps,

11 12:54:16 or are they too alternative prongs that must be

12 12:54:19 met by the buyer.

13 12:54:22 A Taking such steps refers more to the factual

14 12:54:27 situation, like opening up a bank account in my

15 12:54:31 example, and comply with formalities, refers more to

16 12:54:36 the legal framework.

17 12:54:37 □202603230006 Q So they're not the same, correct?

18 12:54:39 A Like pardon me.

19 12:54:40 Q They are not the same. I mean, formalities and steps

20 12:54:44 are not one thing.

21 12:54:45 A Taking such steps and complying with such formalities.

22 12:54:49 The end indicates that it is not the same.

23 12:54:54 Q Exactly.

24 12:54:54 A Because then we would need we would not need steps and

25 12:54:58 formalities, but either steps or formalities.

01 12:55:02 Q I agree, thank you. So now moving to the changes
02 12:55:06 introduced by decree 172, may I please invite you to
03 12:55:12 your 2nd opinion?
04 12:55:16 Paragraph 84. Thank you. So here you seem
05 12:55:32 to make a conclusion that a conclusion on the change
06 12:55:36 of moment of payment after decree 172. Correct.
07 12:55:46 A Which line are you referring to or are you referring
08 12:55:48 to the whole paragraph?
09 12:55:49 Q Because I would say that to the whole paragraph. But
10 12:55:51 we can start with the words. It may be all well and
11 12:55:54 good for the CBR clarification to provide a discharge
12 12:55:58 which purports to be more favorable to PPD. However,
13 12:56:02 decree 172, on which GPE based its right to amend the
14 12:56:06 contract, expressly states in section seven. And if
15 12:56:12 we read the section seven and the conclusion you make
16 12:56:16 out of it, you state that it is evident that under
17 12:56:20 section seven of decree 172, a foreign customer was to
18 12:56:25 bear the risk of conversion. Do you stand by this
19 12:56:31 opinion?
20 12:56:34 A Starting with. It may all be all well and good for
21 12:56:38 the CBR clarification to provide a discharge which
22 12:56:41 purports to be more favorable to PPD. However, decree
23 12:56:49 170 expresses states. Yeah.
24 12:56:51 Q So it is about the moment of payment.
25 12:56:57 A I don't I don't see the link at the moment because.

01 12:57:02 Q My question is quite simple, professor, do you
02 12:57:04 consider.

03 12:57:05 A That I see in paragraph 84 is also very simple, but it
04 12:57:09 doesn't refer to your question. So the the question
05 12:57:11 might be simple and the answer might also be simple,
06 12:57:14 but it's not the answer to the question. So I try to
07 12:57:17 establish a link between what I say in the paragraph
08 12:57:21 and your question. And I say that the CBR
09 12:57:25 clarification in May 2022 or.

10 12:57:31 Q In April.

11 12:57:31 A In April. Might say something about the mechanism.

12 12:57:39 Q We'll move to the clarification a bit later. My
13 12:57:41 question was just if this conclusion of your paragraph 84 concerns the moment of
14 12:57:49 payment under the
15 12:57:53 contract, do you consider that decree 172 shifted the
16 12:57:58 moment of performance for the buyer? Is that your
17 12:57:59 conclusion?

18 12:58:07 A I discussed the the burdens for the buyer. By the
19 12:58:11 decree 172 because one of the one of the arguments put
20 12:58:16 forward by GPE was that the whole mechanism is not
21 12:58:21 onerous. These are as as I see it, different lines of
22 12:58:26 thought. You say that this is all just a change of
23 12:58:27 formality.

24 12:58:30 Q Professor, I am not saying anything in this
25 12:58:32 cross-examination. My question was very simple. Do
you.

01 12:58:33 PRESIDENT: Ask your question again, please?

02 12:58:35 Q Thank you. Sure, Prof. The question is simple. Do

03 12:58:38 you consider the Decree 172 changed the moment of

04 12:58:44 performance of the payment obligation by PPD. Do you

05 12:58:51 make such a conclusion in this or

06 12:58:53 another

07 12:58:53 paragraph?

08 12:58:54 A Yes, indirectly. Okay. Because it's not a plain yes

09 12:58:59 and not a plain no. It's yes indirectly because.

10 12:59:04 Because the discharge happens only

11 12:59:08 when the

12 12:59:08 money is transferred to the

13 12:59:10 account of Gazprombank after the exchange happened.

14 12:59:18 Q So your conclusion in this paragraph 84 refers to the

15 12:59:24 contractual obligation of PPD. Understood.

16 12:59:30 Professor, do you.

17 12:59:31 PRESIDENT: Is it a yes? Yes. This is just for the

18 12:59:33 transcript.

19 12:59:33 A Yes. It refers to the contractual obligations. Yeah.

20 12:59:36 Thank you. Thank you, thank you also.

21 12:59:38 Q So, professor, is this conclusion based solely on the

22 12:59:43 language of the decree to which you refer here?

23 12:59:50 A Also I refer to the latter.

24 12:59:52 Q Do the latter.

25 12:59:53 A Yeah. Because you know, the communication which

01 12:59:59 happened was the letter sent by Gazprom to PPD and not
02 13:00:03 the decree sent to PPD. And therefore, as I said, the
03 13:00:08 decree as such could not amend the agreement. We need
04 13:00:12 the letter as an offer to amend, and therefore we have to assess the content of
05 13:00:17 the letter.

06 13:00:17 Q I understood, but, professor, did you assess the
07 13:00:21 entirety of this letter and its appendix? Because
08 13:00:24 there was an instruction of the Gazprombank attached
09 13:00:27 to that letter, did you study it as well.

10 13:00:32 A To the decree or to the letter?

11 13:00:33 Q To the letter.

12 13:00:34 A To the letter.

13 13:00:35 Q And maybe, please, for convenience, probably open
14 13:00:38 this. This is exhibit Co3, step number b 2.1. Page 2,
15 13:01:00 please. Sorry, not page 2, but probably scroll it
16 13:01:06 down to until we see this instruction. Actually it
17 13:01:10 must be page 6 or something. And here we'll need
18 13:01:15 section 2.2.

19 13:01:17 PRESIDENT: To show to the witness the top of the
20 13:01:20 attachment. So he he he can refresh his memory of
21 13:01:26 who.

22 13:01:26 Q Could you please scroll up a little bit to the title?
23 13:01:28 No, no, no to the title of the instruction page for.
24 13:01:34 No. Next. Yes. Here. Please stop. Thank you.

25 13:01:38 A This was attached to the letter?

01 13:01:40 Q Yes, professor. The only question is whether you did
02 13:01:44 take it into your assessment or not.
03 13:01:47 A Could you maybe show me the paragraph you refer to?
04 13:01:52 Q But the question for now is just whether you see
05 13:01:56 whether you saw this document before or not, or you
06 13:01:59 provided by the instruction counsel.
07 13:02:01 PRESIDENT: Should the letterhead please? Gazprombank.
08 13:02:06 No, no, no. Right. Stop here. Yes.
09 13:02:13 A I'm not sure I have to see the paragraph.
10 13:02:16 Q But this document, did you see it or or or not?
11 13:02:20 A As I said, I'm not sure. There were hundreds of
12 13:02:22 documents. I just have to see the paragraph.
13 13:02:24 Q Sure. Let's scroll to section 2.2. So the relevant
14 13:02:33 section here, I think is the
15 13:02:36 paragraph under section 2.2, which says the bank shall
16 13:02:41 complete settlements within two business days.
17 13:02:46 A Shall I read it?
18 13:02:47 Q Not necessarily. You can read it just for for
19 13:02:49 yourself to familiarize with the text. So did you
20 13:02:53 take this circumstance into account? It practically
21 13:02:56 says that the conversion takes only two business days,
22 13:03:01 which means that as opposed to the initial payment.
23 13:03:04 A Mechanism, remember, and I, I can answer your your
24 13:03:07 question.
25 13:03:07 Q So did you consider it?

01 13:03:08 A Thank you for giving me the opportunity. Yes, yes, I
02 13:03:11 saw the document.

03 13:03:13 Q And it does not affect your conclusions on the moment
04 13:03:16 of payment.

05 13:03:16 A Of course, for for no, for two reasons. First, could
06 13:03:21 you maybe scroll a little bit up to the letter itself?
07 13:03:30 I think more we are looking for a footnote in the
08 13:03:35 letter. So the end of page 1.

09 13:03:39 Q It must be page 2 I guess.

10 13:03:41 A Okay.

11 13:03:42 Q If we're talking about the same footnote.

12 13:03:43 A Yeah, yeah, yeah. Here it here we go.

13 13:03:46 Q The bottom of page 2.

14 13:03:46 A Yeah. The footnote.

15 13:03:49 Q Yes.

16 13:03:51 A May I read it loud?

17 13:03:52 Q Sure.

18 13:03:53 A Alternative procedure may be set out by the central
19 13:03:55 Bank of the Russian Federation.

20 13:03:58 Q Yes. Which implies that.

21 13:04:00 A Implies you cannot rely on anything which. Which
22 13:04:04 implies that you cannot rely on anything.

23 13:04:07 Q What do you mean that I cannot?

24 13:04:08 A Alternative procedure may or may not be set out when
25 13:04:13 and wherever and. However, by the Central Bank of the

01 13:04:17 Russian Federation. Imagine you get a letter as a
02 13:04:20 buyer. You get a letter from the seller telling you
03 13:04:25 that you have to pay to a different bank account, and
04 13:04:31 maybe you have to pay to another banking account. We
05 13:04:35 are going to tell you or not.
06 13:04:38 Q Prof Perner. The only.
07 13:04:39 A You cannot rely on. You cannot rely on the letter.
08 13:04:42 You cannot rely on the annex because.
09 13:04:44 Q PPD did it. Sign it, including the annex. And yeah,
10 13:04:49 I think we're talking about two different things. I'm
11 13:04:52 sorry.
12 13:04:53 PRESIDENT: Impossible at this point. I just have a
13 13:04:55 clear transcript. That's for you to decide whether
14 13:04:59 you want the tribunal to be able to read the.
15 13:05:02 A I remain silent part.
16 13:05:04 PRESIDENT: No, it's not about remaining silent. It's
17 13:05:06 trying not to speak. So you choose when you you want
18 13:05:12 to interrupt the
19 13:05:15 Prof Perner if he's not addressing your question and Prof
20 13:05:19 Perner, you're allowed to finish your sentences as
21 13:05:22 well. So let's try to strike a balance.
22 13:05:25 A A slight contradiction, because if I'm always allowed
23 13:05:29 to, she would never interrupt me.
24 13:05:33 PRESIDENT: But in view of this, let's ask the question
25 13:05:36 again. We have the point on the footnote, but please

01 13:05:40 ask your question.

02 13:05:41 Q I apologise for interrupting you, Prof Perner. The

03 13:05:44 issue was that I understood that we're talking about

04 13:05:48 two different things. So coming back to

05 13:05:50 this instruction of the CBR. Yes, may I please.

06 13:05:59 Q Okay.

07 13:06:01 A I can I can answer your question referring to

08 13:06:04 paragraph 22.

09 13:06:06 Q And there was no question yet. I apologise. There

10 13:06:09 was no question yet.

11 13:06:09 A Okay. But I started my question.

12 13:06:13 Q The question was about.

13 13:06:14 A With the sentence, you have to distinguish between two

14 13:06:17 arguments. And I was interrupted at the 1st argument

15 13:06:21 which referred to the footnote. And I would be

16 13:06:23 really happy to bring forward the 2nd argument.

17 13:06:25 Q Yes.

18 13:06:26 A Please. Please be brief.

19 13:06:28 Q Please, because I am very limited in time and.

20 13:06:30 PRESIDENT: No, no. Prof Perner, the respondent, has

21 13:06:37 limited time to ask you questions. The claimant has

22 13:06:41 reserved ten minutes for redirect, so we will consider

23 13:06:45 any additions, any comment, any question you may raise and/or any argument that
is

24 13:06:51 relevant to some of the

25 13:06:53 questions in redirect. And I'm sure that the claimant

01 13:06:56 will be entitled to do so at this point. Ms Lim,
02 13:07:01 please.
03 13:07:02 Q Ms Lim, but.
04 13:07:03 PRESIDENT: Oh, sorry. My apologies.
05 13:07:05 Q Miss Chagai. It's fine.
06 13:07:09 PRESIDENT: Miss Chagai, please ask your question.
07 13:07:13 Q Thank you. So about this clarification by the CBR, do
08 13:07:19 I understand correctly that you did take it into
09 13:07:22 account when making your analysis? And yes. Would
10 13:07:26 you agree that according to this clarification of the
11 13:07:29 CBR, the risk of conversion and basically anything
12 13:07:34 that happened after euros, get on PPD type "K" account
13 13:07:39 is not on PPD. Would you agree with that?
14 13:07:46 A Reading the risk of delay is lies with PPD.
15 13:07:50 Q The risk of delay in conversion. For instance, if
16 13:07:55 Gazprombank.
17 13:08:00 A It was only clarified by Gazprom.
18 13:08:07 Q Barash by the Central Bank.
19 13:08:09 A Central Bank a few weeks later, a few weeks after the
20 13:08:13 countersignature of the letter. But assessing only
21 13:08:18 the letter and the annex. The obligation is only
22 13:08:22 discharged, has only been discharged when the money
23 13:08:27 reaches the account of Gazprombank. And then there's
24 13:08:32 this clarification that if you pay in good faith, it might be different. But this
25 13:08:38 underlines that this clarification is in fact a

01 13:08:44 material change of the ID of the decree, because
02 13:08:47 following the decree, the whole risk would lie with
03 13:08:52 PPD and the fact that a clarification was sent
04 13:08:56 out
05 13:08:56 underlines, in my opinion, only one thing that it
06 13:09:01 was unclear before. Maybe because then you
07 13:09:04 would need a clarification. You wouldn't need a
08 13:09:07 clarification.
09 13:09:07 Q Understood. But would you agree that apart from the text of
10 13:09:13 the decree and the letter, other contemporaneous
11 13:09:17 communications and the subjective perception of the
12 13:09:19 parties, including PPD, primarily would also be
13 13:09:23 relevant?
14 13:09:26 A Not for the matter of avoidance.
15 13:09:28 Q Not for the matter of avoidance. But we're talking
16 13:09:30 about article 54. So would it also be relevant?
17 13:09:37 A And it in the sense that we assess the question whether this
18 13:09:43 was a formality or not. Of course, subsequent
19 13:09:48 behaviour can be could be relevant only regarding the
20 13:09:53 matter. Whether
21 13:09:54 this is a formality like it can also be I
22 13:09:58 mean, subsequent behaviour after the conclusion of
23 13:10:02 the
24 13:10:03 contract is always of relevance under the CISG. Sure,
25 13:10:08 it is also of importance, for example, how you

01 13:10:12 act when you amend contracts, you can establish different ways
02 13:10:17 of. Amending contracts, which then have to be
03 13:10:22 observed, of course, and therefore it can also be
04 13:10:28 interesting in the sense of whether this qualifies
05 13:10:31 as
06 13:10:31 a formality, what happens after the conclusion and
07 13:10:34 after certain performance assessment.

08 13:10:36 Q Thank you. So, Prof Byrne, a hypothetical question. If there
09 13:10:41 was any evidence on the record demonstrating
10 13:10:45 that as of one April, just after receiving Gazprom,
11 13:10:51 Gazprom expert's letter PPD GPE as well, had a common
12 13:10:55 understanding that the risk of conversion, the risk
13 13:10:58 of
14 13:10:58 delay, the risk of FX rate will be on GPE.

15 13:11:03 Would
16 13:11:04 that. Might that affect your conclusions?

17 13:11:10 A The mechanism then would not be as onerous as it
18 13:11:16 actually was. If we disregard the hypothetical of the
19 13:11:19 question. But there would still be the sanctions risk
20 13:11:23 because you do not know where the money goes after the
21 13:11:27 exchange. It could go to a sanctioned person, for
22 13:11:31 example.

23 13:11:31 Q But that is an objective question, and I think it's
24 13:11:34 not the topic of our discussion today.

25 13:11:37 A But you were asking about the payment mechanism and

01 13:11:40 whether it would change my assessment that this is not
02 13:11:43 a mere formality.
03 13:11:45 Q And about the risk allocation.
04 13:11:46 A Yeah. If the risk changes, then the risk changes.
05 13:11:49 Yeah, yeah.
06 13:11:50 Q Thank you very much, professor. But did you assess actually the effect of EU
07 13:11:56 sanctions or did you rely on the factual assumptions?
08 13:11:58 Because as I understand it, it's not the it's not
09 13:12:03 within the scope of your expertise.
10 13:12:05 A I relied on the factual assumptions, but I'm aware of
11 13:12:11 the fact that there is a list of sanctioned persons
12 13:12:17 and a list of sanctioned behaviour.
13 13:12:22 Q Certainly. Are you maybe also aware of any problems
14 13:12:28 that PPD faced with processing payments from its
15 13:12:32 European banks to Gazprombank?
16 13:12:37 A I'm not aware of this note.
17 13:12:38 Q Not aware of this. Do you know, maybe from general
18 13:12:43 life experience,
19 13:12:44 how much time it usually takes to transfer money from
20 13:12:49 a European bank to Gazprombank in Russia?
21 13:12:54 A No.
22 13:12:58 Q Did you assess or enquire or receive any instructions
23 13:13:04 with regard to the question whether European banks
24 13:13:09 applied any compliance checks to payments towards
25 13:13:12 Gazprombank? Nothing like that. But would you agree?

01 13:13:23 A No, it's an it's a no. And and I can add for me, the
02 13:13:27 assessment of the letter and the annex sufficed.
03 13:13:30 Q Sure.
04 13:13:30 PRESIDENT: Thank you professor.
05 13:13:33 Q But you are aware that both prior to decree 172 and
06 13:13:38 after that the bank used by the parties was
07 13:13:42 Gazprombank.
08 13:13:44 A The bank used by the by, the buyer was.
09 13:13:47 Q By the parties for payment.
10 13:13:48 A Yes, yes, I know, but from 2017 to 2022, there was no
11 13:13:55 exchange to roubles, as you certainly know.
12 13:13:58 Q Agreed? Yes. Now, I would like us to move to article 71 and to
13 13:14:04 briefly discuss the suspension issue. May I please
14 13:14:08 ask to open see exhibit {C-02} 30.
15 13:14:13 It is step {J1.2} 30. It is the convention just for
16 13:14:25 us to refresh the knowledge of its contents.
17 13:14:30 Article 71 we need article 71. Thank you. So could
18 13:15:03 you please read
19 13:15:04 only the 1st passage of this article?
20 13:15:09 A Paragraph 1?
21 13:15:10 Q Yes. Paragraph 1.
22 13:15:11 A Party. I had already become a party may suspend the
23 13:15:16 performance of his obligations. If, after the
24 13:15:18 conclusion of the contract, it becomes apparent that
25 13:15:21 the other party will not perform a substantial part of

01 13:15:26 his obligations as a result of. And then.

02 13:15:30 Q Yes. Thank you. Professor, do I understand correctly

03 13:15:33 that, in your opinion, to invoke this right to

04 13:15:38 suspension, it needs to be established that the

05 13:15:41 anticipated conduct was would be a breach, that the

06 13:15:45 party will breach the contract.

07 13:15:50 A The other party would have to unlawfully not.

08 13:15:54 Q Yes. Is that your opinion? Thank you. So, Prof

09 13:16:08 burner, would you also agree that in such a case, if

10 13:16:11 it was established by the tribunal, that PPD was

11 13:16:17 obliged to pay in accordance with the payment

12 13:16:21 mechanism, the conclusion would be that GPE would

13 13:16:24 could lawfully suspend under article 71.

14 13:16:28 A Yes would be the conclusion.

15 13:16:30 Q Thank you. Would the same conclusion.

16 13:16:32 A On the unlawful behaviors covered if the refusal is

17 13:16:36 lawful, article 70 is 71 is not triggered and in the

18 13:16:42 other cases there is a right to suspend. That is

19 13:16:45 correct.

20 13:16:46 ☐202603230021 Q Would the same conclusion apply to a case where PPD

21 13:16:49 would be obliged to comply with decree under

22 13:16:54 article 54 of the CISG?

23 13:16:58 A Article 71 only refers to the lawfulness or

24 13:17:02 unlawfulness of.

25 13:17:02 Q Yes, I mean, but if PPD was obliged to pay in

01 13:17:08 accordance with the decree. I'm sorry, I'm just not
02 13:17:11 sure if my question was clear enough, so maybe I
03 13:17:15 should assist you and make it more efficient. Thank
04 13:17:17 you very much. So if PPD was obliged to comply with decree 172 by
05 13:17:24 virtue of article 54 of the CISG, would failure to pay
06 13:17:30 constitute an unlawful behaviour? In a.
07 13:17:32 A Sense, there are many goods and goods. But then the
08 13:17:36 hypothetical answer to the hypothetical question would
09 13:17:38 be a hypothetical. Yes.
10 13:17:40 Q Thank you very much. That's all we needed. Another
11 13:17:47 point on this matter is article 80 of the CISG. Do I
12 13:17:53 understand correctly that, in your opinion,
13 13:17:57 article 80 would preclude GPE from relying on
14 13:18:02 article 71 and suspending its performance? Due to
15 13:18:10 article 80? Do you stand by this opinion?
16 13:18:13 A Yes, yes.
17 13:18:14 Q Thank you. So could you please now read article 8080, 80?
18 13:18:21 Yes.
19 13:18:22 A A party may not rely on a failure of the other party
20 13:18:26 to perform. To the extent that such failure was
21 13:18:30 caused by the 1st party's action or omission.
22 13:18:35 Q So do you believe that GPE would be responsible for
23 13:18:42 PD's failure to pay? The GPE was responsible for
24 13:18:46 failure to pay.
25 13:18:50 A Could you explain the connection with article 80, the

01 13:18:55 connection of your question with article 80?

02 13:18:57 Q Sure.

03 13:18:58 Q As we understand from your both actual from your both

04 13:19:02 opinions, and you'll correct me if I'm wrong in this

05 13:19:05 interpretation, you suggest that GPE cannot rely on

06 13:19:09 the suspension right under article 71 because it was

07 13:19:13 GPE who caused PD's inability to pay for the

08 13:19:17 September supplies in the end of October. Is that

09 13:19:21 correct?

10 13:19:22 A Inability I would I would specify there was no reason

11 13:19:26 for PD

12 13:19:29 to abide by such a new mechanism.

13 13:19:32 Q But you do stand by your previous conclusion.

14 13:19:36 A Say inability. I would say PD just did not have to

15 13:19:39 agree. Maybe they were able to transfer. The

16 13:19:45 amount

17 13:19:45 of euros to a certain account. But the point is, I'm

18 13:19:49 not obliged as a buyer to act in accordance

19 13:19:53 with such a mechanism. But that is the opinion. But

20 13:19:56 in this

21 13:19:56 sense the answer would be yes.

22 13:19:58 Q Thank you. So would you agree that under article 80,

23 13:20:02 you'd have to establish a certain causal link between PD's failure

24 13:20:08 to pay in the end of October and GPE behaviour?

25 13:20:17 A A causal link is required by article 80, because such

01 13:20:20 failure, as it says, was caused by the 3rd party

02 13:20:24 sector omission.

03 13:20:24 Q Yes. Thank you. So could you please tell what

04 13:20:31 evidence did you

05 13:20:32 rely on to say that to make this conclusion that GPE

06 13:20:38 was responsible for PPD's failure to pay in the end of

07 13:20:40 October? How did you come to this conclusion?

08 13:20:49 A As I said, Gazprom GPE sent a letter to PPD informing

09 13:20:57 about the new mechanism. Then PPD had the right to

10 13:21:02 avoid such an amendment. If such an amendment was even

11 13:21:07 concluded, and therefore the original, the original

12 13:21:12 payment mechanism remained in force, which required PPD to pay

13 13:21:19 euros to

14 13:21:20 Gazprom for deliveries and. Therefore PPD acted in conformity with the

15 13:21:32 contract when they refused to abide by the new payment

16 13:21:35 mechanism.

17 13:21:36 Q Understood the assessment.

18 13:21:37 Q Thank you very much. But, professor, are you aware of

19 13:21:42 the letter of 31st October 2022 by which PPD informed GPE that it will

20 13:21:49 not be.

21 13:21:50 A You could maybe show me.

22 13:21:51 Q The letter?

23 13:21:51 Q Yes, sure. Can we please open.

24 13:21:53 Q It is of course this.

25 13:21:55 Q Of course it is. Exhibit Ro8, tab number b 2.28. So

01 13:22:13 this is the letter from PPD to GPE by which PPD
02 13:22:18 particularly informed GPE that it would not pay for
03 13:22:22 the September supply. Are you familiar with this
04 13:22:27 document? So could you please guide us to a particular passage
05 13:22:35 or sentence based on which you made
06 13:22:37 a conclusion that the reason for
07 13:22:39 nonpayment was GPE behaviour? Actually.
08 13:23:02 A We're not in the position to fulfil our payment
09 13:23:06 obligation. Now. Reference is made to political
10 13:23:11 establishment. PPD is committed to fulfil its payment
11 13:23:15 obligation, but not according to the revised payment
12 13:23:20 mechanism. And we are into the discussion working on
13 13:23:24 finding solution. So the 1st conclusion I
14 13:23:27 would draw from this letter is that PPD does exactly what the contract
15 13:23:35 requires any party to do if obstacles come up later,
16 13:23:42 which Gazprom, as I said before, did not do, they just
17 13:23:45 send a letter informing and demanding? Here we
18 13:23:48 have a reference to negotiations and to trying to work
19 13:23:52 and find a solution. And. As I said before, you
20 13:24:00 are not obliged to comply with the payment
21 13:24:04 procedure. You did not agree and therefore it is, in my view, obvious that by this
22 13:24:14 letter, this
23 13:24:17 letter would not have been written
24 13:24:17 had
25 13:24:22 there been no decree. This is uncontested and
therefore the causal link is established. If we agree

01 13:24:26 on that, the decree and the letter

02 13:24:28 could not change the contract and that it was not a

03 13:24:31 minor formal amendment to demand the new payment

04 13:24:35 mechanism.

05 13:24:35 Q So on the connection between the decree and payment

06 13:24:39 obligation acknowledged in this letter, may you please

07 13:24:43 clarify in this 3rd sentence, it says that PPD was not

08 13:24:48 in a position to fulfil its payment obligation,

09 13:24:53 and in the very 1st, and also in the 2nd passage, we

10 13:24:57 see that the reference is made to the obligations by

11 13:25:02 foreign buyers under the decree, and also the obligation to pay to the type "K" special
accounts. So, Prof

12 13:25:13 Berner, would you agree that in this

13 13:25:16 particular context, in this letter, the term payment

14 13:25:21 obligation refers rather to the obligation under the decree than to the obligation
under initial

15 13:25:28 terms of

16 13:25:29 contract?

17 13:25:32 A I think the term fulfilled its payment obligation. I

18 13:25:34 mean, this is a letter. This is not a decree,

19 13:25:37 this

20 13:25:38 is not a statute. This is not a contract. It's just

21 13:25:41 a letter sent by the CEO. As I as I see from the

22 13:25:47 signature. And in my view, the term to fulfil its

23 13:25:53 payment obligation refers to the existing obligation.

24 13:25:57 I think that nobody disputed that there was an

25 13:25:59 existing payment obligation. However. It is

01 13:26:04 either not agreed type "K" or it is agreed. But Gazprom does not. Is not ready to
02 13:26:17 accept payment via the original
03 13:26:21 mechanism because Gazprom, as I understand, always demanded
04 13:26:27 after
05 13:26:28 April 2022, payments under the new mechanism. And if
06 13:26:29 you are not ready to accept payment by the
07 13:26:33 seller, then you are, as you know, under the CISG,
08 13:26:36 also in breach of an obligation. You have to accept
09 13:26:42 payment as agreed.
10 13:26:45 Q Prof Perner, do you see in this letter any reference
11 13:26:49 to payment in euro or payment under the contract
12 13:26:56 terms?
13 13:27:00 A Will not pay euros. First and 2nd line.
14 13:27:04 Q Excuse me.
15 13:27:06 A Is letter is to inform you that PPD will not pay a
16 13:27:11 huge sum of euros to our account.
17 13:27:17 Q In accordance.
18 13:27:18 A So if the question is if reference is made to euros,
19 13:27:22 then the answer is yes.
20 13:27:24 Q Twice to.
21 13:27:25 Q Euros as a currency, correct.
22 13:27:27 A To euros as a currency.
23 13:27:28 Q But it.
24 13:27:29 Q Also says in the same sentence will not be some summon
25 13:27:33 euros in accordance with Decree 172. So it doesn't

01 13:27:38 look exactly like the initial obligation under the
02 13:27:42 contract to pay directly in euros to a euro account.
03 13:27:46 Would you agree?
04 13:27:47 A Yeah. And PPD also says it is committed to fulfil its
05 13:27:53 payment obligation, but not under these contractually
06 13:27:58 not agreed circumstances. For me, the letter is
07 13:28:02 crystal clear.
08 13:28:04 Q Thank you. So, professor, I would like just one also
09 13:28:10 clarifying question on the factual evidence you
10 13:28:12 assessed. Were you aware of the decree 992? It was.
11 13:28:18 A Show me the decree, then I can maybe provide you with
12 13:28:21 an answer. Ninety-nine.
13 13:28:23 Q Two may I please?
14 13:28:24 A It was a subsequent decree.
15 13:28:26 Q A subsequent one? Yes. May I please ask to open
16 13:28:30 exhibit C23? So it is the letter of 19 January 2023,
17 13:28:43 which informs PPD of the adoption of decree 992 and
18 13:28:51 the possibility to pay directly in euros to GPE new
19 13:28:57 account denominated in euros. Are you familiar with
20 13:29:03 this document?
21 13:29:04 A I'm not. I'm not sure. I think not, but I'm not
22 13:29:08 sure.
23 13:29:08 Q That's fine. It's just a. So we will not proceed
24 13:29:10 with this letter then. You did not assess this letter
25 13:29:14 of 19th January, correct?

01 13:29:19 A Was a year, almost a year after decree. Yeah, yeah.

02 13:29:24 Q So it was not a part of your assessment, right.

03 13:29:28 A Don't think so.

04 13:29:29 Q Thank you. Then we should probably move to the

05 13:29:33 discussion on force majeure. I also have a couple of

06 13:29:36 questions on that. May I please invite you to the

07 13:29:42 contract. It is step {J1.1}, exhibit c one. Can we

08 13:29:53 please open article 11? It should be one of the last

09 13:30:00 pages. Thank you. Yes, Prof

10 13:30:14 Perner, would you agree that

11 13:30:19 this contractual

12 13:30:19 provision. Article 11.2, 2nd passage. Expressly envisages that acts of government

13 13:30:29 of Russia or Croatia can possibly constitute an event

14 13:30:34 of force majeure?

15 13:30:35 A Yes, I said that in my presentation.

16 13:30:37 Q Sure. Would you also agree that this article

17 13:30:41 envisages an express exemption from the party's right

18 13:30:47 to rely on force majeure? I mean, this.

19 13:30:49 A Will set this in in my presentation.

20 13:30:51 Q So you confirm this so that there was a force majeure

21 13:30:57 provision and an exemption from it. Correct.

22 13:31:00 A I set both in my presentation.

23 13:31:03 Q Thank you so would you also agree that based on your

24 13:31:12 general knowledge, as of 2017, when the contract was

25 13:31:16 concluded, GPE was also ultimately partially owned by the Russian

01 13:31:22 State?

02 13:31:24 A I know that GPE was and is owned by the state of

03 13:31:31 Russia.

04 13:31:32 Q So you know that as of 2017, the situation was

05 13:31:35 basically the same, right?

06 13:31:38 A If you say so.

07 13:31:41 Q Now, my question is rather whether you were aware of

08 13:31:44 this fact when making your conclusions.

09 13:31:47 A I was aware that GPE was on Russia.

10 13:31:50 Q Both in 2017 and now. Yeah. Thank you. So we see that the parties have actually
resolved

11 13:32:04 the matter of whether they can rely on acts of their

12 13:32:09 government and when under which exceptional

13 13:32:12 circumstances such reliance cannot be allowed.

14 13:32:16 Correct.

15 13:32:21 A I cannot answer by saying "yes" or "no". would you

16 13:32:23 allow me to elaborate a little?

17 13:32:26 Q Yes, a little. Sure.

18 13:32:27 A Thank you. If we look at the 1st half sentence of the 2nd

19 13:32:36 subparagraph of 112, then it says such events

20 13:32:40 referring to force majeure or circumstances may include but are not limited. And

21 13:32:47 then there's an enumeration. And this means that in

22 13:32:53 these situations we see examples for force

23 13:32:56 majeure,

24 13:32:57 but there can be others. So there's the fire mention,

25 13:33:01 there's the war mention, there's the strike mentioned.

01 13:33:03 But we are definitely not limited. I don't think
02 13:33:07 that
03 13:33:08 the pandemic is mentioned. And this is why I, I think undisputedly
04 13:33:13 mentioned it in my
05 13:33:15 presentation. So we also have actions or omissions of a governmental authority
enumerated, not exhaustively.
06 13:33:25 There could
07 13:33:26 be other behaviour, maybe of a governmental authority.
08 13:33:30 So it's not limited. And if the rule is
09 13:33:35 not limited, then the exception
10 13:33:38 can
11 13:33:38 also of course not be limited. So this is an
12 13:33:42 indicative enumeration of what the contracting
13 13:33:47 partners see as
14 13:33:48 force majeure, including rule and
15 13:33:50 exception. This is the answer.
16 13:33:53 Q Thank you. Very helpful. So, Prof Pona, would you
17 13:33:56 agree that as you've also
18 13:33:59 mentioned today, the contract is the main source of
19 13:34:02 parties rights and obligations. So would you not
20 13:34:06 agree that in such a case, such tests as box t test or
21 13:34:12 other criteria of piercing of corporate veil might be,
22 13:34:16 you know, excessive? Maybe we can just look at
23 13:34:20 article 112 and apply it directly.
24 13:34:23 A Yeah, this is interesting. And when I, when I 1st
25 13:34:29 assessed the contract and the legal consequences, I

01 13:34:34 tended to come to a similar conclusion. Then I read
02 13:34:41 your documents and was a little puzzled by the cases
03 13:34:45 you cited. You cite, for example, Soyuzgazexport, you
04 13:34:50 cite Blount brothers. You sound you cite also
05 13:34:54 chernikov versus rolling packs. And interestingly, chernikov versus
06 13:34:58 royal impacts, for example, concerns a case
07 13:35:02 where English law applied. It was not even a case under CISG as is certainly no. So I
08 13:35:10 was like
09 13:35:14 wondering whether we should really rely on such tests as
10 13:35:18 the ones you introduced into the
11 13:35:18 discussion, or
12 13:35:18 whether we should just strictly look to the contract and
13 13:35:22 stick to the contract. So then I, I
14 13:35:27 decided to stick more to the contractual
15 13:35:31 interpretation of the rights and
16 13:35:33 obligations and of the force majeure provision. And
17 13:35:36 then I found some cases, for example, Air France and
18 13:35:41 many others which supported the view of PPD, because
19 13:35:44 in all these cases, reliance on
20 13:35:47 force majeure for acts of the government
21 13:35:49 or the state was not admitted. And then I thought,
22 13:35:55 well, as you just said, but Bergsteiger
23 13:36:00 refers to a situation and
24 13:36:02 not to
25 13:36:03 a specific contract. And we have to assess the contract in a 1st
26 13:36:08 step, and we have to assess only the contract

01 13:36:12 if there are no gaps. However, on a closer look, the
02 13:36:19 test does not fill gaps in the enumeration of force
03 13:36:24 majeure, which are left open under
04 13:36:28 article 11. But Bergsteiger is a rule on the burden
05 13:36:31 of proof who has to prove whether these prerequisites
06 13:36:37 are met or not. And Bockstiegel says, in my opinion, very convincingly,
07 13:36:43 and coppers and other cases reflect
08 13:36:46 this, understanding that in such cases, the burden of
09 13:36:50 proof shifts from, in our case, the claimant to the
10 13:36:53 respondent and to me more precisely, the state which enacted
11 13:37:01 the provisions which the contracting partner relies
12 13:37:03 to. And therefore, I think we can. On the one hand, refer
13 13:37:09 to the contract and on the other hand, help us to
14 13:37:14 fill
15 13:37:14 the gaps with Bockstiegel.

16 13:37:16 Q Thank you. This is very helpful. Prof Perner. So
17 13:37:19 would you agree that putting aside
18 13:37:23 the issue of burden of proof and its allocation test
19 13:37:28 does not add any substantively new criteria, as
20 13:37:33 opposed to the exemption we have in article 11.2?

21 13:37:38 A I think, as with many undisputed legal tests and
22 13:37:45 bodies of case law, it shows what prudent and
23 13:37:50 reasonable contracting partners would opine for in a
24 13:37:56 similar situation is nothing else than a collection of such
25 13:38:02 cases in which reasonable contracting partners. I

01 13:38:06 refer to the interpretation under 914 of
02 13:38:10 the Austrian Civil Code and article 8 of the CISG
03 13:38:13 would do in a situation. Therefore, I wouldn't say it
04 13:38:16 doesn't help. The cases certainly help, but the main
05 13:38:20 source of inspiration of backstage is for the burden of proof.
06 13:38:25 Q Understood. So to put it simply, Prof Perner, do you consider
07 13:38:30 that the language of article 11.2 or the box test or
08 13:38:37 other possible case law and doctrine should be
09 13:38:40 decisive contract or other sources?
10 13:38:44 A Simply put, both.
11 13:38:49 Q So if there would be a conflict, what shall we prefer?
12 13:38:54 A contract or external case law?
13 13:38:56 A Thank you for the question. If there was a conflict, we would have to abide by
14 13:39:02 article 11. But I think for the assessment at hand,
15 13:39:06 there is no conflict.
16 13:39:10 Q Thank you. So would you agree that this criterion
17 13:39:14 that the party should not voluntarily induce or
18 13:39:19 promote the governmental act, which is deemed to be an
19 13:39:23 event of force majeure, is the criterion that we
20 13:39:27 should apply in the 1st place.
21 13:39:31 A We would certainly not speak of force majeure. If an
22 13:39:35 act is voluntarily induced or promoted by the affected
23 13:39:38 party. So. But as I said before, such events or
24 13:39:43 circumstances
25 13:39:44 may include, but are not limited to. And then comes

01 13:39:48 the enumeration like the fire and the owner of the
02 13:39:51 company who sets his own factory on fire. You always
03 13:39:55 have to read it in conjunction with article 11, 1 and
04 13:40:01 2, unable to perform, but only to the extent to of
05 13:40:05 such inability, and then shall mean any unforeseen event
06 13:40:10 or circumstance, the occurrence of which is
07 13:40:12 beyond the reasonable control of the affected party,
08 13:40:14 and which could not be avoided or prevented with due
09 13:40:17 care of a reasonable and prudent operation, and then
10 13:40:19 comes into play. What I said about the
11 13:40:25 obligation to negotiate, to meet, to endeavour, to
12 13:40:29 find a solution, and all of which did not happen.
13 13:40:32 Q Thank you. But I think my question was slightly
14 13:40:36 different.
15 13:40:36 It was not about the completeness of the list of
16 13:40:39 possible events of force majeure, but rather did you
17 13:40:43 actually assess whether Decree 172 was voluntarily
18 13:40:48 induced or promoted by Gazprom Export?
19 13:40:53 A No, because the burden of proof lies with the state
20 13:40:55 and not with the with the claimant. And I'm not to
21 13:41:02 assess matters of burden of proof. I just assess
22 13:41:07 where the burden of proof lies and it lies with the
23 13:41:10 seller. And speaking of .6 of 112, this is an example like
24 13:41:17 in .5. The fire is an example. And like the owner
25 13:41:22 who sets his factory on fire cannot rely on force

01 13:41:24 majeure. There can also be other acts of
02 13:41:27 omission and omissions of governmental
03 13:41:30 authority
04 13:41:30 where, yes, the contracting partner cannot rely on.
05 13:41:33 Q Thank you. So, professor.
06 13:41:35 PRESIDENT: Before you move to the next question, I just
07 13:41:36 wanted to flag. You've used the budgeted time of 115
08 13:41:41 minutes. I'd like to know how much more time do you
09 13:41:44 need to complete with your colleagues? The examination
10 13:41:49 of the the expert.
11 13:41:50 Q No more than ten to 15 minutes maximum. If that is.
12 13:41:57 PRESIDENT: Well, it's on your time. We just need to
13 13:42:01 arrange and schedule. Schedule the hearing. So
14 13:42:05 please proceed.
15 13:42:05 Q Thank you.
16 13:42:07 A Nobody asks me. Okay.
17 13:42:12 Q Thank you. So, Prof Perner, do you suggest that your
18 13:42:21 opinion on the force majeure was limited to the
19 13:42:25 assessment of the burden of proof? Like who bears the
20 13:42:29 burden of proof, or did you assess the substantive
21 13:42:32 criteria as well?
22 13:42:33 A I also assessed the substantive criteria.
23 13:42:35 Q So did you assess whether decree was voluntarily
24 13:42:39 induced or promoted by GPE or not?
25 13:42:42 A No, I did not assess whether it was voluntarily

01 13:42:45 induced or promoted.

02 13:42:46 Q That's fine. Thank you. So moving to the Bockstiegel

03 13:42:49 test, which we nevertheless are very interested in

04 13:42:53 discussing with you, Prof Perner, do you understand?

05 13:42:57 A Even if it doesn't.

06 13:42:58 Q Apply, even if it doesn't apply. Thank you.

07 13:43:01 A To discuss.

08 13:43:02 Q Thank you. So, Prof Perner, do I understand correctly

09 13:43:06 that your view. Is that the general principle, how

10 13:43:11 the modern doctrine of international commercial law

11 13:43:14 says is that state owned enterprises cannot rely on

12 13:43:19 acts of their own states.

13 13:43:23 Is that correct or.

14 13:43:26 A Are in some cases they can rely on, others they cannot

15 13:43:29 rely. So and and and in general helps to assess

16 13:43:36 whether the one or the other is the case. And the, if I may.

17 13:43:41 And

18 13:43:42 the relevant question is whether the measures are

19 13:43:46 neutral, then, like in Bloodbrothers, then the state

20 13:43:54 owned company can rely. Like in the pandemic, you

21 13:43:57 can, as a public company, of course, rely on lockdown

22 13:44:02 measures like a private company or if they are not

23 13:44:06 neutral at all, but favour the state owned company or

24 13:44:10 are detrimental to the contracting partner or both.

25 13:44:14 And then you cannot rely. This is, in principle the

01 13:44:18 distinction, in my view.

02 13:44:19 Q Thank you. So just to clarify, do I understand correctly that

03 13:44:25 you do not insist in your opinions or in this oral

04 13:44:30 testimony that there is any strict rule that would bar

05 13:44:35 a state owned enterprise from relying on act of its

06 13:44:38 own state, that there should be some case by case

07 13:44:42 analysis under the criteria suggested. Is that

08 13:44:45 correct?

09 13:44:45 A Yeah. There are no written rules. The only thing I

10 13:44:49 can say in this respect that the very old cases like

11 13:44:54 soyuz Naftogaz are an are the reason why the practical

12 13:44:59 test was invented, because in this case, nobody in

13 13:45:04 literature could really believe that reliance on force

14 13:45:08 majeure was admissible. And this was the reason why

15 13:45:12 this test was applied. In order to more and

16 13:45:16 more restrict the possibility to rely on acts of

17 13:45:21 the state

18 13:45:23 or government.

19 13:45:24 Q So, Prof bona, may I please invite you to your 2nd

20 13:45:30 opinion? Paragraph 53. Would it be fair to say

21 13:45:42 that here you briefly summarised the criteria, the

22 13:45:45 substantive criteria that are

23 13:45:48 usually assessed under this test?

24 13:45:56 A Yes.

25 13:45:57 Q It is correct. Thank you, Prof Perner here you refer

01 13:46:02 not to the articles by professor box, but to the

02 13:46:06 articles by Mr t and by Mr Maravilla. Is that correct? Footnote 34.

03 13:46:14 A It is. What? Of course it is. What? What the what

04 13:46:20 both authors derive from the works of Bockstiegel, who

05 13:46:26 I also cited from footnote 35 onwards, Bockstiegel

06 13:46:32 eagle, eagle, eagle in different publications.

07 13:46:37 Q I understood. Thank you. But if we come back to this

08 13:46:41 paragraph 53, it.

09 13:46:41 A Says, because you would not. If I invented a a test,

10 13:46:47 for example, the the test for relying on state

11 13:46:52 measures, then I would never publish an article saying

12 13:46:57 what the test says. It would be up to others, of

13 13:47:01 course, and this is why titi and Maravilla are cited.

14 13:47:05 PRESIDENT: Yeah.

15 13:47:07 Q And the 2nd criterion here says that we should assess

16 13:47:10 whether the state owned enterprise and the state

17 13:47:13 invoke the force majeure in a collusive manner. Are

18 13:47:18 you aware, if Prof Bosch himself ever used the term

19 13:47:23 collusion in his articles? Collusion collude

20 13:47:31 collusive manner.

21 13:47:41 A No, but we do not. We. Yeah, we do refer to the test

22 13:47:45 as it is. Understood?

23 13:47:46 Q Fine. Just "yes" or "no". so you are not sure if it

24 13:47:50 was used or not?

25 13:47:51 A If it was used by peg. Still not sure.

01 13:47:54 Q Not sure. Thank you. Understood. Professor. Would
02 13:47:57 you. Would you please confirm whether
03 13:48:04 these. So whether under these criteria, we shall assess
04 13:48:09 whether
05 13:48:10 the act, which allegedly constituted an event of
06 13:48:13 force
07 13:48:13 majeure, benefited the state owned enterprise or not.
08 13:48:19 A I should now assess.
09 13:48:20 Q No, no, no, the question is just whether it is the
10 13:48:23 applicable criterion or not.
11 13:48:25 A It is applicable, of course. Yeah.
12 13:48:28 Q Thank you. Prof Perner, did you assess any evidence on the
13 13:48:33 record or based on any factual assumptions whether GPE
14 13:48:37 benefited from Decree 172?
15 13:48:41 A Yes.
16 13:48:42 Q What evidence exactly?
17 13:48:48 A You conclude a contract because the contract is, in
18 13:48:54 your view, fair, not in the view of the contracting
19 13:48:58 partner, not in the view of a 3rd party, but in your
20 13:49:02 view, this is why you agree. So for for you, there is a presumption of fairness
21 13:49:11 because you have what you agreed upon. Any change of
22 13:49:16 the contract is per se detrimental. And this is what
23 13:49:21 GPE intended to change the contract.
24 13:49:23 Q Any change of the contract?
25 13:49:25 A Yeah, of course, because the contract is changed. If

01 13:49:29 I sell you a blue shirt, for example, and then

02 13:49:33 I have no blue shirts on stock, and I offer you red

03 13:49:37 shirts because they are more expensive. They are

04 13:49:39 better. You get them from for the same price. The the argument which causes the
assessment that this

05 13:49:50 is detrimental is that you did not agree on this.

06 13:49:54 This suffices.

07 13:49:54 Q Sure. Thank you very much, professor, but I'm not

08 13:49:57 sure it addresses my question. Did Decree 172 benefit GPE and if so, why did you

09 13:50:04 come to this conclusion? What evidence did you asses

10 13:50:08 assess?

11 13:50:08 A Because in the latter, Gazprom referred to the

12 13:50:13 decree and the decree intended to change the contract. And

13 13:50:19 apart from this, it is of course. It is, of course a

14 13:50:26 detrimental for the one and beneficial for the other side. And in a

15 13:50:32 contract you only have two sides. And

16 13:50:36 what is detrimental for one side is beneficial for the

17 13:50:40 other and the other way round.

18 13:50:42 Q So, Prof Perner, did you presume that this change will

19 13:50:48 be practical, beneficial for GPE, or did you go into

20 13:50:53 into the depth of this analysis and look at any

21 13:50:57 factual evidence?

22 13:50:58 A No, it is beneficial to GPE because it intended to

23 13:51:06 change the contract and therefore it deviated from the

24 13:51:12 original contractual agreement. And this is why it

25 13:51:15 was detrimental per se for one party and beneficial

01 13:51:18 for the other. If it was beneficial
02 13:51:20 for both, they could have agreed.
03 13:51:24 Q Prof bonus. So I think the discussion about force
04 13:51:30 majeure is not limited to contractual amendments, I mean
05 13:51:35 to situations where one party tries to impose an
06 13:51:38 amendment on the other, right. So the question is
07 13:51:42 whether we should assess the practical effect of this public act of the Decree 172 on
08 13:51:52 the commercial interests of the state owned
09 13:51:54 enterprise, putting aside the issue of the amendment
10 13:51:56 and agreement to it, do you consider that we should
11 13:52:00 look for this benefit for GPE the practical benefit,
12 13:52:03 or is it irrelevant.
13 13:52:06 A In principle, I would agree, but I would add two
14 13:52:09 aspects. First, one has to also consider the latter
15 13:52:15 because
16 13:52:15 the letter was sent to the contracting partner. And
17 13:52:24 2nd. It could be. I mean, we, we we never know the
18 13:52:33 outcome because payment obligations were not legit.
19 13:52:38 Payment obligations were not fulfilled by the
20 13:52:40 contract. So we cannot we cannot assess this factual
21 13:52:44 question because it didn't happen.
22 13:52:47 Q What do you mean what did not happen? Any benefit for
23 13:52:50 GPE or what?
24 13:52:51 A How did that the change could have been beneficial for
25 13:52:56 the GPE and therefore we had to assess the factual

01 13:53:01 consequences of the change. Exactly. Yeah. But we
02 13:53:03 we we don't know about the factual consequences
03 13:53:07 because we do not have enough payments under this new
04 13:53:11 mechanism. And therefore, we cannot assess the
05 13:53:14 factual consequences. And it would be up to, again,
06 13:53:18 up to the state where the burden of proof lies and the
07 13:53:26 state has to exonerate itself from this presumption
08 13:53:30 that it was beneficial for the contracting party.
09 13:53:32 Q Yes. But again, putting aside the issue of burden of
10 13:53:36 proof. So would you agree, Prof Perner, that in your
11 13:53:44 opinions there is no assessment of the factual
12 13:53:47 consequences of the factual circumstances of how
13 13:53:53 Decree 172 actually affected the operations of GPE?
14 13:53:56 There is no such analysis, no.
15 13:53:58 A There's only an analysis of the payment mechanism and
16 13:54:02 how onerous it was for the buyer.
17 13:54:03 Q For PPD. Yeah. Thank you. My final question is set
18 13:54:08 of questions will go to the alternative modes of
19 13:54:13 performance, which in your opinion, I guess GPE must
20 13:54:18 have exhausted before stating that there was a force
21 13:54:21 majeure. I would like to invite you 1st to
22 13:54:30 paragraph 80. I'm sorry, 41 of your 2nd opinion. It
23 13:54:49 is quite a long passage, so I will just try to
24 13:54:53 summarise it and you will tell if that is a correct
25 13:54:55 recap.

01 13:54:56 A So your colleague, it was too short for you. It's too
02 13:54:58 long.
03 13:55:02 Q So here you suggest that GPE must have put its efforts
04 13:55:07 to procure gas from alternative sources of supply.
05 13:55:11 Correct?
06 13:55:15 A Can you refer to the to the line? It is paragraph 41.
07 13:55:20 Q It is paragraph 41, and.
08 13:55:23 A On page 18 or 19.
09 13:55:26 Q The letter one, the 1919.
10 13:55:28 A Okay.
11 13:55:28 Q I think we can just read the last sentence and maybe.
12 13:55:31 A Therefore, after having become affected by Decree 172,
13 13:55:36 GPE was under an obligation to procure gas deliveries
14 13:55:39 to PPD from an alternative source through a
15 13:55:43 permissible route in a 3rd party country.
16 13:55:47 Q Yes. So, professor, I think this proposed alternative
17 13:55:54 does not quite align with what claimant itself argues
18 13:55:57 in the rejoinder on counterclaim. Have you
19 13:56:01 familiarise yourself with the rejoinder on
20 13:56:04 counterclaim, or was it not within the scope of the
21 13:56:07 document?
22 13:56:07 A You can certainly show me that.
23 13:56:08 Q Can we please open the rejoinder of claimant? It is
24 13:56:13 tab a 4.5. If you.
25 13:56:18 Q I don't know.

01 13:56:20 Q As you wish. As you wish.

02 13:56:25 Q Here we need paragraph 103.

03 13:56:31 Q Since 2 o'clock.

04 13:56:32 Q I don't know. Let's see how much they are. If they

05 13:56:35 have no redirect question.

06 13:56:39 Q Okay. No question.

07 13:56:44 Q 103 sub point e a b c d e. Yes. So here claimant

08 13:56:52 makes a conclusion on which alternatives exactly and

09 13:56:55 how they should have been implemented by or

10 13:56:58 could have been implemented by Gazprom Export.

11 13:57:02 And

12 13:57:02 they both boil down to the use of subsidiaries, the European

13 13:57:07 subsidiaries of Gazprom Export, in order to procure

14 13:57:13 such alternative sources

15 13:57:14 of supply for PPD. Are you familiar with this point?

16 13:57:21 A Yes.

17 13:57:22 Q So, Prof Perner, do you consider that this alternative

18 13:57:27 suggested by claimant were the appropriate ones, or

19 13:57:32 should it be, have just sought for alternative sources

20 13:57:36 of supply, but keep performing the contract itself

21 13:57:40 without subsidiaries, because we do not find any

22 13:57:43 subsidiaries? In your suggestion, in your opinion?

23 13:57:49 A I think, could you scroll up to the beginning of

24 13:57:53 paragraph 103?

25 13:57:54 Q Sure. Please do that.

01 13:57:58 A Gazprom had numerous entities in Europe through which
02 13:58:00 it could have facilitated the delivery of gas to
03 13:58:03 PPD.
04 13:58:05 As I understand it, claimant intends to show that
05 13:58:12 there would have been alternatives whatsoever, but it
06 13:58:17 is not correct under the contract to just lean back
07 13:58:21 and rely
08 13:58:22 on force majeure. This is not what
09 13:58:26 article 11 prescribes.
10 13:58:26 Q For understood.
11 13:58:27 A This is mainly what my understanding of paragraph 103
12 13:58:32 is.
13 13:58:33 Q Mine as well. Okay, so the question is.
14 13:58:36 A We finally.
15 13:58:37 Q Agreed the question is only in which alternative?
16 13:58:44 Which alternative was envisaged by your legal opinion?
17 13:58:47 Because in your opinion, we find a slightly different
18 13:58:51 suggestion. It says that GPE itself was under an
19 13:58:55 obligation to procure gas deliveries to PPD from
20 13:58:58 alternative sources. Did you imply, in your legal
21 13:59:02 opinion that this alternative supplies should have
22 13:59:07 been procured via GPE subsidiaries, or did you mean
23 13:59:11 that GPE could have done it itself
24 13:59:14 without subsidiaries? What was the
25 13:59:18 suggestion?

01 13:59:20 A I would leave this assessment to to the experts who are.

02 13:59:27 Q But my question.

03 13:59:28 A Is a deeper understanding. Yeah, I, I know, but in

04 13:59:32 order to legally assess the question, you need to you

05 13:59:37 need to also assess the factual background. Because

06 13:59:40 whether a hindrance is avoidable or not depends on the

07 13:59:45 facts. And if there were subsidiaries, then this would have

08 13:59:51 been an alternative. If there had been no

09 13:59:54 subsidiaries, then this would not have been a

10 13:59:58 reasonable alternative. And then there might have

11 14:00:00 been other alternatives. What I'm saying is that it

12 14:00:06 the contract prohibits to just lean back and rely on

13 14:00:08 force majeure without thinking about it.

14 14:00:12 Q Prof Perner, my question was simple. Did you

15 14:00:15 yourself, when writing that passage, envisage that

16 14:00:19 these alternatives would use subsidiaries of GPE, or

17 14:00:23 was the suggestion limited to actions of GPE?

18 14:00:29 A I would not read too much out of statements which rely

19 14:00:36 also on factual assumptions. I think the sentence

20 14:00:40 says it all. GPE was under an obligation to procure

21 14:00:45 gas deliveries to PPD from an alternative source. So

22 14:00:51 for me, I mean still for me, this is clear and

23 14:00:58 converges with what what I read from paragraph 103. But

24 14:01:02 I'm sure that after many years of assessing gas

25 14:01:05 contracts, you have a better factual background.

01 14:01:08 Q So Prof Perner, just for clarification, do you admit
02 14:01:13 that you're not an expert on Russian law and you did
03 14:01:16 not interpret the Russian law in this paragraph?
04 14:01:20 Thank you. So turning back to the alternatives, one
05 14:01:24 question on the subsidiaries and one question on the
06 14:01:27 alternatives themselves. Prof Perner,
07 14:01:29 do you consider
08 14:01:31 that assignment of contract to a 3rd party is a form of
09 14:01:35 performance.
10 14:01:37 A Assignment of a contract?
11 14:01:38 Q Can I perform a contract? I'm sorry. Can I perform
12 14:01:42 my obligation to supply by assigning this contract to a 3rd party? Okay. In
13 14:01:52 abstract.
14 14:01:54 A Some cases, yes. For example, lawyers can assign the
15 14:01:58 contracts in certain situations under certain
16 14:02:01 circumstances, under Austrian law to other lawyers.
17 14:02:05 But in general, no, because contracting partners
18 14:02:09 must honor their own obligations, of course. So it
19 14:02:12 does not mean it does not mean that you have to
20 14:02:17 perform yourself. You have the option to perform via other legal
21 14:02:26 entities. You are still responsible, but it's a
22 14:02:30 performance made under your name. This is possible,
23 14:02:34 of course.
24 14:02:34 Q Would you be then have to, I don't know, would this
25 14:02:40 subsidiaries have to conclude a separate

01 14:02:42 contract with

02 14:02:43 PPD or how? What was that supposed to operate in your

03 14:02:47 opinion?

04 14:02:49 Q This is going too long if she has to stop.

05 14:02:51 A I mean, if subsidiaries perform for GPE, then it is

06 14:02:58 performance in the name of GPE. And it doesn't matter

07 14:03:02 whether the performance factually comes from a 3rd

08 14:03:06 party legally comes from the contract department.

09 14:03:09 Q Actually. Thank you. On the alternative sources themselves,

10 14:03:13 Prof Perner, do I understand correctly that GPE's

11 14:03:19 obligation to exhaust this alternatives implied that

12 14:03:23 there must have been some alternative sources of

13 14:03:26 supply of non-Russian gas in the market, so the GPE

14 14:03:31 could procure them.

15 14:03:34 A There must have been alternatives in order to be able

16 14:03:38 to perform. Yeah. That's correct.

17 14:03:41 Q May we please briefly go to paragraph 14 of the same

18 14:03:45 opinion? Fourteen yes, 14 of the 2nd opinion. Second

19 14:03:50 opinion? Yes.

20 14:03:56 PRESIDENT: And maybe it is the last question. I know

21 14:03:59 you were moving to a last topic, but is it the last

22 14:04:02 question on the last topic? It is.

23 14:04:04 Q Thank you indeed. Thank you very much for your

24 14:04:07 patience. So, professor, are we on paragraph 14? So

25 14:04:14 I'm interested in the sentence which starts on the

01 14:04:18 page 9. Also, it is PPD case that there was no such alternative available.
02 14:04:27 In April 2022. It became
03 14:04:29 available only month later. So you see, on the one hand,
04 14:04:35 you suggest that there were alternative sources
05 14:04:38 of supply in the market that GPE must have procured,
06 14:04:42 but on the other hand, admit that there were no such
07 14:04:46 alternatives available to PPD. Would you agree that both of these statements
08 14:04:52 cannot be true? One of them has to be wrong.
09 14:04:56 A No, no, because as I understand paragraph 103, it
10 14:05:02 refers to subsidiary. Maybe also under the control of
11 14:05:08 GPE, whereas the other statement refers to the
12 14:05:11 contracting partner.
13 14:05:12 Q No, no, I'm talking.
14 14:05:14 A Gets the contract or not.
15 14:05:16 Q Sorry.
16 14:05:16 A I, I, I can perfectly reconcile the two statements.
17 14:05:19 Q Sir. Just to clarify, I'm talking about the
18 14:05:22 alternative sources of supply, regardless of who was
19 14:05:26 supposed to buy and procure them, the alternative.
20 14:05:30 A Sources must also perform.
21 14:05:31 Q No, no, I mean the gas in the market. There must be
22 14:05:35 enough gas on the market. In one case, you say that
23 14:05:38 there was enough gas on the market for GPE to procure.
24 14:05:43 In this paragraph, you say that there was not enough
25 14:05:47 gas for PPD to procure for itself.

01 14:05:49 A No. It says.

02 14:05:50 Q How does. That leave to go?

03 14:05:54 A Sufficient alternatives available for PPD.

04 14:05:58 Q But for GPE there was such.

05 14:06:00 A There were, as it's claimed, options to deliver

06 14:06:06 alternatives. Yes.

07 14:06:06 Q But you.

08 14:06:07 A Have to be true.

09 14:06:08 Q But you have to take this non-Russian gas from

10 14:06:11 somewhere. Correct?

11 14:06:15 A Yeah, of course. But you can also take Russian gas

12 14:06:18 and effect payment through the subsidiary, for

13 14:06:24 example.

14 14:06:24 Q But the.

15 14:06:24 A This would be even closer to article 54 than our new

16 14:06:29 payment mechanism. But I wouldn't say it falls under

17 14:06:33 the scope of article 54.

18 14:06:36 Q But the law applied to Russian gas, as you've also

19 14:06:39 admitted. Right.

20 14:06:42 □202603230052 A As I understand.

21 14:06:43 Q The.

22 14:06:44 A Decree applied here to the mechanism.

23 14:06:47 Q But thank you, thank you. I think we don't have any

24 14:06:50 further questions. Thank you very much, professor.

25 14:06:52 Thank you for your patience.

01 14:06:53 PRESIDENT: Thank you very much. I suggest as plan, we
02 14:06:57 take a one-hour break before you conduct redirect,
03 14:07:03 will you have you have have you? Yes. We have a few
04 14:07:06 questions in redirect.
05 14:07:07 Q Not many, but.
06 14:07:08 PRESIDENT: Yes, but you have budgeted ten minutes. But
07 14:07:11 let us know if you need more time. So it is seven
08 14:07:16 past two. We will resume at seven past three in 60
09 14:07:20 minutes. Prof Perner, you know the instruction. You
10 14:07:24 are still giving testimony before this tribunal.
11 14:07:28 Thank you very much for staying with us today. We
12 14:07:32 need your expertise on all these areas of the law
13 14:07:36 so the tribunal really appreciate your
14 14:07:39 answers. Please have lunch and we will see each other
15 14:07:43 in one hour.
16 14:07:43 Q Thank you.
17 14:17:30 Q This is an audio test for the afternoon session.
18 14:17:34 Testing one. Two. Three. Four.
19 15:07:30 MS HOFFMAN: Please. Thank you. I have just a few
20 15:07:35 questions for you, and I'm now bringing you back from
21 15:07:38 force majeure, which was last discussed to article 54
22 15:07:41 of CISG. We saw that article on the screen. You have
23 15:07:45 it in your presentation and it
24 15:07:49 mentions formalities and steps.
25 15:07:51 Could you briefly recap what kind of formalities and

01 15:07:56 steps are meant in article 54? CISG.

02 15:08:01 Q As I outlined in my 2nd expert report and also during

03 15:08:06 the presentation, formalities and steps are required

04 15:08:12 on the side of the buyer to just effect payment. So

05 15:08:16 if he, for example, has to pay by bank transfer to

06 15:08:20 another country, he has to open up a bank account.

07 15:08:22 This would be such step under article 54 a preparatory

08 15:08:28 behaviour in order to make payment on his side possible and comply with

09 15:08:34 formalities would, for

10 15:08:35 example, mean that he is obliged to require an authorisation to remit the

11 15:08:44 money abroad. So these

12 15:08:45 would be formalities. Article 54 does not. Concern material changes of

13 15:08:55 the contract. Never can you be obliged to accept

14 15:08:59 material changes under article 54 and article 54

15 15:09:06 only concerns hindrances on the side of the buyer.

16 15:09:10 The buyer has to overcome, but never hindrances on the

17 15:09:13 side of the seller, which the buyer has to overcome

18 15:09:16 later.

19 15:09:18 MS HOFFMAN: This is actually my follow-up question. You

20 15:09:21 make a distinction between hindrances on the bias side and on

21 15:09:25 the on the seller's side. Could you please explain a little more what you mean by

22 15:09:37 these fears?

22 15:09:37 A So when speaking of formalities under article 54, I

23 15:09:43 think, and this is also reflected by the assessment of the exhibits of the commentaries

24 15:09:53 which were put forward by both sides. Article 54, in effect, does not. Does not refer to changes

25 15:10:05 of circumstances. Article 54 is not a change of

01 15:10:09 circumstance provision, but simply means that you are
02 15:10:15 not only in default on the side of the buyer when you
03 15:10:19 do not pay, but it enables the other side to refer to
04 15:10:25 article 71, even if preparatory steps are not taken
05 15:10:31 and formalities are not complied with. And so the
06 15:10:35 seller can see that the buyer does not. And this is
07 15:10:37 the important point. The buyer does not do what
08 15:10:41 the
09 15:10:42 buyer is required to do under the contract. And so a
10 15:10:48 change of the contract, even a minor
11 15:10:50 change of the contract, even a formality, can never be
12 15:10:56 overcome if it comes from the seller. By virtue of
13 15:11:01 article 54.
14 15:11:04 Q In the realm of CISG, can a contract amendment
15 15:11:09 contract amendment be ever introduced by the clarification of the CBR
16 15:11:17 or
17 15:11:17 Gazprombank rules?
18 15:11:19 A No. The contract has to be amended mutually. A one
19 15:11:27 sided proposal is what it is. It is an offer to amend
20 15:11:30 or can be can qualify as an offer to amend the
21 15:11:33 contract. But it is not the amendment as such, with
22 15:11:39 exception
23 15:11:39 that there could be mutual behaviour after the
24 15:11:44 conclusion of the contract, which leads to the
25 15:11:49 assessment that the parties tacitly amended the

01 15:11:52 agreement. This might be the case, but it's always mutual.

02 15:11:58 Q Thank you. We will not have further questions to Prof

03 15:12:01 Perner.

04 15:12:05 PRESIDENT: Thank you very much. Professor Rainer, you

05 15:12:10 have questions?

06 15:12:11 Q Thank you. Just a few. First, concerning the force

07 15:12:16 majeure. You said I. I believe that you have to rely

08 15:12:24 on force majeure. And if you want to rely on force

09 15:12:27 majeure, you have to mention, I guess, the name of

10 15:12:30 force majeure. You have to say what? What the force majeure is, in

11 15:12:33 your view. Is that

12 15:12:34 right?

13 15:12:35 A That is correct. And and I can therefore refer in

14 15:12:40 parts to my presentation because when I assessed the

15 15:12:47 relationship between article 11 and article 79, I was

16 15:12:53 and am of the opinion that article 11 supersedes

17 15:12:58 article 79 because it refers to the requirements for

18 15:13:01 reliance on force majeure. And therefore, as I said,

19 15:13:05 utmost clarity is needed. You need to know that the

20 15:13:07 other party relies on force majeure, as you just said.

21 15:13:11 DR REINER: So as I guess I understand also to be able to

22 15:13:15 make use of your rights under a force majeure

23 15:13:18 situation. When parties agree in their contract on a

24 15:13:26 force majeure clause is does Austrian law provide any

25 15:13:32 guidance as to whether that force majeure contractual

01 15:13:38 clause was rather intended to be exhaustive or partial
02 15:13:44 compared to the CISG? Do you understand my question?
03 15:13:50 A Yeah. It refers to the interpretation of of a force
04 15:13:55 majeure clause and. The directs me to the requirements of and
05 15:14:04 for interpretation of contracts under Austrian
06 15:14:07 civil law. Prof Koller also mentioned the
07 15:14:09 requirements under
08 15:14:12 section 914 of the Austrian Civil Code, and this
09 15:14:18 provision refers to the intention, actual or intention
10 15:14:23 of the reasonable parties. And as an exception to to
11 15:14:33 the rule, force majeure is an exception. If you do not
12 15:14:37 perform, then you in principle breach the contract
13 15:14:42 except in a force majeure situation. And this would
14 15:14:46 lead me to the assessment that
15 15:14:49 exceptions are interpreted are to be interpreted
16 15:14:52 narrowly under Austrian civil law. This is a general rule.
17 15:14:56 DR REINER: Okay. But my question was slightly differ
18 15:14:59 different.
19 15:14:59 A Okay, I thought so.
20 15:15:01 DR REINER: But I wanted to understand is whether
21 15:15:04 Austrian law provides any guidance as to whether a force
22 15:15:10 majeure clause in a contract was intended to cover the
23 15:15:15 topic fully, or whether it is possible that the
24 15:15:20 parties wanted to leave certain aspects of a force
25 15:15:24 majeure situation open and refer to some other rules

01 15:15:29 in that respect. So the question of whether
02 15:15:33 contractual force majeure clause is rather to be
03 15:15:35 understood as an exhaustive
04 15:15:38 provision, or whether it is more likely
05 15:15:40 that the parties intended that certain things were
06 15:15:44 left open.
07 15:15:45 A Yeah. Again, I think I, I think my answer partially
08 15:15:49 answered your question because because the Supreme Court. Interprets
09 15:15:59 exemptions and and such such rules. Restrictively and the
10 15:16:08 Supreme Court would refer to the intent of the
11 15:16:10
12 15:16:11 parties. And as we saw in article 11, they. There was an an actual
13 15:16:19 intention to leave certain spots of force majeure out
14 15:16:23 of the out of the picture, because such events are
15 15:16:31 enumerated but not limited to and for force.
16 15:16:37 Monsieur, I would say that you could. You could still
17 15:16:43 rely on generally accepted principles.
18 15:16:47 DR REINER: My next question relates to the payment
19 15:16:49 mechanism. Let's assume I'm not asking you whether
20 15:16:53 that is true or not, but let's assume that the seller
21 15:16:57 told the buyer in order to comply with the new payment
22 15:17:02 mechanism under decree 172, you have to transfer the
23 15:17:06 money two days earlier than before. Is that something
24 15:17:12 that independently of the question, whether article 54
25 15:17:17 CISG applies to both sides of the contract, would that

01 15:17:23 be formality? Under the article 50:50 four?

02 15:17:30 A I don't think so, because, as I said, article 54 only

03 15:17:37 concerns situations, never concerns material changes

04 15:17:40 of the contract and to ask the buyer to pay two days

05 15:17:45 in advance, especially in case of such sums, would be

06 15:17:49 a change of the contract and therefore not be covered

07 15:17:52 by article 54.

08 15:17:54 DR REINER: Another hypothetical question let's assume,

09 15:17:56 and I'm saying really hypothetical question. Let's

10 15:18:00 assume that due to the new payment mechanism, the

11 15:18:05 buyer's banks were more difficult and undertook longer

12 15:18:11 and more detailed compliance checks from a contractual

13 15:18:17 point of view under Austrian law or the CISG, who

14 15:18:21 would you attribute the consequences of any such

15 15:18:28 extended compliance checks to, with the obvious

16 15:18:31 consequence that in order to pay timely, you have to

17 15:18:34 make payment even earlier than the two days prior to

18 15:18:39 the initial payment date that I mentioned before.

19 15:18:43 A You would have to distinguish between the root, the

20 15:18:48 cause, and the consequence in. In your hypothetical

21 15:18:55 case, the cause and the root would be the provision,

22 15:19:01 the decree, the sanction, whatever. And the

23 15:19:04 consequence would be the more onerous procedure. And

24 15:19:10 I would refer to the rule, to the cause and not to

25 15:19:14 what this means in practice, as a consequence and as

01 15:19:19 an outcome.

02 15:19:22 DR REINER: Have you seen the presentation briefly?

03 15:19:26 A Yes.

04 15:19:30 DR REINER: Just a few questions in relation to that.

05 15:19:33 And coming back to article 54, and if perhaps you can

06 15:19:37 be shown page 4 of the presentation in comparison to

07 15:19:43 page 13 of your presentation, where you deal with

08 15:19:46 article 54. And perhaps it's I think you have your

09 15:19:56 presentation in front of you or not.

10 15:20:00 A I don't have my present. See my presentation on the

11 15:20:02 screen.

12 15:20:03 DR REINER: Okay. But it would be useful to see page 4

13 15:20:06 of the Klicka.

14 15:20:09 A For of click and 13 of mine.

15 15:20:19 MS PETKUTE: I would hand over to Prof piano his

16 15:20:22 presentation.

17 15:20:24 PRESIDENT: Yes, that would be nice. Thank you.

18 15:20:26 A That's helpful. Thank you.

19 15:20:39 DR REINER: For any comment on that page for.

20 15:20:42 PRESIDENT: We don't have it yet. We're waiting for it.

21 15:20:52 MS PETKUTE: I think we need on the screen Prof clicker's

22 15:20:54 presentation. Slide 4. Could we have that?

23 15:20:58 A I'm reading page 13 of mine.

24 15:21:00 DR REINER: You don't have to read it loud. Read it.

25 15:21:03 A Out loud. It is lying in front of me. And now I can

01 15:21:09 see it. For of.

02 15:21:14 MS PETKUTE: Slide 4, please.

03 15:21:17 A Yeah.

04 15:21:23 PRESIDENT: Thank you.

05 15:21:34 A Yeah. It's easy to see that we disagree and we

06 15:21:44 disagree on two aspects. First, I think that

07 15:21:51

08 15:21:52 article 54 does not concern change of circumstances,

09 15:21:55 as I mentioned before. Second, I think article 54 only concerns

10 15:22:01 hindrances on the side of the buyer, not of the

11 15:22:05 seller. And I'm convinced that we do not speak of

12 15:22:09 formalities when we discuss our case at hand. This is

13 15:22:12 mentioned in my presentation.

14 15:22:16 DR REINER: Thank you. Can you turn to page 9 of Prof Klitschko's

15 15:22:21 presentation? That relates to paragraph 870 of the

16 15:22:29 Austrian Civil Code, and you see the 3rd paragraph or

17 15:22:36 2nd paragraph of the 2nd bullet point. One party

18 15:22:39 puts the other party into one unjust and

19 15:22:44 2nd well-founded fear. And I understand to say

20 15:22:49 that the fear was not unjust. So how do you define

21 15:22:55 unjust in the context of

22 15:22:58 paragraph 870 a, b g b?

23 15:23:02 A Fear in the sense of 870 of the Austrian Civil Code

24 15:23:08 has to be, as you said, unjust. We agree on this

25 15:23:13 prerequisite in principle, in my opinion, and under

01 15:23:19 settled Austrian case law, unjust fear can be induced
02 15:23:24 with a view to. The relation of the so-called right
03 15:23:33 side and the mean meaning that the threat to terminate a
04 15:23:41 contract can induce unjust fear or just fear. Unjust
05 15:23:45 fear, if the termination is not a right to
06 15:23:51 be exercised by by the threatening party, if the
07 15:23:54 threatening party does not have the right to exercise
08 15:23:58 this right to termination. And on the other hand, if
09 15:24:04 a contracting partner simply threatens to terminate a
10 15:24:10 contract which could be terminated anyway, the fear is
11 15:24:13 not unjust. So the point is that Gazprom had no right
12 15:24:21 to terminate the contract if the new mechanism was not
13 15:24:26 followed, and by referring to a right, Gazprom had no
14 15:24:33 legal option to exercise, it induced unjust fear.
15 15:24:39 DR REINER: Thank you. No further questions.
16 15:24:40 PRESIDENT: Thank you very much, Prof Hoffmann. Well,
17 15:24:45 there is no more questions from the tribunal. Let me
18 15:24:49 invite the parties if there is any follow up questions
19 15:24:52 deriving from Prof Rainer's questions.
20 15:24:55 A Not in our site. Thank you.
21 15:24:57 MS PETKUTE: And not from the client side. No.
22 15:24:58 PRESIDENT: Thank you. Well, this completes your
23 15:25:00 examination. Thank you very much for traveling all
24 15:25:02 the way to to this hearing and attend. You are free
25 15:25:06 to go or to stay in the room as you may wish. Thank

01 15:25:09 you very much. We take a five minute break and we
02 15:25:12 will hear the presentation of Prof Klika in a minute.
03 15:25:17 In five minutes.
04 15:25:46 Q We'll do.
05 15:25:51 Q The choice.
06 15:26:12 PRESIDENT: For you. Remember, you did not use the last
07 15:28:56 interpreter, but. So before we start with the
08 15:28:58 examination of Prof Klicka claimant has reserved 122
09 15:29:05 hours for the cross-examination. So it would be at
10 15:29:09 some point in during the course of your cross-examination. We will
11 15:29:15 take a break. So I'll let
12 15:29:17 you decide what is the convenient time for you to, to
13 15:29:21 to, to take the 15 minute break? Thank you. With
14 15:29:24 this in mind, we're back on record. A very good
15 15:29:27 afternoon to you, Prof Klicka. You you have submitted
16 15:29:34 a PowerPoint presentation and we will you will
17 15:29:39 introduce your presentation. We have allocated 30
18 15:29:42 minutes for the presentation. I understand also that you have requested the help or
19 15:29:52 assistance if needed, if needed,
20 15:29:53 of an interpreter, so
21 15:29:53 I will 1st ask your interpreter to read to the record his
22 15:29:59 affirmation of truthfulness interpretation. Then
23 15:30:03 I will
24 15:30:04 invite your
25 15:30:05 counsel to administer your. Sorry
26 15:30:09 respondent to administer the the affirmation of

01 15:30:15 sincerity. And then we will move with the
02 15:30:18 presentation of Prof Klicka.
03 15:30:20 PRESIDENT: So. Well, my name is Winfried Strube
04 15:30:22 conference interpreter, and I sincerely and truly
05 15:30:27 declare and affirm that I will faithfully, accurately
06 15:30:32 and impartially translate and/or interpret all
07 15:30:37 statements, documents, and communications.
08 15:30:47 PRESIDENT: Same thing. Professor, would you read aloud
09 15:30:50 to us your declaration, please?
10 15:30:51 PRESIDENT: Thank you very much. Declaration I Thomas
11 15:30:54 Klicka sincerely and truly declare and affirm that the
12 15:30:57 evidence I shall give shall be truth, the whole truth,
13 15:31:00 and nothing but the truth.
14 15:31:03 PRESIDENT: Just to be clear with the you need for
15 15:31:07 interpretation, it's just you will be presenting
16 15:31:13 answering questions in English. It is. The
17 15:31:16 interpreter is just here in case you need assistance
18 15:31:20 from. You may need assistance from one point to the
19 15:31:23 other, but you're perfectly comfortable to listen to
20 15:31:29 the questions in English and address them in English
21 15:31:32 as. As far as your your your abilities concern, is it
22 15:31:38 correct?
23 15:31:38 PRESIDENT: That's correct. It's just in case it's a
24 15:31:41 kind of fallback position.
25 15:31:43 PRESIDENT: Very good. This is understood. I will we

01 15:31:47 will now listen to your presentation, please. You
02 15:31:51 have the floor.
03 15:31:52 PRESIDENT: Yes. Madam President, dear arbitrators,
04 15:31:57 thank you very much for giving me the opportunity to
05 15:32:01 present. My opinion to the issues in our case at
06 15:32:10 hand. And 1st, I want to give you a kind of table of
07 15:32:17 content. My presentation
08 15:32:20 will cover five issues, kind
09 15:32:23 of five chapters. The 1st four will deal
10 15:32:29 with the issues that
11 15:32:32 are covered by the opinion opinions by Prof Perner,
12 15:32:37 and the 5th chapter regarding article 6 of the Rome II
13 15:32:43 regulation. The applicability of the Rome II.
14 15:32:48 Regulation is concerning Prof Carlos opinion. First
15 15:32:57 point is the question whether article 54 of the CISG
16 15:33:04 is applicable in our case at hand. The 2nd question
17 15:33:08 is because there was a countersignature of PPD
18 15:33:13 to the
19 15:33:15 letter that was sent by GPE. The question whether this. Amendment that was
20 15:33:28 produced by this
21 15:33:31 countersignature
22 15:33:35 was given under duress and falls
23 15:33:39 under section 870 of the Austrian
24 15:33:46 code of civil law. The 3rd question is if PPD did not
25 15:33:53 act in good faith. Especially under the aspect of the legal
institute, what is called the Contrafactum problem, a

01 15:33:58 very old institute, a very old typical argumentation. And the 4th question concerning
02 15:34:09 Prof
03 15:34:09 Pena's opinion is the question whether there was a
04 15:34:12 situation
05 15:34:12 of force majeure in the present case, which enabled
06 15:34:18 GPE to suspend gas deliveries. And I have to mention at this point that maybe in
07 15:34:27 my following presentation, I will not exactly stick to
08 15:34:31 the presentation because some things were mentioned
09 15:34:35 today. So I will focus on the issues which I do not
10 15:34:42 agree with Prof and Prof Koller and maybe some issues
11 15:34:48 I can handle a little bit shorter, because from
12 15:34:52 the reason of time of 30 minutes, let's start with
13 15:34:57 article 54. To be honest, I was
14 15:35:00 a little bit surprised when I got the opinion of Prof
15 15:35:06 Perner. His 1st opinion, in which article 54 wasn't
16 15:35:11 mentioned at all. I checked it and double checked
17 15:35:14 it and it isn't
18 15:35:17 mentioned. And when I analysed the case, I got to
19 15:35:25 article 54 in a very short time because I'm
20 15:35:29 definitely convinced that article 54 is the
21 15:35:35 fundamental provision for our case at hand. That's
22 15:35:39 the the heart of the case, I would like to say. And
23 15:35:42 if we have the wording, the wording is wide.
24 15:35:47 It says the buyer's obligation to pay the price
25 15:35:52 includes taking such steps. That's the 1st situation. And

01 15:35:57 complying with such formalities as may be required
02 15:36:00 under the contract or any laws and regulations to
03 15:36:04 enable payment to be made. This provision is a
04 15:36:11 very
05 15:36:12 wise provision. The legislator of the CISG was a very wise legislator because it's a it's
06 15:36:22 a
codification
07 15:36:23 from the 19 seventies, 19 eighties. And it's better
08 15:36:27 than national law because such situations that are
09 15:36:34 covered by article 54, usually, for example, in
10 15:36:37 Austrian law or under German law, are handled with the
11 15:36:40 principle of good faith, and in such cases we use to
12 15:36:48 to say, if it
13 15:36:49 comes to a
14 15:36:51 situation like this, the parties are obliged to to
15 15:36:56 adapt,
16 15:36:58 adopt the the contract and they are obliged to
17 15:37:03 get into a
18 15:37:05 negotiation and via the
19 15:37:08 instrument, or using the
20 15:37:09 instrument of acting in good, good faith, we come to
21 15:37:13 similar or the same results. But now here we have a
22 15:37:18 provision that says this expressively and what's the
23 15:37:24 purpose and the meaning of article 54?
24 15:37:26 That's the the central question that that's the most
25 15:37:30 important

01 15:37:30 question in my opinion. Article 54 secures that a
02 15:37:37 contract stays alive. Because if we
03 15:37:40 think to the alternative, what would
04 15:37:42 happen if if we do not have
05 15:37:46 article 54 or we use
06 15:37:47 principle of good
07 15:37:49 faith, we come to the situation that one side cannot fulfil
08 15:37:56 its obligations. Then we have
09 15:37:58 the discussion. Is it a delay? Is this a reason for
10 15:38:02 terminating the contract and all those problems we
11 15:38:05 have? Then a lot of disputes, a lot of discussion
12 15:38:09 about termination of the contract and so on. And the
13 15:38:13 reason why article 54 was was created is that as far
14 15:38:18 as possible, as far as it is reasonable, and it's
15 15:38:22 under the aspect of balancing the interests of the
16 15:38:26 parties as far as possible. A contract should stay alive and.
17 15:38:33 One thing I have to mention, I
18 15:38:35 definitely disagree with my colleague Prof Perner,
19 15:38:40 when he is of the opinion that article 54 doesn't
20 15:38:45 cover so-called ongoing supply contracts or successive
21 15:38:49 supply contracts. In my opinion, especially in such
22 15:38:55 contracts which have a longer life, the chance that it
23 15:39:01 comes to problems is bigger than in the
24 15:39:07 situation of a
25 15:39:09 one time contract in which the the seller sells one good and the buyer

01 15:39:17 takes it and pays it, and the contract is
02 15:39:19 finished. A long time contract has more risk that it
03 15:39:24 comes to such a difficult situation, which is covered
04 15:39:31 by 54. And the most important point is that it is undisputed that the
05 15:39:44 wording in article 54, the buyer has to take
06 15:39:50 steps and and complying with such formalities, which
07 15:39:55 may be required under the contract or any laws and
08 15:39:58 regulations to enable payment to be made that this
09 15:40:03 wording, any laws and regulations covers all
10 15:40:09 regulations and any laws. It's not important whether the regulation or the
11 15:40:16 law comes from the state of the seller or comes from
12 15:40:19 the state of the buyer, because the CISG is only
13 15:40:26 applicable in the cross-border case. And it's
14 15:40:30 unthinkable that the creators of the CISG, who created a codification for a cross-
border situation,
15 15:40:41 did only see the one side, only if the
16 15:40:46 regulations on the buyer side makes problems, then
17 15:40:51 it's a case of 54. For me, it's definitely clear
18 15:40:55 that
19 15:40:56 the creators of the article 54 had in mind and did see that, did see that.
20 15:41:04 It's also possible that there are regulations on this from
21 15:41:08 the state of the seller. And also these situations
22 15:41:13 are covered by article 54 and 54 is applicable. And
23 15:41:20 at this point I would amend. I would like to
24 15:41:27 amend that. There are two misrepresentations in Prof Perna's
25 15:41:33 presentation, because on his slide 13 that we have

01 15:41:38 seen about ten minutes ago or so, he said two things he said, as I
02 15:41:44 remember, the change of currency is not possible
03 15:41:52 consequence under the CISG. And that's not
04 15:41:56 correct.
05 15:41:58 It's undisputed that in specific situations there
06 15:42:03 is a duty and obligation of the buyer to accept
07 15:42:09 the
08 15:42:10 change of the currency for paying the price. If it is
09 15:42:15 reasonable. That's the criteria. If it's reasonable,
10 15:42:18 if the change of the currency is necessary to keep the
11 15:42:25 contract alive, and if it's not an unreasonable
12 15:42:31 burden, it's not an unreasonable disadvantage. That's
13 15:42:35 the 1st thing in which I disagree with Prof Perner.
14 15:42:40 And the 2nd thing, Prof Perner, and I don't know
15 15:42:45 exactly what he said or what he means, said only
16 15:42:51 things on the buyer's side are cases of article 54.
17 15:42:56 And that's the 2nd point, which I definitely disagree. As I mentioned
18 15:43:02 before, article 54, in my opinion, is
19 15:43:06 definitely applicable also in cases in which the
20 15:43:11 regulatory rules that make the problem come from the
21 15:43:16 state of the seller and I go make those citations. The
22 15:43:24 the Staudinger commentary, it's the biggest commentary
23 15:43:29 in German speaking world. Munich commentary, peg
24 15:43:33 online commentary. And I have to mention also the
25 15:43:37 authority that was cited by Prof Perner, butler

01 15:43:44

02 15:43:46 butler. Also, these authors say

03 15:43:49 exactly the same as the authors that I

04 15:43:53 have cited, they say expresses their base. It is a

05 15:43:58 case of 54. If a regulation coming from the country

06 15:44:03 of the seller makes problems,

07 15:44:08 then

08 15:44:08 there is a duty to to take steps and complying with such regulations. That's a very,

09 15:44:22 very

10 15:44:25 important point. And one more thing that I

11 15:44:25 have to amend answering to Prof Perner. Prof Perner,

12 15:44:32 as I remember, said that it's not

13 15:44:36 allowed, that there

14 15:44:37 is any change and any burden

15 15:44:41 if we apply article 54, and if there is a

16 15:44:44 burden, then we cannot apply article 54. In my

17 15:44:48 opinion, article 54 shows itself that the

18 15:44:53 buyer must accept specific small burdens or small

19 15:44:57 disadvantages. And the question always is, is this

20 15:45:01 burden reasonable? Is it in the balance of interest that

21 15:45:07 we

22 15:45:07 accept a small disadvantage or small complication for

23 15:45:14 the for the buyer side? And when we look at the factual

24 15:45:18 background and now I would prefer to go to the

25 15:45:22 slide

26 15:45:23 number 12, the graphics. If

01 15:45:26 you if we look at the situation of the
02 15:45:29 concrete situation we have on the left side, the situation before
03 15:45:37 decree 172 and on the right-hand side, we have
04 15:45:40 the situation after decree 172. And what was the
05 15:45:46 situation before? PPD was obliged to make a payment
06 15:45:50 in Europe to a certain number of an
07 15:45:54 account, a certain account number at the
08 15:45:57 GPE. I think it's Gazprombank, Moscow. The situation after decree PPD had to
make a
09 15:46:08 payment in euro because that was the way that was
10 15:46:13 given by the decree. In addition, with the. The
11 15:46:19 explanation or instruction by the Russian Central Bank and
12 15:46:24 the situation after Decree 172 and the the. The
13 15:46:29 Central Bank instruction was PPD had to pay in euro. It's
14 15:46:33 the
15 15:46:34 same currency. It's not not a currency change and it's
16 15:46:38 the same bank as before, only it's another account
17 15:46:44 number that was presented by GPE to PPD. GPE said,
18 15:46:48 okay, now it's another account number
19 15:46:52 and it's not an account of GPE, it's an account of PPD. And now we come to to the
conversion mechanism,
20 15:47:02 and it was argued by Prof Perner that it is a massive
21 15:47:09 disadvantage and a massive burden that is unreasonable
22 15:47:12 to bear for the buyer, for PPD, and therefore, we
23 15:47:17 cannot apply article 54 and therefore, there was no
24 15:47:20 duty, no obligation to accept the new the modified
25 15:47:25 payment process. And I disagree because there are two

01 15:47:30 points

02 15:47:31 with which Prof Perner argued. The 1st was the

03 15:47:35 question of delay. The question

04 15:47:40 of delay is not a reason why we can deny article 54,

05 15:47:47 because if we look at the at the background of 54, 54 is a

06 15:47:53 kind of specific situation of the principle of acting

07 15:47:58 in good faith. It's a duty. You have to accept some

08 15:48:04 small changes because parties that are in a

09 15:48:06 contractual situation that are not strangers, they

10 15:48:09 have to act in good faith. And it's a part of acting

11 15:48:12 in good faith that you have to accept some minor

12 15:48:15 changes. And if we come to the question of delay that

13 15:48:20 maybe there can be a delay. I'm not sure if it was it

14 15:48:24 was a delay in the in the in the in the payment, if

15 15:48:28 this the two day delay which was mentioned today, if

16 15:48:32 this happened really or did not happen, but even if it

17 15:48:37 had happened in this case, it's a situation of acting in

18 15:48:42 good faith that the site that has a problem with the delay informs the

19 15:48:48 other side and say, okay, now I

20 15:48:51 have to pay two days in advance. For me, this is a

21 15:48:55 disadvantage and let's find a solution. Let's solve

22 15:48:59 that problem. And there are

23 15:49:01 two possibilities for me that I find in in some

24 15:49:05 minutes. I would like to say the 1st possibility is okay, you GPE accept

25 15:49:11 that I pay two days later. Okay,

01 15:49:14 I, I think that's one possibility to solve the problem or the 2nd
02 15:49:19 possibility is to say, okay, that
03 15:49:24 makes me costs that the interest and those amounts I
04 15:49:32 will reduce in this amount. I will reduce
05 15:49:35 my payment because it produces mucus. So in my
06 15:49:40 opinion, there was a kind of duty by PPD
07 15:49:46 to inform GPE that PPD has a problem with the question
08 15:49:50 of delay and ask for a solution. And the solution
09 15:49:56 could have been a postponing of the maturity for two
10 15:50:01 days or getting a discount. That's the 1st thing I
11 15:50:04 want to mention. The 2nd point was mentioned by Prof Perner was
12 15:50:10 the sanctuaries. Prof Perner several times mentioned
13 15:50:15 that now we have the conversion mechanism and nobody
14 15:50:20 knows if it comes to sanctions by the EU and then PPD
15 15:50:25 in a in a worse situation, in a in a worse
16 15:50:28 situation,
17 15:50:28 if you compare it with the situation before. In my
18 15:50:31 opinion, the situation is the same because also, if we imagine the situation
19 15:50:38 that we have, the situation
20 15:50:41 before it could have happened that the EU
21 15:50:44 give sanctions and say from now onwards, from 3rd or
22 15:50:50 four April, whatever. We do not allow euro
23 15:50:53 payments to Russian entities. The the sanctions risk
24 15:50:57 is exactly the same. I do not see any increasing
25 15:51:01 sanction risk

01 15:51:02 because also sanctions could have been given by the EU in
02 15:51:07 case of the old payment mechanisms, I do not see a difference or
03 15:51:13 an increasing risk of of of of of
04 15:51:15 sanctions and and consequences for the for the buyer. So in my
05 15:51:22 opinion, the minor variation of the
06 15:51:27 payment process did not cause PPD to suffer
07 15:51:33 unreasonable problems or disadvantages and did on the
08 15:51:38 other side GPE not obtain any benefit. And this
09 15:51:46 this this perspective, my point of view is, I think,
10 15:51:51 supported
11 15:51:51 by an email at Munoz and affects your argumentation
12 15:51:59 because even if the substitution of a currency is possible, if it's reasonable, if it's a
13 15:52:06 small burden, it has to be accepted, then also it has
14 15:52:09 to be accepted that the payment process is changed now
15 15:52:15 from time reasons. Let me come to the
16 15:52:18 question. Two was PPD under duress? We have
17 15:52:22 talked a lot about
18 15:52:23 the three conditions for section 870. The. The most
19 15:52:30 important condition is that it must. An unjust or
20 15:52:34 unlawful fear and unjustified fear and if GPE uses a means
21 15:52:41 and says
22 15:52:42 something, announces something that GPE is allowed to
23 15:52:46 do, then it's not unjustified fear. If GPE says,
24 15:52:51 okay, you PPD you have to accept this
25 15:52:55 minor change of the payment process. And if you

01 15:52:58 do

02 15:52:58 not, it's a breach of contract with all the

03 15:53:01 consequences. If GPE announces that that's not an unlawful means, that's not using
an unlawful, unjustified

04 15:53:10 means. Therefore, from already from this point of

05 15:53:12 view, we cannot apply. Section 870. The 2nd condition, in

06 15:53:20 my

07 15:53:20 opinion, is also not fulfilled that it was real a fear because there's one point.

08 15:53:28 For example, PPD didn't take gas in April,

09 15:53:33 so they were in this situation, obviously to get gas

10 15:53:37 from another source. So I, I have very, very. It's very, very doubtful

11 15:53:45 that PPD was under duress because there was a real

12 15:53:49 fear. And

13 15:53:51 the

14 15:53:53 3rd condition is the lack of causation, because there

15 15:53:55 must be a causal link. And in our situation, our

16 15:54:00 case at hand, if we take a closer look, we have a

17 15:54:02 chain of causation, because GPE

18 15:54:06 was not the only cause, the 1st cause, why it came

19 15:54:11 to to this situation and why GPE wrote the letter to

20 15:54:17 PPD was that the Decree 172 was released by the Russian

21 15:54:24 State. That's the 1st 1st cause of this chain of causes.

22 15:54:32 And GPE in that sense was not the origin for fear.

23 15:54:39 If even if we say that it was fear, what I. What I do

24 15:54:44 not say the 2nd point or the 3rd point is that in our

25 15:54:52 case.

01 15:54:55 As always, both parties are obliged to act in good
02 15:54:57 faith, and the principle of of good faith is, is based, or
03 15:55:07 can
04 15:55:08 be deduced from article 7. CISG. And there is one special aspect, one special
05 15:55:15 situation that we call a veneer, a contrafactum that
06 15:55:21 is widely accepted. It's more or less undisputed
07 15:55:25 under Austrian law that one party is not allowed
08 15:55:28 to
09 15:55:29 act in a way that says the contrary, that this party
10 15:55:35 did
11 15:55:36 before. You must be coherent. You cannot do one
12 15:55:40 day 1 thing, and the other day you say the contrary to your behaviour that you
13 15:55:45 have said before. And in my opinion, the
14 15:55:49 things that PPD did PPD three times confirmed that it
15 15:55:55 is okay using the new payment mechanisms, decrees
16 15:55:59 and it it's okay and PPD used this
17 15:56:04 way and till October end of October there is
18 15:56:10 a letter in which PPD confirmed that there are
19 15:56:15 obligations that have to be fulfilled, but politician.
20 15:56:19 Political,
21 15:56:21 political establishment doesn't want that. The
22 15:56:23 obligations are are may be
23 15:56:25 paid. That's, in my
24 15:56:28 opinion, a very strong. Indicator that it was a contrafactum
25 15:56:36 proprium. The next situation is the question of the

01 15:56:42 relevance of force majeure and the deciding point, the
02 15:56:48 key factor factor. The key point is that Prof Perner. Uses
03 15:56:56 the so-called practical test. And I want to say two
04 15:57:00 important things. The practical test was developed
05 15:57:03 for situations in which the state
06 15:57:07 gives regulation that brings benefits for
07 15:57:10 its own entity. The state is the owner of an
08 15:57:14 enterprise, and the state gives regulations that, for
09 15:57:18 example, say, from this moment onward, this enterprise
10 15:57:22 doesn't have obligations. That's the the typical case
11 15:57:27 of
12 15:57:27 the practical. For that situation, the practical test
13 15:57:30 was developed. We do not have this situation because GPE
14 15:57:36 did not get a benefit from Decree 172. GPE had no
15 15:57:42 advantage. GPE wanted to sell gas and get money and
16 15:57:45 that's it. But. And now they had a disadvantage. It
17 15:57:48 was much more complicated for GPE to make its
18 15:57:51 business
19 15:57:51 and I do not see maybe it's advantage for for
20 15:57:54 Russia, for Mr Putin. Okay. But it's not the
21 15:57:59 thing that GPE
22 15:58:00 has an advantage. And the 2nd thing, which I think maybe is more important, not
23 15:58:09 not. Even more even more important practical test was developed by Bockstiegel
24 15:58:15 and Bockstiegel
25 15:58:15 writes this himself in his 1st article, only
26 15:58:19 for the situation

01 15:58:21 that the contract doesn't provide provisions.

02 15:58:27 Doesn't

03 15:58:28 that there are no clauses in the contract that

04 15:58:32 handle

05 15:58:33 that problem, that deal with that problem only for

06 15:58:36 those situations. The practical test was developed by

07 15:58:39 Bockstiegel, and Bockstiegel says that and in our case

08 15:58:43 at hand, we have the situation that the parties took, the problem of force majeure and the situation

09 15:58:52 that force majeure can result from an acting

10 15:58:55 of one state or from the EU. They took that

11 15:59:00 in

12 15:59:00 consideration and they produced and agreed the clause

13 15:59:06 number 11. And in 11.2 there's a definition and it's from my

14 15:59:13 point of view, definitely clear that this ruling, this

15 15:59:18 provision has priority. And the parties took in

16 15:59:23 consideration what happens if the Russian states,

17 15:59:27 Russian State produces new regulations. And for that

18 15:59:31 reason, it's impossible to deliver gas. And that's exactly our

19 15:59:34 situation. The party's harm this situation full.

20 15:59:41 PRESIDENT: They completely considered this case a case

21 15:59:43 like this.

22 15:59:44 WITNESS: And therefore from the from the 1st, from the

23 15:59:51 1st beginning or from the from the outcome. The

24 15:59:53 Bockstiegel test is not applicable for a case in which

25 15:59:57 the contract contains provisions that rule this

01 16:00:03 situation. And. 1.2 the. To the necessity of
02 16:00:12 notification and confirmation. There are 22 points to to
03 16:00:18 clauses. The 1st thing I want to say is that GPE wrote a letter to PPD
04 16:00:25 in which GPE explained the
05 16:00:28 situation, and I do not see that this was not a
06 16:00:33 notification because GPE said to PPD, now we have the
07 16:00:37 situation of the Decree 172. I think this was a
08 16:00:43 notification and more. There are no sanctions in in
09 16:00:47 this in this in this clause. And the same is true for
10 16:00:53 the Chamber of
11 16:00:55 Commerce confirmation, which does not affect the validity of
12 16:00:59 the notice of force majeure, especially under the
13 16:01:04 aspect that there is no causality. Let's imagine the
14 16:01:10 situation that GPE. Got such
15 16:01:15 notification and gave it to PPD. What would have been
16 16:01:19 the difference? Nothing. Absolutely nothing would
17 16:01:22 have changed. So this provision does not contain a sanction, a
18 16:01:28 consequence. So it's a so-called weak clause. In
19 16:01:32 Austrian law. We say there are some contractual
20 16:01:34 clauses that are strong clauses or weak clauses. And
21 16:01:37 this is a typical situation for me of a so-called
22 16:01:41 recourse with not the consequence that you lose your
23 16:01:45 rights. If the formality of notification of the
24 16:01:49 Chamber of commerce is not fulfilled. And the last
25 16:01:54 point in my presentation is the question of the

01 16:01:58 applicability of article 6 and. Prof Koller argued
02 16:02:09 with the argument that it's not a
03 16:02:13 problem
04 16:02:14 if we apply a law that is not the law, not the
05 16:02:18 applicable law that is prejudiced by article 6,
06 16:02:24 because that makes no difference. In my point of
07 16:02:27 view. Article 6 has a very clear
08 16:02:32 purpose and meaning, and that's the protection of
09 16:02:37 collective interests competition law. Antitrust law
10 16:02:42 is not a law that only concerning individual interests. And with the arbitration clause
11 16:02:56 and. When we come
12 16:02:57 to
13 16:02:57 the result, then at the moment in which an arbitration
14 16:03:01 takes place, we have no applicability of article 6,
15 16:03:06 especially the cogent provision of article 6.
16 16:03:11 Paragraph 3 is not applicable. That's against the
17 16:03:18 meaning, against the purpose. The whole purpose of
18 16:03:22 the of the article 6. And so it's a too easy way to circumvent the cogent
19 16:03:31 provisions of article 6, especially section three.
20 16:03:37 And there is a reason that's not a not a coincidence
21 16:03:42 that article 6, paragraph 3, says the applicable law should be the law of the market,
22 16:03:50 which
23 16:03:52 is targeted
24 16:03:52 which
25 16:03:52 is concerned. That's not coincidence. That's that's a
26 16:03:59 decision that the that the legislator of the
27 16:04:01 regulation made. And this has to be respected and from that

01 16:04:11 reasons, I

02 16:04:13 come to the conclusion that the provision

03 16:04:17 of article 6, paragraph 3, is applicable also in the

04 16:04:22 case. If an arbitral tribunal has to decide a case

05 16:04:27 which is concerning a competition law and antitrust law and

06 16:04:33 otherwise, the collective interest are not adequate.

07 16:04:39 Respected. Thank you very much for your attention.

08 16:04:42 PRESIDENT: Thank you professor. Now, counsel for

09 16:04:44 claimant is going to ask you

10 16:04:47 questions.

11 16:04:50 MS PETKUTE: Good afternoon. My name is Jurgita Petkute.

12 16:04:53 I'm counsel for PPD claimant. In this case, I have a

13 16:04:57 few questions for you

14 16:04:59 before we start. I would we are limited a bit in

15 16:05:03 time. So before we start, I would like to ask

16 16:05:07 you

17 16:05:07 to answer the question as asked and.

18 16:05:11 PRESIDENT: Closer to the microphone. Or get move the

19 16:05:14 microphone closer.

20 16:05:15 MS PETKUTE: Is that better now?

21 16:05:16 PRESIDENT: Much better.

22 16:05:17 MS PETKUTE: Thank you. And I apologise if I have to

23 16:05:20 interrupt you. Do you have your report in front of

24 16:05:23 you?

25 16:05:25 WITNESS: My report? One moment please. This is my

01 16:05:27 presentation and yes, I have. Is it I
02 16:05:38 have.
03 16:05:40 MS PETKUTE: And I might be showing you some documents
04 16:05:42 which you will see on the screen.
05 16:05:44 A I think I have it here. Yes, sir. Okay, good.
06 16:05:47 MS PETKUTE: Then we can start. Professor, you have been engaged
07 16:05:51 by Gazprom Export to provide expert opinion in this
08 16:05:54 arbitration, correct? Yes?
09 16:05:57 A By by by the lawyers of. By ipaM, by the lawyers of
10 16:06:04 of
11 16:06:04 Gazprom Export GPE. By the lawyers.
12 16:06:06 Q Thank you. And your primary position is at the
13 16:06:11 university of M?nster in Germany. Is that correct?
14 16:06:13 A Yes. I am holding a chair for civil law, civil
15 16:06:17 procedural law and comparative law. Yes.
16 16:06:20 Q How long are you with the university of M?nster?
17 16:06:24 A University. I have my 30 years anniversary in March
18 16:06:28 this year.
19 16:06:30 Q Congratulations. So for many years you are with the
20 16:06:32 university of M?nster. Now I'm turning to paragraph 7
21 16:06:36 of your expert report.
22 16:06:38 A Yes.
23 16:06:40 Q In which you list six questions on which you opined.
24 16:06:45 Do you see that? Do you see in paragraph 7 of your
25 16:06:56 expert report?

01 16:06:56 A Yes, I see the question.

02 16:06:57 Q Yes. You list six questions on which you opined.

03 16:07:02 Yes. You did not opine on some questions which

04 16:07:05 professor and Prof Piana opined. Were you asked to

05 16:07:10 opine on these questions as well? No, you were not

06 16:07:13 asked.

07 16:07:14 A I wasn't asked, no.

08 16:07:16 Q You have not opined on the section 1041 of the

09 16:07:20 Austrian Civil Code and unjust enrichment limit. You

10 16:07:23 were not asked to opine on jurisdiction as well. And

11 16:07:28 private enforcement impairment? No, no. Now, I would

12 16:07:33 like to direct you to paragraph 9 of your expert

13 16:07:36 report. Yes.

14 16:07:45 A Yes.

15 16:07:46 Q Here you list what documents you were provided with in

16 16:07:50 order to provide your expert report. And you say, I

17 16:07:52 have been provided with the following materials to

18 16:07:56 conclude my analysis. Excluding annexes. My question

19 16:08:01 is, have you reviewed the annexes of the documents mentioned?

20 16:08:07 A And below or not.

21 16:08:08 Q To be honest, it's it was in, I think, August or

22 16:08:13 September or so. I do not remember if there were some

23 16:08:21 annexes. I do not remember.

24 16:08:23 A You see here excluding annexes. So you reviewed the

25 16:08:27 contract and the submission and did not see any

01 16:08:29 documents?

02 16:08:30 Q Yes. Maybe there was an annex, but I do not remember

03 16:08:36 that there were annexes. So I said no.

04 16:08:39 A Excluding excluding annexes. Then professor directing

05 16:08:43 you to slide 12 of your presentation.

06 16:08:47 Q Yes.

07 16:08:50 A Were you mentioned exhibits are 116 r8c5. Do you see

08 16:09:00 that?

09 16:09:01 Q Yes.

10 16:09:02 A So you were provided by some annexes or not? I see

11 16:09:14 cut outs from these exhibits.

12 16:09:18 Q Do you mean exhibit c05?

13 16:09:21 A Yes. R 116 r eight. I see cut outs from these

14 16:09:26 documents.

15 16:09:27 Q Yes. Yeah.

16 16:09:31 A So were you provided with annexes or not?

17 16:09:35 Q I had those, but I'm not sure in which time I got

18 16:09:41 them. I had these exhibits, but I'm not sure that I

19 16:09:44 had it in, in, in August or September.

20 16:09:48 A So would you like to correct paragraph 9 of your

21 16:09:52 expert report? Could you please clarify what exactly

22 16:09:56 documents have you seen?

23 16:09:58 Q I have seen those exhibits.

24 16:10:00 A These three anymore.

25 16:10:04 Q Yes, of course, because there are my exhibits of the

01 16:10:09 authorities in the commentaries and so on. Of course.

02 16:10:12 Q And factual exhibits, letters, exchange of the

03 16:10:17 parties.

04 16:10:18 A To be honest. I do not know which, which page and

05 16:10:27 which paper within the last nine months or eight months

06 16:10:30 I have

07 16:10:31 seen.

08 16:10:32 Q But have you seen any. These three I see, but have

09 16:10:35 you seen any more than these three factual exhibits?

10 16:10:38 A I cannot confirm that, and cannot deny that maybe I

11 16:10:42 had some exhibits, but I do not remember all the

12 16:10:46 things that I have seen.

13 16:10:47 Q Have you seen one April letter?

14 16:10:51 A One April letter? Yes, I have seen, yes.

15 16:10:53 Q Have you seen a Decree 172?

16 16:10:56 A Yes.

17 16:10:57 Q And decree 254254.

18 16:11:01 A I'm not sure.

19 16:11:02 Q Have you seen letter of 26th of May?

20 16:11:05 A Twenty? The date? I'm not sure that it was. I've

21 16:11:09 seen a letter, but it was. I'm not sure that it was a

22 16:11:13 letter of 26.

23 16:11:15 Q Have you seen decree 992?

24 16:11:18 A I do not know. I cannot deny or confirm.

25 16:11:22 Q So you cannot see which factual exhibit you saw and

01 16:11:25 which you did not.

02 16:11:28 A I cannot confirm that. I've seen from thousands of

03 16:11:33 exhibits or hundreds of exhibits, this one and that

04 16:11:37 one. I received some more exhibits for preparing the

05 16:11:43 presentation, but.

06 16:11:44 Q For preparing this presentation. But for writing your

07 16:11:47 report.

08 16:11:48 A For writing my report. As I mentioned, I did not see

09 16:11:54 any access.

10 16:11:54 Q Then you did not see the annexes when writing your

11 16:11:57 report? Just just when preparing this presentation.

12 16:12:02 A Could you repeat.

13 16:12:03 Q My question is you did not see any annexes, any

14 16:12:07 factual exhibits when preparing your report, but you

15 16:12:10 did see some when preparing the presentation. The

16 16:12:13 slides?

17 16:12:13 A Yes, yes.

18 16:12:15 Q Who selected these exhibits which were shown to you

19 16:12:17 while preparing the presentation.

20 16:12:20 A I asked the lawyers to give me the the the the facts and the basis

21 16:12:27 for the presentation.

22 16:12:28 Q You asked the lawyers to give the facts to prepare the

23 16:12:31 presentation, but you did not ask these facts while

24 16:12:34 preparing your

25 16:12:34 report.

01 16:12:37 A For preparing my report.

02 16:12:39 Q Report and presentation are two different things.

03 16:12:42 Professor, I'm asking, when you were preparing your

04 16:12:44 report, did you see any factual exhibits?

05 16:12:49 A I as I mentioned, I had those materials, as I mentioned

06 16:12:56 in .9.

07 16:12:57 Q Yes. Including exhibits. Understood. Thank you very

08 16:12:59 much, professor. I'm now moving to the content of

09 16:13:03 your presentation. The 1st question. You were asked to opine on this is in

10 16:13:15 paragraph 7.

11 16:13:17 Q Yes.

12 16:13:20 Q A. Seven a. I think, professor, you are way too

13 16:13:37 far.

14 16:13:40 Seven paragraph 7, page 4.

15 16:13:41 A A page 4. Okay, okay, okay. Yes yes yes yes yes.

16 16:13:51 Q The question is as follows. Did the amendment of the

17 16:13:55 payment process as set out in GPE's letter of

18 16:14:00 one April 2022, fall under article 54 CISG. So you

19 16:14:08 were assessing whether the payment process, which was

20 16:14:14 defined precisely in the letter of the one April,

21 16:14:16 falls under article 54 CISG. Is that correct?

22 16:14:21 A The question was, did the amendment of the payment

23 16:14:23 process, as set out in GPE's letter of April fall

24 16:14:26 under article 54 CISG.

25 16:14:29 Q And now I move to paragraph 13 of your expert opinion

01 16:14:34 where you answered this question.

02 16:14:38 A Yes. Yes.

03 16:14:50 Q And you said the currency requested by the seller must

04 16:14:54 not impose unreasonable disadvantages on the on the

05 16:14:57 buyer. Do you see that? Yes. Second sentence. Here you

06 16:15:05 speak specifically about the currency change, correct?

07 16:15:07 Yes. Only about the currency change.

08 16:15:12 A In particular.

09 16:15:13 Q In particular the currency change. And to support

10 16:15:17 this contention, you rely on several authorities. And

11 16:15:20 I would like to show you two of them. I'm now

12 16:15:24 referring to exhibit rle6k46. So the very 1st

13 16:15:43 sentence. Professor, could you please read that 1st

14 16:15:48 two sentences?

15 16:15:52 A Unlike some national legal systems, the CISG does not

16 16:15:57 give the seller the right on demand to demand payment

17 16:16:00 in the currency of the place of payment only if it is

18 16:16:05 impossible for the buyer to fulfil his payment

19 16:16:07 obligation and the currency in which the purchase

20 16:16:10 price is expressed. Can the seller demand payment in

21 16:16:13 the currency of the place of payment?

22 16:16:15 Q Thank you.

23 16:16:17 Q So CISG does not give the seller the right to demand

24 16:16:19 payment. There is no such general right.

25 16:16:23 A As I mentioned in my presentation, in specific

01 16:16:27 situations, the CISG gives the right to replace the
02 16:16:33 current currency that was agreed.
03 16:16:34 Q And then in the middle of this paragraph, this source
04 16:16:38 further says, however, the seller is obliged to choose
05 16:16:40 an appropriate substitute currency. In other words,
06 16:16:44 the currency demanded must not impose any unreasonable
07 16:16:49 disadvantages on the buyer. Do you see that?
08 16:16:51 A Yes, I see that.
09 16:16:53 Q Do you agree with that?
10 16:16:56 A Let me check. However, the seller is obliged to
11 16:16:59 choose an appropriate substitute currency. In other
12 16:17:03 words, the currency demanded must not impose any
13 16:17:06 unreasonable disadvantages on the buyer. Yes, I agree
14 16:17:09 with that.
15 16:17:10 Q And then you refer to another source, which is rle8.
16 16:17:18 K48. A choice of currency in favour of the seller
17 16:17:33 does not arise expressly from the CISG. They must
18 16:17:39 switch to the currency at the buyer's place of
19 16:17:42 business. Or if this payment currency was to another
20 16:17:47 currency, that is reasonable for the buyer because it
21 16:17:50 can be obtained without problems or risks, because it
22 16:17:54 can be obtained without problems or risks.
23 16:17:59 A I see that.
24 16:18:00 Q Do you agree with that?
25 16:18:02 A Let me check it. Rather, they must switch the current

01 16:18:08 price or it is being proposed to another reasonable
02 16:18:11 for the buyer. It can be a problem for risk. Yes, I
03 16:18:17 agree with that.
04 16:18:17 Q So the buyer needs to be able to obtain the currency
05 16:18:21 without problems or risks, correct? Yes. In fact,
06 16:18:24 this is one of the few agreements you managed to reach
07 16:18:26 in the joint experts' statement between Prof Perner
08 16:18:30 and you. Do you remember that?
09 16:18:34 A I have not to decide if it's an agreement between me.
10 16:18:40 Q Can we see joint expert, joint experts' statement
11 16:18:43 which you signed with Prof Perner? I'm directing you to joint
12 16:18:51 experts'
13 16:18:51 statement, paragraph 13.
14 16:18:59 A Yes. In my in my opinion.
15 16:19:01 Q No, no, no joint joint statement. You signed a
16 16:19:04 joint statement with Prof and Prof Koller. Do you remember
17 16:19:06 that?
18 16:19:08 A You are. I know what you mean. The the paper that we produced
19 16:19:15 concerning the question in which we have a difference.
20 16:19:19 Q D1 seven.
21 16:19:19 A Yes, yes. Okay, now I know what you mean.
22 16:19:23 Q Do you want seven.
23 16:19:25 Q Professor, you also have it in a printed copy.
24 16:19:27 A Okay, I have a copy. Yes, sir.
25 16:19:32 Q Yes. Paragraph 13.

01 16:19:49 A I agree that any substance solution under article must
02 16:19:52 be not imposed. Unreasonable disadvantages on the
03 16:19:54 buyer. Yes that's correct.
04 16:19:56 Q Yes that's correct. Assuming that. It does create
05 16:20:05 unreasonable disadvantages on the buyer, then such
06 16:20:09 choice is not possible. Do you agree with me?
07 16:20:16 A Yes. If it's unreasonable, yes.
08 16:20:19 Q If it's unreasonable and creates problems and risks,
09 16:20:22 as we saw in other sources.
10 16:20:24 A It creates unreasonable.
11 16:20:26 Q Unreasonable disadvantages.
12 16:20:28 A Unreasonable disadvantages and burdens.
13 16:20:31 Q And we just saw in other sources. It has to be
14 16:20:36 obtained without problems or risks.
15 16:20:41 A Thank you. Reasonable. Unreasonable. Unreasonable
16 16:20:43 risk. Yes.
17 16:20:45 Q Thank you. Can you repeat the answer?
18 16:20:57 A What was the question?
19 16:20:58 Q The question was, do you agree with me that if the
20 16:21:04 currency requested by the seller imposes unreasonable
21 16:21:07 disadvantages on the buyer, then it cannot be
22 16:21:12 requested? Yes. Professor. I'm told that the transcript is not
23 16:21:31 recording your answer correctly. I will try
24 16:21:42 more
25 16:21:42 time. If the currency

01 16:21:51 requested by the seller imposes

02 16:21:53 unreasonable disadvantages on the buyer. Then seller

03 16:22:00 cannot choose this currency or demand the buyer to

04 16:22:03 accept it. Do you confirm that?

05 16:22:06 A Yes. In the case of unreasonable, yes.

06 16:22:09 Q Could you get closer to the microphone?

07 16:22:11 A In the case of an unreasonable disadvantage and an

08 16:22:15 unreasonable burden? That is correct.

09 16:22:19 Q Thank you. Now, going back to the 1st question which you were

10 16:22:23 asked, and that was whether the payment process

11 16:22:28 falls within article 54 of the CISG. Now, professor,

12 16:22:33 in paragraph 16 of your expert

13 16:22:36 report, 2nd sentence. Yes. In the middle,

14 16:22:48 you say

15 16:22:49 that this article should apply all the more to a mere account change. Do you see that?

16 16:22:56 A Yes.

17 16:22:59 Q And then in other parts of your report, you called it

18 16:23:04 a minor change, marginal ancillary. Is the. So these

19 16:23:12 were your assumptions?

20 16:23:14 A I do not know my own report. It was. I do not know

21 16:23:19 20 pages or so. I do not know each and every word I

22 16:23:22 used.

23 16:23:23 Q If I go through.

24 16:23:24 A These minor. You used three words of of 20 pages or

25 16:23:29 so. You can show me. Of course. Yes, absolutely.

01 16:23:32 Q Let's go through these. This one says it was a mere
02 16:23:35 account change. Now I'm referring you to
03 16:23:39 paragraph 28, where you qualify the modification as
04 16:23:41 minor.
05 16:23:57 A Yes, I see the word minor modification. Yes.
06 16:24:01 Q And then paragraph 44 again. Minor. First sentence.
07 16:24:16 Amendment was minor.
08 16:24:22 A Yes, I see it. Yes.
09 16:24:23 Q And paragraph 43 e marginal and ancillary.
10 16:24:39 Forty-three e ancillaries.
11 16:24:40 A Ancillary.
12 16:24:41 A Yes. Okay, I see the words. Yes.
13 16:24:43 Q What is your assumptions?
14 16:24:47 A Yes.
15 16:24:49 Q So you are working under the assumption that the that
16 16:24:52 the letter of the one April 2022 introduced minor
17 16:25:00 marginal amendments and just an account change. Is
18 16:25:06 that correct?
19 16:25:08 A I said, and I presented my opinion that in my opinion,
20 16:25:14 it was a change of the payment process. And you have
21 16:25:18 to take into consideration the balancing of the
22 16:25:22 interest. On the one hand, you have a ten year
23 16:25:25 contract, which is in the half time of its time.
24 16:25:28 Q With all respect, this is not my question. My
25 16:25:30 question is, were you working under the assumption

01 16:25:34 that the changes which were introduced in the 1 April
02 16:25:38 letter, not somewhere else in the 1 April letter, were
03 16:25:42 just an account change, minor, marginal and ancillary?
04 16:25:46 A Yes, because you have to take into account that it was
05 16:25:52 concerning a ten year contract, and you only can
06 16:25:57 decide whether it's a minor change and it's a
07 16:26:00 reasonable or unreasonable burden if you compare it
08 16:26:03 with the contract, if you have a contract that
09 16:26:09 terminates automatically next month. So I would
10 16:26:14 say
11 16:26:14 then maybe it's not a duty to
12 16:26:18 accept the change of the payment process just for,
13 16:26:21 for, for a period of two weeks or so. But if you have
14 16:26:25 such
15 16:26:25 a
16 16:26:25 long time contract and such a amount, such a mega deal, then the measure, the
master
17 16:26:35 of the measure of the criteria for deciding whether
18 16:26:41 it's reasonable or not reasonable for this question,
19 16:26:45 it has to be taken into account. The the concrete,
20 16:26:51 concrete situation.
21 16:26:55 Q Is it your understanding that one April letter just
22 16:26:58 changed the account for PPD into which it had to pay
23 16:27:03 the price for the purchase of gas?
24 16:27:08 A It changed the payment process and in its effect, it
25 16:27:15 was at the end in. As a result, it was a change of

01 16:27:20 the number of the account and the holder of the
02 16:27:24 account. But it was the same bank. And it was the
03 16:27:31 same currency. It was in euros.
04 16:27:33 Q Prof. Now we are looking at slide 6 of your
05 16:27:37 presentation today. Yes. This is the only
06 16:27:46 graph that
07 16:27:47 you have provided in your presentation.
08 16:27:49 A Yes. Thank you very much.
09 16:27:52 Q Who drew this graph, Prof Klicka?
10 16:27:54 A Yes, I admit it.
11 16:27:56 Q You made it. Yes. Prof Klicka, what documents have
12 16:28:00 you used to define the payment mechanism on the one
13 16:28:04 side and on the other side. What factual documents did you use? Let's
14 16:28:09 start pre
15 16:28:11 Decree 172 side of the drawing. Yes.
16 16:28:15 What
17 16:28:16 documents you considered while drawing this?
18 16:28:18 A I do not know which documents. I worked with dozens
19 16:28:23 of documents when producing this presentation.
20 16:28:25 Q You don't know what documents you used when producing
21 16:28:28 this graph. Where did you take the amount account
22 16:28:31 number from?
23 16:28:32 A I had it in in one of the documents. I cannot tell which
24 16:28:37 document I had.
25 16:28:39 Q Which document did you use to to produce a graph on

01 16:28:43 the payment? Yes. PPD Decree 172. What was your basis?

02 16:28:48 A I don't know the number of the document.

03 16:28:51 Q I don't need the number. Just tell me what document.

04 16:28:55 A I don't know the name of the document. I had dozens

05 16:28:58 of documents and some were worse. Was this, this,

06 16:29:02 this, this number and this number. I don't know which

07 16:29:06 which exact name of the document it.

08 16:29:07 Q Was, but this presentation was just prepared. When

09 16:29:10 did you prepare that, this presentation, when did you

10 16:29:13 prepare this graph.

11 16:29:16 A This draft? Let me it was some last week.

12 16:29:24 Q Or last week. What document did you use ten days ago?

13 16:29:29 What document did you use to draw the part of the of

14 16:29:34 the of the graph to define the process. Pre

15 16:29:40 Decree 172.

16 16:29:40 A I do not remember exactly which which document, which

17 16:29:44 page. I had dozens of documents and some were was

18 16:29:47 this number and took it and used it for this question.

19 16:29:50 Q Prof Klicka, on the right-hand side of this scheme,

20 16:29:53 you describe a mechanism post Decree 172. What

21 16:29:59 documents did you use to draw this part of the graph?

22 16:30:03 A The answer is the same. I do not know.

23 16:30:06 Q Prof Klicka. It's very important. What date? At

24 16:30:10 what date you are drawing. This part of the scheme.

25 16:30:14 A I was preparing this presentation. I think in that

01 16:30:21 period of I have, I think one or two weeks.

02 16:30:26 Q Which date this change in your view, refers to which

03 16:30:29 to which moment of the party's relationship.

04 16:30:34 A Sorry. What do you mean? What was the question?

05 16:30:37 Q Prof Klicka, you say post Decree 172. You don't

06 16:30:41 provide any source for this chart. You define a

07 16:30:45 process post Decree 172. Yes. And define when the

08 16:30:49 risk passes. What documents did you use to take this

09 16:30:53 account from, and at what moment are you drawing this

10 16:30:57 scheme as representing the payment process between the

11 16:31:00 parties?

12 16:31:01 A I told you I worked for some weeks at this for this

13 16:31:05 presentation, and I do not know in which night or day

14 16:31:09 I produced this.

15 16:31:10 Q I'm not asking when you produced, I'm asking at what

16 16:31:14 moment of the party's relationship. This part of the

17 16:31:18 scheme is representing the payment mechanism. Is it

18 16:31:22 1st of April? Is it 5th of May? Is it is it August? Is

19 16:31:27 it? What date is that?

20 16:31:33 A This graphic means that date when the new modified

21 16:31:40 payment process is effective or is cyclical.

22 16:31:44 Q What date is that? This is very important because

23 16:31:46 there was many changes. There were many letters. At

24 16:31:50 what date you are representing the payment mechanism.

25 16:31:52 On the right-hand side of this chart.

01 16:31:58 A The date.

02 16:31:59 Q Is it 1st of April? Is it 2nd of April? Is it? I

03 16:32:03 don't know, you know.

04 16:32:04 A It's the time when there was the clarification of the

05 16:32:11 Russian Central Bank. Yes.

06 16:32:14 Q It is at the time when there was a clarification of

07 16:32:17 the Central Bank.

08 16:32:21 A Yes.

09 16:32:27 Q And is it at the time when the clarification was

10 16:32:31 issued or when it was given to PPD?

11 16:32:35 A I don't know if this is a difference.

12 16:32:38 Q Do you know when this clarification was issued?

13 16:32:45 A Some and I think end of April or so, as I remember, it

14 16:32:51 was 20 something of April 2021.

15 16:32:55 Q Was PPD informed.

16 16:32:57 A To be honest, I. I would have to check it in the.

17 16:33:03 I'm not sure. I do not have the exact date.

18 16:33:08 Q And in this slide on the right-hand side, you speak

19 16:33:11 about the passage of risk from PPD to GPE. What risk

20 16:33:17 are you speaking about? Prof Klicka.

21 16:33:21 A On this slide? What do you mean.

22 16:33:24 Q On slide 6 on this side, you are speaking here about

23 16:33:27 the passage of risk. On the slide it's written

24 16:33:32 passing of risk from PPD to GPE. Can you look at the

25 16:33:35 slide for a moment? Yes yes yes. What risk are you.

01 16:33:38 Yeah, yeah. What risk are you considering here?

02 16:33:47 A Passing of risk means that on the way of the money

03 16:33:53 from PPD to g b b Moscow. If there is a employee that

04 16:34:03 steals the bank account and something happens also on

05 16:34:07 the way, if PPD says, okay, we make a transfer to GPE.

06 16:34:11 Q Can you please speak into the microphone?

07 16:34:14 A That's that's the way between PPD and GPE Moscow and

08 16:34:20 on this on this way, there is a risk. And if PPD does the

09 16:34:27 transfer, the risk passes from PPD to GPE.

10 16:34:33 Q And what moment.

11 16:34:37 A When the transfer is made from PPD to GPE. Moscow

12 16:34:45 when it is fulfilled. The transfer.

13 16:34:48 Q You mean the euros?

14 16:34:49 A The euros? Yes.

15 16:34:51 Q Not the roubles.

16 16:34:53 A The euros.

17 16:34:55 Q So in your understanding, Prof, after issuance. So

18 16:34:58 you say post-Decree 172 PPD would have fulfilled

19 16:35:03 its payment obligation under the contract. At the

20 16:35:06 moment when PPD paid into its own euro account.

21 16:35:12 Is

22 16:35:12 that your understanding?

23 16:35:13 A Yes, yes.

24 16:35:21 Q And your opinion is based on what document?

25 16:35:27 A On the on the document that I've received, the the the

01 16:35:35 letter, the proposal, the proposal of, of of GPE in combination
02 16:35:42 with the
03 16:35:44 countersignature and the instruction of the Central
04 16:35:49 Bank of Russia.
05 16:35:50 Q So the 1st of April letter.
06 16:35:52 A Not only the 1st of not only the 1st of April letter,
07 16:35:55 also the instruction of the Central Bank.
08 16:35:59 Q Let's look at the 1st letter.
09 16:36:02 A Yes.
10 16:36:05 Q Exhibit {C-03}. Exhibit {C-03}. At the end of the 2nd paragraph. It refers to
11 16:36:59 Russian roubles. And this paragraph says in
12 16:37:06 accordance with the
13 16:37:08 Decree 172. Then it names
14 16:37:11 the decree. The deliveries of natural gas performed
15 16:37:18 by Gazprom Export LLC starting from 1st of April 2022
16 16:37:22 under the foreign trade contracts for the supply
17 16:37:24 of natural gas to certain countries, as well
18 16:37:26 as
19 16:37:26 under foreign trade contracts for the supply of
20 16:37:29 natural gas to foreign entities incorporated in
21 16:37:32 such
22 16:37:32 countries shall be paid only in Russian roubles. Do
23 16:37:36 you see that?
24 16:37:37 A Yes, I see that.
25 16:37:42 Q And then if we could go to page 2 of this document.

01 16:37:51 Third paragraph from the bottom. Could you go down as per the decree, your
payment

02 16:38:02 obligation under the contract shall be considered fulfilled as of the

03 16:38:05 moment of receipt of the relevant amounts in

04 16:38:08 Russian

05 16:38:08 roubles. Do you see that?

06 16:38:10 A Yes.

07 16:38:11 Q So, Prof, click on the 1 April letter. The payment

08 16:38:15 obligation would not be fulfilled if PPD would only

09 16:38:20 transfer the money into euros account. Do you agree?

10 16:38:25 A Yes, but you can not only take in consideration the

11 16:38:31 letter of April. As I mentioned, there was the the

12 16:38:35 instruction by the Russian Central Bank.

13 16:38:38 Q Instruction was not yet issued.

14 16:38:40 A Okay.

15 16:38:41 Q Yeah. I'm asking under this letter. Under this

16 16:38:43 letter.

17 16:38:43 A Yes, but it's okay if you say under this letter. But

18 16:38:49 but.

19 16:38:51 Q And you were opining in your question, number 1, about

20 16:38:54 the payment process in this letter. So under this

21 16:38:58 letter, when does the payment risk pass? One is the

22 16:39:04 amount paid?

23 16:39:07 A Maybe you can go a little bit upwards. As per the

24 16:39:49 decree. Your payment obligations under the contract

25 16:39:51 shall be considered fulfilled as of the moment of

01 16:39:54 receipt of the relevant amount in Russian roubles
02 16:39:57 resulting from the sale of the foreign currency by the
03 16:39:59 bank. In accordance with the
04 16:40:01 decree
05 16:40:01 to the above mentioned banking account of Gazprom
06 16:40:04 Export LLC. Yes, the situation. Of of the letter of
07 16:40:16 1st of April was not the final situation. And my
08 16:40:20 opinion, my whole opinion.
09 16:40:21 Q This is not what I'm asking. We will go to the
10 16:40:24 situation after. I'm asking what is the situation
11 16:40:27 under 1st April letter? And do you agree with me that
12 16:40:31 the payment of PPD payment obligation would be
13 16:40:35 fulfilled only upon payment in roubles?
14 16:40:38 A If you take only the look on 1st of April, if payment
15 16:40:43 in rouble is relevant. But that's not the. The
16 16:40:49 relevant event.
17 16:40:51 Q You agree that under this letter, payment of rouble is
18 16:40:54 relevant?
19 16:40:55 A Yes, but that's not the relevant point for the case.
20 16:40:57 Q We will speak about that in a moment. And also,
21 16:41:01 according to this decree, last paragraph, 1st page.
22 16:41:11 If the payment obligation are not fulfilled by the
23 16:41:15 payment due date in Russian roubles, Gazprom is
24 16:41:19 prohibited from performing deliveries of natural gas
25 16:41:22 under the contract. Do you see that?

01 16:41:31 A Yes, I see that, yes.

02 16:41:36 Q Prof Klicka, does article 53 or 54 encompass delivery

03 16:41:43 obligations, supply obligations?

04 16:41:51 A Could you repeat it and could you translate it? Yes.

05 16:42:01 The answer is yes.

06 16:42:05 Q The supply obligation. Not the payment obligation.

07 16:42:12 What what kind of obligations does article 53 and 54

08 16:42:16 regulate?

09 16:42:18 A Article 53 and 54 regulate. Delivery contracts.

10 16:42:25 Q But what kind of obligation is it payment obligation.

11 16:42:28 Or is it delivery obligation of the good.

12 16:42:32 A Fifty-four is the payment obligation.

13 16:42:34 Q Not the delivery obligation of the good?

14 16:42:39 A Give me one moment. I can I can read the wording. The

15 16:42:46 buyer's obligation to pay the price is regulated in article 54.

16 16:42:53 Q And this and this part of the article of 1st April

17 16:42:57 letter, which we are now looking at, speaks about obligation

18 16:43:01 to supply gas and when it would be fulfilled. Gazprom

19 16:43:10 LLC is prohibited from performing deliveries of

20 16:43:13 natural gas under the contract. Do you see that

21 16:43:16 sentence?

22 16:43:17 A Yes, yes.

23 16:43:19 Q Does that fall under article 54? The delivery

24 16:43:25 obligation? Is it regulated under article 54?

25 16:43:38 A Under 54, the obligation. To pay the price, including

01 16:43:47 taking the steps and complying with the formalities,
02 16:43:51 is regulated. Yes, in 54 it is not regulated. The
03 16:43:55 question concerning the the delivery of the goods in
04 16:44:00 the sense of the c ice g of the gas.
05 16:44:04 Q Thank you. I'm now looking back at your scheme on
06 16:44:07 slide 6. Were you again we agreed, drew, how the scheme looked
07 16:44:17 post-Decree 172. Do you agree, Prof Klicka, that this
08 16:44:22 drawing does not represent the situation immediately
09 16:44:25 after 1st of April?
10 16:44:28 A This is the situation after clarification by the
11 16:44:32 Russian Central Bank.
12 16:44:33 Q But not after 1st of April.
13 16:44:36 A Not after 1st of April.
14 16:44:37 Q Yes, because in the 1st of April letter to fulfil
15 16:44:40 payment obligation, the payment had to be made in
16 16:44:42 roubles. Do you agree?
17 16:44:47 A As you mentioned, the letter, you showed me the
18 16:44:50 letter. That's what the letter said. But I cannot make at
19 16:44:58 the
20 16:44:58 moment. Now, a complete interpretation of the letter.
21 16:45:02 But the sentence you presented to me, this says what?
22 16:45:08 What
23 16:45:08 you presented. Yes.
24 16:45:09 Q That payment obligation is fulfilled upon payment in
25 16:45:12 roubles.

01 16:45:13 A That's what you presented me just one minute ago.

02 16:45:17 Yes.

03 16:45:17 Q When was the clarification of the central Bank of

04 16:45:20 Russia issued and provided to PPD? Prof Klicka.

05 16:45:23 A As I remember, it was something in the 2027, 29 or

06 16:45:31 April. I'm not sure I have to check it in the.

07 16:45:34 Q Issued or provided to PPD.

08 16:45:37 A I'm not sure if it was issued or provided. I do not

09 16:45:40 know the dates exactly.

10 16:45:42 Q We will now be looking at exhibit r112xj2 112.

11 16:45:50 Central Bank of the Russian Federation. Clarification

12 16:45:53 29 April. Could you please go to page 2?

13 16:46:02 A Yes.

14 16:46:05 Q Where it starts in case the foreign buyer. Could you

15 16:46:11 please go down and show full paragraph, which is in

16 16:46:14 2nd and 3rd page? My question is. What does

17 16:46:53 this clarification.

18 16:46:57 Contain?

19 16:46:58 A Yes, I can read it so we understand it in case the

20 16:47:04 foreign buyer in good faith transferred funds to the

21 16:47:07 special key type currency account with the

22 16:47:10 authorised bank in accordance

23 16:47:13 with

24 16:47:13 subitem b of item one, item six of decree number 1, 7,

25 16:47:17 2, and in compliance with the rules of the authorised

01 16:47:19 bank. But at the same time, the authorised bank did
02 16:47:25 not perform the actions provided for by the roots of
03 16:47:29 the authorised bank to sell the foreign currency and
04 16:47:31 credit the proceeds in roubles to the special "K" type
05 16:47:35 account of this foreign buyer. Except for cases when
06 16:47:39 the impossibility of such
07 16:47:41 actions by the also authorised bank is caused by
08 16:47:44 unfriendly and contrary to international law,
09 16:47:46 actions
10 16:47:46 of the united States of America and foreign states and international organisations
11 16:47:52 that have joined them,
12 16:47:55 including, in case of impossibility of organizing
13 16:47:56 trading by the
14 16:47:56 public joint stock company Moscow exchange as a result
15 16:48:00 of such such actions, the consequences
16 16:48:04 stipulated by subparagraph of
17 16:48:06 paragraph 1
18 16:48:06 of the decree number 102,
19 16:48:07 in the form of a decision by the customer customer
20 16:48:11 authority to prohibit the sending of the following
21 16:48:14 documents to the authorised bank do not arise. So
22 16:48:23 the
23 16:48:23 sanctions or the. The consequences do not arise if
24 16:48:29 the conditions are fulfilled that are given in this
25 16:48:33 very long sentence.
26 16:48:38 Q Does that amend the procedure in the 1 April letter?

01 16:48:43 And how, in your view.

02 16:48:47 A It's best. It's a kind of specification of the

03 16:48:50 decree.

04 16:48:50 Q To what extent is that specification? I would submit

05 16:48:54 it as an amendment of what was said. What was the

06 16:49:01 April letter?

07 16:49:02 A Yes.

08 16:49:02 Q What I would just like to understand your

09 16:49:05 understanding what what extent it does clarify.

10 16:49:14 A At 1st I have to say I don't know what was the the

11 16:49:19 will of the Central Bank of Russia. I'm not an

12 16:49:23 interpreter of what they wanted or what. You just

13 16:49:27 said there. The purpose, what they what they thought.

14 16:49:32 But if I make an interpretation, it says that the

15 16:49:38 sanctions, the consequences stipulated by subparagraph

16 16:49:42 b and so on in the decree do not arise. That's the

17 16:49:47 that's the content of this of this ruling.

18 16:49:55 Q And what are these consequences. Stipulated by

19 16:50:00 subparagraph b of paragraph 1 of Decree 172.

20 16:50:07 A The Decree 172 said it must be in rouble only in

21 16:50:12 rouble. And now we have the clever verification that

22 16:50:18 also it can be a euro transfer. And if the euro

23 16:50:22 transfer is performed, the consequences will not

24 16:50:27 arise.

25 16:50:27 Q Which consequences.

01 16:50:30 A That GPE is or the gas delivery company is not allowed
02 16:50:35 to deliver gas.
03 16:50:37 Q So the gas would be delivered.
04 16:50:40 A I don't know the consequence. To be precise, GPE is
05 16:50:46 not is not prohibited to to deliver.
06 16:50:50 Q Under what conditions under this paragraph.
07 16:50:55 A If in case the foreign buyer in good faith transferred
08 16:50:57 funds to the special currency account with the Erste
09 16:51:01 Bank.
10 16:51:01 Q But there is an exception. Do you see that?
11 16:51:09 A Except for cases when the impossibility of such
12 16:51:12 actions actions by the authorised bank is caused by
13 16:51:15 unfriendly law, actions of the United States and
14 16:51:21 foreign states and international organisations that
15 16:51:24 have joined them? Yes. There's an exception. Yes.
16 16:51:28 Q And if these circumstances would occur, what would be
17 16:51:32 the consequences under this exception?
18 16:51:38 A Under these exceptions, if the exception, the
19 16:51:43 conditions for the exceptions are fulfilled, then the
20 16:51:50 consequences stipulated by subparagraph would arise.
21 16:51:56 Q Would arise.
22 16:51:57 A Would arise, yes.
23 16:51:57 Q So the gas would not be supplied and PPD would not
24 16:52:00 receive gas. Even if the payment is made in your
25 16:52:04 account.

01 16:52:10 A I cannot answer that question. What would have
02 16:52:12 happened? Hypothetically, I, I.
03 16:52:15 Q I'm asking how you understand this mechanism. Yes.
04 16:52:21 Which you say represents what you draw on your
05 16:52:26 slide 8.
06 16:52:26 A As I mentioned, the consequences stipulated would
07 16:52:31 arise if it's a case of a exception of this, of this
08 16:52:37 provision.
09 16:52:38 Q And if there would be no exception, then.
10 16:52:43 A It would be another consequence. Then we have no
11 16:52:49 exception. Yes.
12 16:52:50 Q Does it speak anywhere about the one payment
13 16:52:53 obligation would be fulfilled under this
14 16:52:58 clarification?
15 16:52:58 A Do you mean? What do you mean?
16 16:53:00 Q Does it address anywhere when the payment obligation
17 16:53:03 would be fulfilled? Under this clarification?
18 16:53:19 A The the the the date or the the the. Date of
19 16:53:28 fulfilment is not addressed in this in this in this
20 16:53:32 ruling.
21 16:53:33 Q It is not addressed.
22 16:53:35 A It is not addressed in this ruling.
23 16:53:37 Q Yes, Prof. This was issued after 1st of April letter.
24 16:53:43 Can we agree on that?
25 16:53:46 A You showed me the the letterhead.

01 16:53:49 Q Yes. Do you agree with me that if we would accept the
02 16:53:56 conditions of 1st April letter, this would be a
03 16:53:59 modification of 1st April letter.
04 16:54:04 A It's a modification, a clarification. Yes. Yes.
05 16:54:09 Q Was PPD ever asked to agree to this modification?
06 16:54:15 A I do not know whether it was asked. Maybe. I don't
07 16:54:19 know, maybe I. I haven't seen any question, I don't
08 16:54:26 know.
09 16:54:27 Q Do you know when PPD was informed about this
10 16:54:30 clarification?
11 16:54:35 A What do you mean?
12 16:54:36 Q Do you know when PPD was informed? This is Central
13 16:54:39 Bank of Russia clarification. This is not something
14 16:54:41 in what happened in Croatia. PPD is a Croatian
15 16:54:45 company. I'm asking.
16 16:54:46 A PPD was informed about. I don't know the exact date,
17 16:54:51 but I. I know PPD was informed. Yes.
18 16:54:54 Q And do you know whether it ever agreed to this.
19 16:54:59 A I do not know that. Whether they agreed or they did
20 16:55:03 not agree, I don't know, do not know.
21 16:55:07 Q Prof, according to this clarification, your
22 16:55:10 understanding is that if the money is transferred to the euro account, unless there are
23 16:55:16 exceptions, the gas
24 16:55:18 would be supplied, but it does not define the payment
25 16:55:24 moment. Yes. Do you agree with me?

01 16:55:28 A Yes.

02 16:55:34 Q What is the basis then on your graph to say that

03 16:55:40 payment obligation would be fulfilled upon payment

04 16:55:43 into the PPD euro account?

05 16:55:51 A The acceptance that was given by PPD on the letter on

06 16:56:01 1st of April, I think, and this ruling was a advantage

07 16:56:09 for PPD. So the consequences from the contract, in

08 16:56:16 addition, with the letter of 1st of April and this

09 16:56:20 clarification that the risk is transferred if the payment in Euro is made.

10 16:56:27 Q Now, I am not following you. Yeah. You have just

11 16:56:33 said, 1st of all, that the payment moment is not defined in this clarification. And I'm

12 16:56:42 asking you, what is the basis of your graph where you

13 16:56:46 say that PPD would have fulfilled its payment

14 16:56:49 obligation if the money is transferred only into your

15 16:56:54 account?

16 16:56:55 A Because GPE accepted that GPE made this proposal and

17 16:57:00 said, okay, we modify the payment process, you send

18 16:57:06 the amount to this new account number and it's the

19 16:57:12 same as before. It's clear that the transfer to this

20 16:57:19 amount has the effect that PPD fulfilled its

21 16:57:23 obligations.

22 16:57:25 Q You said GPE made this proposal. Was PPD asked to

23 16:57:30 agree to this proposal? Did it agree? Do you know?

24 16:57:33 A Yes. In the counter signed the letter of 1st of

25 16:57:37 April.

01 16:57:37 Q But we just established that 1st of April letter did
02 16:57:40 not contain anything of that sort. This is issued way
03 16:57:44 later.
04 16:57:46 A Yes, but the the new mechanism was basically
05 16:57:55 constructed with the letter of 1st of April.
06 16:57:59 Q I'm now going back then to 1st of April. Letter?
07 16:58:02 A Yes.
08 16:58:04 Q And you confirmed just some minutes ago that under
09 16:58:08 that letter, the payment obligation would be fulfilled
10 16:58:11 only at the time when the payment is made in rouble
11 16:58:13 account {C-03}. What does it say here? That the payment
12 16:58:42 obligation is fulfilled upon payment into your account
13 16:58:46 and not to rouble account?
14 16:58:49 A And what is your question, please?
15 16:58:51 Q Where does it say here that the payment is fulfilled
16 16:58:55 by PPD? At the moment when payment is made to PPD
17 16:58:59 zero account?
18 16:59:02 A The fact that. GPE makes this proposal and proposes the
19 16:59:11 new payment process.
20 16:59:17 Q Prof. Click on page 2. We looked at it already. This
21 16:59:22 letter says. Can you go to page 2?
22 16:59:26 paragraph
23 16:59:26 from the bottom?
24 17:00:15 A What is your question, please?
25 17:00:19 Q Where does this letter say that PPD payment obligation

01 17:00:23 is fulfilled upon payment into your account?

02 17:00:27 A As per the decree, your payment obligations under the

03 17:00:30 contract shall be fulfilled as of this moment of the receipt of the relevant amounts in
Russian roubles

04 17:00:37 resulting from the same.

05 17:00:38 Q Russian roubles.

06 17:00:39 A Yes.

07 17:00:39 Q So not into the euro account?

08 17:00:42 A Yes. But this was specified, modified by the by the

09 17:00:49 Central Bank instruction.

10 17:00:53 Q This was modified by the Central Bank instruction

11 17:00:56 later.

12 17:00:56 A Yes.

13 17:00:57 Q Modified?

14 17:00:58 A Yes.

15 17:00:59 Q Has PPD ever agreed? To that modification? Was it

16 17:01:07 asked to agree?

17 17:01:08 A What do you mean with agreed.

18 17:01:11 Q I mean contract formation.

19 17:01:14 A For this PPD make a formal acceptance. Do you mean

20 17:01:19 that?

21 17:01:22 Q I'm asking whether it was asked to agree and whether

22 17:01:25 it agreed in your knowledge.

23 17:01:31 A PPD agreed to the letter of the 1st of April. And

24 17:01:35 then it was a modification and PPD used this account

25 17:01:43 and it was PPD acceptance countersigning that. So

01 17:01:51 this

02 17:01:52 was

03 17:01:52 the new payment mechanism.

04 17:02:14 Q I think we would now make a break.

05 17:02:17 DR REINER: What a good idea. If you're finished on this

06 17:02:22 set of questions.

07 17:02:23 Q Yes.

08 17:02:24 DR REINER: Let's take a 15 minute break. We will

09 17:02:29 resume. Let's take a little bit more. We will resume

10 17:02:33 at 520. Thank you. 520 Prof Klicka yes, you are

11 17:02:40 giving testimony. You may leave the room. Of course.

12 17:02:42 Have a.

13 17:02:42 A Cup of tea. Nobody.

14 17:02:43 DR REINER: Do not speak to anyone. And you? We will

15 17:02:48 see you at 520. Thank you very much. And don't call

16 17:02:54 anyone. Don't use your phone. Don't contact the

17 17:02:57 outside world. Okay?

18 17:05:33 Q You.

19 17:05:47 A This is a test of the audio for the final session of

20 17:05:51 the day. Testing one. Two. Three. Four.

21 17:20:31 Q So we will continue with the 2nd part of the

22 17:20:34 cross-examination of Dr professor. Klicka.

23 17:20:45 Q Moving the subject. Now we are going to the issue of

24 17:20:48 force majeure. Yes. And I'm looking at your slide 19

25 17:20:53 of your presentation.

01 17:21:02 Q Yes.

02 17:21:03 Q The very 1st bullet point, the EU sanctions imposed

03 17:21:08 against Russia fell under clause 112. Commercial

04 17:21:13 embargoes in or against Russia. Do you see that?

05 17:21:26 PRESIDENT: Yes, I see that.

06 17:21:28 Q And 112. Do you mean clause 112 of the contract?

07 17:21:44 PRESIDENT: Sorry. What do you mean.

08 17:21:48 Q When you say here clause 112 in this bullet point?

09 17:21:52 Yes. Do you mean that clause 1112, the contract of

10 17:21:58 the supply contract.

11 17:21:59 PRESIDENT: Yes.

12 17:22:01 Q And you said that EU sanctions imposed against Russia

13 17:22:06 fell under this clause.

14 17:22:13 A Which EU sanctions?

15 17:22:14 Q Well, Prof Klitschko, we will come to that. This is

16 17:22:17 what you are saying in this 1st bullet point. You

17 17:22:20 just say you. Sanctions. I'm just trying to

18 17:22:23 establish whether you were referring to

19 17:22:27 clause 11.2. You mean clause 11.2 of the contract.

20 17:22:30 A The EU sanctions imposed against Russia fell under

21 17:22:35 clause 11.2, and I made a citation. Commercial

22 17:22:39 embargoes in or against Russia is the wording of the

23 17:22:42 clause 111 oh two yes, yes.

24 17:22:45 Q And now I'm looking at paragraph 78 of your opinion.

25 17:22:48 Expert opinion. It reads it follows that already

01 17:23:12 prior to the issuance of Decree 172, an event of force
02 17:23:18 majeure in the form of EU sanctions had occurred under
03 17:23:22 the contract. Do you see that?
04 17:23:24 A Yes.
05 17:23:25 Q Prof Schroeter. What sanctions? Do you mean here,
06 17:23:34 which fell under clause 11.2 of the contract.
07 17:23:40 A That sanctions that were given by the EU at that time
08 17:23:48 in March 2022. As I. Was supplied with the factual
09 17:24:03 situation and there were sanctions by by the EU and
10 17:24:08 those sanctions that were existing in the time
11 17:24:13 between. The whole story started in 22nd, I think, of
12 17:24:19 February, and then the sanctions came in in March or
13 17:24:23 so.
14 17:24:25 Q Before April.
15 17:24:25 A Letter before April. Yes.
16 17:24:26 Q And they fell under clause 11.2 of the contract.
17 17:24:31 These sanctions.
18 17:24:34 A They fall under the definition of 112 of the contract.
19 17:24:39 Yes.
20 17:24:40 Q And the force majeure event in the form of EU
21 17:24:43 sanctions had occurred under the contract.
22 17:24:50 A Had occurred under the contract?
23 17:24:52 Q Yes. Where was the impediment to perform the contract because of EU
24 17:24:57 sanctions at that time? Prof?
25 17:25:05 A The the sanctions did not. Lead to the result that the

01 17:25:15 fulfilment of the contract was impossible. Because.

02 17:25:23 It was possible to supply gas. But it's an event of

03 17:25:29 force majeure.

04 17:25:31 Q Isn't that the definition of force majeure?

05 17:25:34 A The definition of force majeure is in 112 and in 111

06 17:25:40 there is an additional condition. If it is a case of

07 17:25:44 force majeure, for example, an embargo which leads to

08 17:25:49 the result that it's impossible to fulfil the

09 17:25:53 contract. So it's a.

10 17:25:55 Q Unable to perform. Article 111 says unable to

11 17:25:59 perform.

12 17:26:00 A Because perform this.

13 17:26:02 Q What was not possible to perform because of EU

14 17:26:05 sanctions. At that time.

15 17:26:07 A I did not say that it was not possible to perform. I

16 17:26:11 only say an embargo falls under the definition of 112.

17 17:26:16 I do not say that it falls under 111.

18 17:26:20 Q But isn't that a definition of force majeure that it

19 17:26:23 is impossible to perform the contract?

20 17:26:25 A No, no, no, the definition is in 112 and in 111 there

21 17:26:32 is a ruling for the consequences with an additional

22 17:26:36 condition, it must be a case of force majeure which is

23 17:26:40 defined in 112 and in 111. If it is a case of force majeure and it is impossible to fulfil

24 17:26:49 the contract, then we have the consequence of

25 17:26:54 suspending the the the duties.

01 17:26:59 Q Were EU sanctions. In your opinion, an event of force
02 17:27:02 majeure. EU for this contract, for this contract.
03 17:27:08 A Fall under the definition in .112 of the contract.
04 17:27:14 Q And what the force majeure event under this contract
05 17:27:17 for this contract. As you see in paragraph 78, you
06 17:27:22 say under the contract.
07 17:27:23 A The contract. Yes. Under the definition of 112.
08 17:27:28 Yes, of the contract.
09 17:27:29 Q But the contract could be performed.
10 17:27:32 A But the contract could be performed before 1st of
11 17:27:38 April.
12 17:27:39 Q So it was not force majeure.
13 17:27:40 A It was force majeure, of course, but the force majeure
14 17:27:45 did not lead to an impossibility of fulfilling the
15 17:27:52 contract.
16 17:27:54 Q Isn't that not a definition of force majeure?
17 17:27:57 A No, it's another system. This contract has a special,
18 17:28:03 systematic, a special system. Maybe it's a specific
19 17:28:09 kind of of awarding of a contract. But this is the
20 17:28:14 wording and this is the system of the contract. 112
21 17:28:17 is the pure definition and the question in which
22 17:28:26 moment. The force majeure leads to the result that the
23 17:28:38 duties are suspended is regulated in 111 and in 111.
24 17:28:45 We have an additional condition that is, in the case
25 17:28:51 of impossibility of performing.

01 17:28:54 Q Do you agree with me, Prof Klicka, that EU sanctions
02 17:28:57 at that time before 1st of April letter never made it
03 17:29:02 impossible to perform this contract.
04 17:29:08 A EU sanctions at this time in March did not make it
05 17:29:13 impossible.
06 17:29:15 Q And then it is your view that these sanctions
07 17:29:20 triggered the introduction of Decree 172?
08 17:29:24 A Yes.
09 17:29:25 Q That is what you see in paragraph 79.
10 17:29:33 A If you see me, which sentence I can.
11 17:29:36 Q Very 1st one.
12 17:29:37 A First one. While EU sanctions at this time did not
13 17:29:41 make it impossible for GPE to continue to accept
14 17:29:43 payments in accordance with the triggered in effect introduction
15 17:29:48 □202603230006 of Decree 172, which was issued by the Russian
16 17:29:51 State
17 17:29:51 in the context of the EU measures enacted against
18 17:29:56 Russia beforehand. Yes.
19 17:29:57 Q When you say triggered in effect, what do you mean
20 17:30:01 that EU sanctions triggered in effect, issuance of the
21 17:30:04 Decree 172.
22 17:30:05 A That the EU sanctions were a cause for the Decree 172.
23 17:30:14 It's a kind of causality, causation, causality.
24 17:30:18 Q Why was Decree 172 necessary? What was the
25 17:30:21 relationship between the two EU sanctions and 172?

01 17:30:27 What is the causality? You mentioned causality.

02 17:30:29 Where is the causality?

03 17:30:31 A Causality is 1st there were EU sanctions and Russia

04 17:30:37 answered with Decree 172 because there were the EU

05 17:30:42 sanctions. The Russian State released the Decree 172

06 17:30:48 as an answer.

07 17:30:50 Q To respond to EU sanctions.

08 17:30:53 A If you want to use this word, yes.

09 17:30:57 Q But we agreed that it was not impossible to perform

10 17:31:00 this contract because of EU sanctions until 1st of

11 17:31:04 April 2022.

12 17:31:04 A As I mentioned five minutes ago, it was not

13 17:31:11 impossible. In March to perform.

14 17:31:17 Q Looking at clause 11, 1 of the force majeure in the

15 17:31:22 contract. The the the the way the parties defined force majeure

16 17:31:30 in

17 17:31:30 clause 11 of the contract exhibit C one.

18 17:31:40 A Did you show me the exhibit? Yes.

19 17:31:42 Q I think you will be shown very soon. And. 11.2 the

20 17:32:13 contract provides that these measures

21 17:32:17 could not be avoided or prevented with due care

22 17:32:20 of a

23 17:32:20 reasonable and prudent operation.

24 17:32:24 A Yes. Could you show me the exact place?

25 17:32:27 Q Eleven oh two the very 1st paragraph towards the end.

01 17:32:31 A Okay. The term force majeure shall mean any
02 17:32:34 unforeseen event or circumstance, the occurrence of
03 17:32:37 which is beyond the reasonable control of the affected
04 17:32:41 party and which could not be avoided or prevented with
05 17:32:44 due care of a reasonable and prudent operation. Yes,
06 17:32:47 that's the wording.

07 17:32:48 Q There's a party have an obligation to take reasonable
08 17:32:54 and prudent steps.

09 17:32:59 A Which could not be avoided or prevented.

10 17:33:02 Q Which would. Which would lead to performance of the
11 17:33:07 contract, which would lead to overcoming the force
12 17:33:10 majeure situation.

13 17:33:11 A What is your question, please?

14 17:33:13 Q My question is, does a party have an obligation. To
15 17:33:18 act in a reasonable and prudent, in a reasonable and
16 17:33:22 prudent way, in order to overcome the situation of
17 17:33:25 force majeure? Would you agree that there is such an
18 17:33:28 obligation?

19 17:33:30 A Yes. With a specialty in in German language, we have
20 17:33:36 a differentiation between real obligations and
21 17:33:40 so-called oblique manhattan. And in that case, in our
22 17:33:46 terminology, we would say it's an oblique height.

23 17:33:50 DR REINER: It means something you have to you should do.
24 17:33:52 It's up to you to do it, but it's not as opposed to
25 17:33:56 obligation.

01 17:33:58 A It's not exactly the same. But.

02 17:34:06 DR REINER: Obligation obligated means something. It's

03 17:34:09 up to you to do it, to do something which appears to

04 17:34:15 be necessary or reasonable. But it's not the same

05 17:34:19 thing like obligation. Thank you.

06 17:34:25 Q And in in under this contract, you just referred under

07 17:34:29 the German system, but under the contract and CISG.

08 17:34:33 Would you agree with me that there

09 17:34:34 is an obligation.

10 17:34:35 A Yes. If you want to call it obligation, you can call

11 17:34:39 it obligation. Yes, if you want to do that.

12 17:34:46 Q And this contract also requires to issue a

13 17:34:48 notification immediately when the 1st major event

14 17:34:53 occurs.

15 17:34:53 A Maybe we have a look at the passage in the contract.

16 17:35:01 Q 114.

17 17:35:12 A I can read it loud. Following the occurrence of any

18 17:35:15 event of circumstances of force majeure, the party

19 17:35:18 affected shall immediately notify the other party of

20 17:35:21 the occurrence and the expected

21 17:35:22 extent and duration of

22 17:35:24 such circumstances, and take all reasonable measures

23 17:35:26 which may be useful to ensure the resumption of the normal performance of the

24 17:35:31 contract within the

25 17:35:32 shortest

possible time. Yes.

01 17:35:34 Q Do you know if such notification was ever issued?

02 17:35:39 A As I mentioned in my presentation, in my opinion, the

03 17:35:45 letter of April 1st was in substance, the. The.

04 17:35:56 Immediately notification notification because GPE told

05 17:36:04 PPD what happened. They presented the situation and

06 17:36:09 this was the information for PPD in the meaning of .11

07 17:36:17 for.

08 17:36:19 Q Was it an offer to amend the contract or was it a

09 17:36:23 force majeure notification?

10 17:36:26 A It was both. It was a notification in combination

11 17:36:31 with an offer, a proposal to solve the problem.

12 17:36:37 Q Does it mention force majeure? Do you know if it was

13 17:36:40 intended to be a force majeure notification?

14 17:36:44 A If it was intended by the organs, by the managers of

15 17:36:50 GPE? I don't know what they thought. They sent it.

16 17:36:54 And we have to make an interpretation. And in in

17 17:37:00 the objective interpretation, it is, in my opinion, a

18 17:37:06 notification. And at the same time, at the same time, it is a

19 17:37:12 offer, a proposal for a solution, how to solve the problem.

20 17:37:19 Q Have you analysed what it was intended to be? Force

21 17:37:22 majeure notification.

22 17:37:24 A How do you mean? Analysed how? How the what do you.

23 17:37:30 Q Mean analysed the intent of those who issued the 1st

24 17:37:33 of April letter.

25 17:37:35 A To analyse an intent is only possible if you ask the

01 17:37:39 person who did that. If you ask what was your
02 17:37:42 intention, but I. Of course I couldn't do that.
03 17:37:46 Q That's only my question. Have you analysed. How do
04 17:37:48 you know? I'm only. I understand that you need to analyse the
05 17:37:56 intent. I'm just asking, have you done that?
06 17:38:01 A I analysed the text, the wording, the letter of
07 17:38:06 April1st, and what the intention was, the will of the
08 17:38:10 the person who wrote this. I couldn't analyse the
09 17:38:15 the
10 17:38:15 subjective vision.
11 17:38:17 DR REINER: So the subjective will, the intention of the
12 17:38:21 person who wrote the letter, I couldn't analyse it.
13 17:38:25 Q Prof will be showing a few legal exhibits. Yes.
14 17:38:30 First we will be looking. At c, a 173 l1 173. Which
15 17:38:51 is a commentary on section 870 of the Austrian Civil
16 17:38:55 Code. It reads, according to the prevailing view, the
17 17:39:03 threat of a breach of contract is an unlawful means
18 17:39:06 per se. This is to be agreed with if the breach of contract is
19 17:39:10 unlawful. This also applies to the threat
20 17:39:12 of a breach of contract. Do you agree?
21 17:39:19 A I have to be cautious because I have to read the
22 17:39:25 sentences. I will translate it with the interpreter.
23 17:39:41 INTERPRETER: When. Ist Dann auch f?r die Drogen with
24 17:39:47 einem Dusan Bajatovic.
25 17:39:48 Q The German version. To see the context, maybe you

01 17:39:51 could show to professor at the German version. So
02 17:39:54 absolutely the full context.
03 17:39:55 Q Absolutely. If we go to the next page and go to
04 17:40:01 paragraph 75, I think you will see German version.
05 17:40:06 Q And if you highlight.
06 17:40:07 Q Yes, please.
07 17:40:08 Q If you just read in English, then.
08 17:40:12 Q Next page.
09 17:40:15 INTERPRETER: Is way down because it's all 75 of the
10 17:40:19 commentary to 870.
11 17:40:22 A No thanks.
12 17:40:22 INTERPRETER: You need to go to the to the margin
13 17:40:27 number 70. Clinical margin number 75.
14 17:40:32 Q I think it's page 8 PDF page 8. Not. You need to go
15 17:40:43 down. There's another 75.
16 17:40:48 INTERPRETER: Way down.
17 17:40:58 A Okay. Now we have it 75. Could I see footnote 214
18 17:41:16 please. And 215. Yes.
19 17:41:57 And what is your question?
20 17:41:59 Q The question is do you agree with this. Prevailing
21 17:42:01 view.
22 17:42:03 INTERPRETER: Should go up.
23 17:42:05 A Yes. It's an abstract conclusion of this. Of this
24 17:42:15 author. It
25 17:42:20 would not be serious to give an answer for all

01 17:42:25 situations, all cases. Because as you can see in
02 17:42:29 footnote 214, there is a discussion between the Iha,
03 17:42:33 the Supreme Court of Germany, and on the other side we have
04 17:42:37 the rumor commentary. That's the one of the
05 17:42:40 leading commentaries who obviously is of another
06 17:42:45 opinion. So it seems there is a very specific discussion
07 17:42:52 concerning some special situations, and I would not
08 17:42:59 be serious if I say "yes" or "no" to this question.
09 17:43:02 That's a difficult question as as well, because if we have 20 or 15 authorities and six
10 17:43:12 or seven, seven say this and six or seven say another. Another
11 17:43:23 approach,
12 17:43:25 so it wouldn't be serious to to say "yes" or "no" to
13 17:43:29
14 17:43:29 this, to this, to this wording of this one, one. Sentence in, in, in this
15 17:43:39 commentary, what I can answer to you is.
16 17:43:41 Q I would like, if you answer my question, do you agree
17 17:43:44 with the prevailing view not interrupt the expert. I
18 17:43:47 would like to get the answer if he agrees with that statement. That was the question
19 17:43:52 and
20 17:43:52 I would like to.
21 17:43:52 A Yes. And can you? The answer I can give you? Of
22 17:43:55 course, the answer. It wouldn't be serious. As a
23 17:43:59 legal expert, as a professor for civil law, to say
24 17:44:05 "yes" or "no" within a minute to a discussion between
25 17:44:11 ten or 12 random authors, five or six this and five or
26 17:44:16 six, it's it's to, to, to have to solve the problem in

01 17:44:21 another manner that would not be serious. So I cannot
02 17:44:23 say "yes" or "no". which of those those lines.
03 17:44:28 Q Are asking about the.
04 17:44:29 A Length of the line is correct.
05 17:44:31 Q I'm asking about the statement in paragraph 75.
06 17:44:34 According to the prevailing view, the threat of a
07 17:44:36 breach of contract is an unlawful means per se. Under
08 17:44:43 section 8 B serious.
09 17:44:44 A To give you an answer in that abstract way. It
10 17:44:51 indicates what I can say. It. If you if you announce that
11 17:44:57 you
12 17:44:59 will take steps to breach the contract, it indicates
13 17:45:02 that it is an unjustified means. But maybe, as you
14 17:45:07 see at this citations, there may be cases, maybe there
15 17:45:14 cases are existing in which we have to make a
16 17:45:19 differentiation. But that's a that's a question to write a thesis or
17 17:45:25 article.
18 17:45:27 Q Is it lawful to threaten a breach of a contract? In
19 17:45:30 your view?
20 17:45:32 A It it indicates that it is unlawful. But maybe there are
21 17:45:39 cases which we all do not know or do not have before
22 17:45:44 our eyes in mind. We do not have in mind now
23 17:45:48 actually here in in five minutes or so, maybe there are
24 17:45:53 cases in which we have to make a different. Achieve a
25 17:46:00 different result.

01 17:46:02 Q We will be going to exhibit c, ws8 64 k1752. Please go
02 17:46:22 down in the middle of the paragraph there is phrase.
03 17:46:25 Furthermore, if you could please highlight that. One sentence, please can you please
04 17:46:43 highlight
that sentence?
05 17:46:47 PRESIDENT: Okay.
06 17:46:49 A I think it's a Austrian decision.
07 17:46:51 Q It's an Austrian Supreme Court decision. Could you
08 17:46:53 please read that sentence?
09 17:46:55 A Could you please give me the German version because
10 17:46:58 it's an Austrian?
11 17:46:59 Q Could we please 1st 1st read.
12 17:47:02 A Okay, okay.
13 17:47:02 PRESIDENT: Thank you.
14 17:47:03 A Yes yes yes.
15 17:47:04 PRESIDENT: Okay.
16 17:47:06 A Furthermore.
17 17:47:09 INTERPRETER: I. Ist zum Beispiel Wenn die. Arbeit
18 17:47:26 durch Gesetz verpflichtet ist Oder einen Gesetz
19 17:47:29 transaction durch ein ist die Solche Durchf?hren.
20 17:47:36 Dass. Okay.
21 17:47:42 PRESIDENT: Do you need professor to read into the
22 17:47:46 transcript the English version?
23 17:47:48 Q Yes, please.
24 17:47:49 PRESIDENT: This.
25 17:47:50 A Furthermore, an unlawful threat exists. In any case,

01 17:47:54 if the evil threatened is not permissible. For
02 17:47:57 example, if the person making the threat is obligated
03 17:48:00 by law or legal transaction to perform, perform the
04 17:48:06 action there. Threatening to refrain from Schnitzer
05 17:48:11 and the citations.

06 17:48:12 Q Do you agree that this is in line with the previous
07 17:48:14 source?

08 17:48:16 PRESIDENT: Before you ask, I'm sorry. Before you ask
09 17:48:18 your question, we I, I told the expert he could see
10 17:48:24 the German version. Original page.

11 17:48:26 Q Thank you. Then we need to go to the very last page
12 17:48:30 of this document. It should be PDF page 8. Yes. And
13 17:48:36 then please go down so that the 2nd paragraph is
14 17:48:41 visible. That is the relevant paragraph.

15 17:48:44 INTERPRETER: Paragraph. It is an unlawful threat. It.
16 17:49:23 Breach the contract for statutory.

17 17:49:31 A Yes. And what is your question, please?

18 17:49:34 Q The question is is this in line of the source we
19 17:49:37 previously seen which says that in any case it is
20 17:49:43 unlawful means. And the threat it's it.

21 17:49:47 A Seems to be in line with that. Yes.

22 17:49:50 Q If you're threatened with the breach of the contract,
23 17:49:53 it is an unlawful threat under section 870.

24 17:49:58 A It it seems that it is on the same tendency. Yes.

25 17:50:04 Q Doesn't the Supreme Court say? Certainly.

01 17:50:11 A Yes. In this decision, the Supreme Court says in any
02 17:50:18 case. Certainly, yes, yes, that's what the
03 17:50:21 Supreme
04 17:50:21 Court says. Yes.

05 17:50:23 Q And since you mentioned German courts, I will be
06 17:50:26 showing you one German court decision. CA 198. L1
07 17:50:37 198. PDF page 9. Paragraph 3.

08 17:51:02 A Contrary to the appeal.

09 17:51:08 Q I will read that paragraph with the announcement in
10 17:51:11 the notice of 31st January 2014 that the business
11 17:51:14 relationship would not be continued from the following
12 17:51:17 day, the plaintiff threatened a breach of contract it
13 17:51:21 was contractually obliged to deliver
14 17:51:25 from 1st February 2014 until 31st
15 17:51:27 December 2014, the termination of the contractual
16 17:51:30 relationship as of 31 January 2014, which was
17 17:51:33 announced in a letter of 13 December 2013, was not
18 17:51:38 justified under any circumstances.

19 17:52:01 INTERPRETER: From 16 December 2014. 2014. From 13
20 17:52:12 December 2014 for Gerechtfertigt.

21 17:52:16 A Yes. And what is your question please?

22 17:52:17 Q And I would also like to show you a section in which
23 17:52:21 this is addressed. This is PDF page 6. Could you go
24 17:52:28 down to section d? The threat was also unlawful as
25 17:52:35 determined by the regional court. And my question is,

01 17:52:39 do you agree that all these sources indicate that the
02 17:52:43 breach of contract indicates the threat and
03 17:52:47 unlawful means in the situations of
04 17:52:50 duress? Yes. Prof Klicka, now we will be moving to the
05 17:52:57 question. Of good faith. And we
06 17:53:07 will be looking at paragraphs 55,
07 17:53:10 56, and 57 of your report. And I specifically would like
08 17:53:40 to concentrate on
09 17:53:42 paragraph 57. You say here that it would be against
10 17:53:46 good faith if a party does not agree to the amendment
11 17:53:50 of the contract. Is that your testimony, that refusal
12 17:53:57 to agree to an amendment of the contract is against a.
13 17:54:02 A Number 5, 7 or 5.
14 17:54:03 Q Six.
15 17:54:04 A Seven, seven. Okay. And what is your question,
16 17:54:07 please?
17 17:54:10 Q My question is. If a party does not agree to the
18 17:54:16 amendment of the contract.
19 17:54:19 A A party or the specific.
20 17:54:21 Q Party.
21 17:54:22 A A party.
22 17:54:23 Q Does not agree to amendment of the contract. Is it a
23 17:54:25 breach of the duty of good faith under SG?
24 17:54:54 A The answer is yes.
25 17:54:58 Q Could you please explain?

01 17:55:00 A Yes. If you are obliged to accept and you. You
02 17:55:08 reject that or refuse that. Although you are obliged to
03 17:55:15 accept.
04 17:55:20 To perform, then it's it's it's a. You are acting not in, in in good
05 17:55:28 faith.
06 17:55:31 And it's a breach of contract. Regarding to article 71.
07 17:55:42 Q Article 71 speaks about the suspension of the
08 17:55:44 anticipatory breach. Yes. What do you mean by
09 17:55:48 obliged to accept if the
10 17:55:50 parties are in contractual agreement and one party proposes an
11 17:55:54 amendment of the contract. Amendment of the contract
12 17:55:59 not agreeing with the amendment of the contract,
13 17:56:01 in your view, is a breach of the duty of good faith.
14 17:56:16 INTERPRETER: A.
15 17:56:19 Q So the party who wants to maintain the contract is in
16 17:56:22 breach of the contract.
17 17:56:31 A And my answer is if a party is obliged to accept a
18 17:56:38 modification because under the principle of good
19 17:56:43 faith, this party has to accept the modification and
20 17:56:49 this party refuses that it is a breach of contract.
21 17:56:56 Q And when you say obliged to accept the modification,
22 17:57:01 do you mean via article 54, Sergey, or something
23 17:57:06 similar?
24 17:57:08 A For example. For example, if the party rejects to
25 17:57:14 accept the

01 17:57:15 modification, which is which is ground, which has its
02 17:57:23 legal basis in article 54, it's based on article 54, then
03 17:57:29 it's a breach of contract. Yes.
04 17:57:33 Q But in this part, you were opining about the scenario
05 17:57:37 where article 54 is not does not apply. It's question
06 17:57:41 three. In your report, it says in the premises that
07 17:57:45 article 54 does not apply, and that no amendment of
08 17:57:49 the contract has been agreed. Is PPD precluded from
09 17:57:53 arguing? No amendment under the principle of good
10 17:57:57 faith? Prof, I'm asking is a party who wants to maintain
11 17:58:02 the contract as it is in breach of the
12 17:58:04 obligation of good faith? And what is the ground of
13 17:58:08 such opinion under SG?
14 17:58:12 A If there is an obligation based.
15 17:58:16 Q On the premise, I'm sorry that there in the premises
16 17:58:21 that article 54 does not apply. Okay, so there is no
17 17:58:25 obligation. Under article 54 CISG.
18 17:58:28 A We take as a as a hypothetical basis that article 54
19 17:58:34 is not applicable. Okay. And then the next question is,
20 17:58:39 is
21 17:58:39 the party obliged to accept a change because of the
22 17:58:48 principle and the duty to act in good faith? That's
23 17:58:51 the 2nd possibility to come to an obligation. We
24 17:58:59 have the duty to accept based on article 54. But
25 17:59:07 if

01 17:59:08 54 doesn't fit, it's not applicable. Then we have
02 17:59:13 another way. And that's the principle of acting in
03 17:59:16 good faith and acting in good faith, especially one of
04 17:59:22 the major situations is, for example, a situation of
05 17:59:29 veneer contrafactum for example.

06 17:59:39 Q What conditions apply for a party to be obliged to
07 17:59:42 agree to a contract amendment under good faith?

08 17:59:58 A The principle of good faith is a rule that has to be
09 18:00:08 filled with life. I would like to say, and you only
10 18:00:11 can decide from case to case, from situation to
11 18:00:16 situation. If there is a duty based on the principle
12 18:00:21 of acting in good faith, you have to take into
13 18:00:27 account, for example, what is the the importance of
14 18:00:33 the contract? What is the burden that occurs if you
15 18:00:40 accept the modification and there are those elements and
16 18:00:47 you have a making a kind of what you call
17 18:00:51 balancing of interests. And if we come to the to the result that it is a
18 18:01:01 unreasonable burden and disadvantage, then we say, you
19 18:01:05 are not obliged to accept this. You are acting in
20 18:01:10 good faith if you refuse that. But if we say, if we
21 18:01:15 compare the interest of the
22 18:01:17 parties and it's a clear result of this balancing of
23 18:01:22 the interest that you have not the right to refuse
24 18:01:26 that, then we say you're obliged because you have to
25 18:01:30 act in good faith. That's what we do in such

01 18:01:35 situations.

02 18:01:36 Q Where is the basis in CISG, which obliges a party to

03 18:01:40 accept contract amendment?

04 18:01:44 A The basis to act in good faith is article 7 of CISG,

05 18:01:49 in which this principle is ruled out.

06 18:01:53 Q What does article 7 governance.

07 18:01:57 A Excuse me.

08 18:01:57 Q What does. Article 7 governance.

09 18:02:00 A Maybe you can show me the the the the the wording.

10 18:02:13 Q R e 27. Please go down. Go up. It says in in the

11 18:02:35 interpretation of this

12 18:02:36 convention. So it's an interpretative. Clause and

13 18:02:44 interpretative

14 18:02:45 concept. For the CISG. Does this

15 18:02:50 article speak about the formation of the contract and

16 18:02:53 how the

17 18:02:53 amendments

18 18:02:53 are formed?

19 18:02:56 A One moment, I have to read it. In the interpretation

20 18:03:01 of this convention to be held its international

21 18:03:05 character to the need to promote uniform

22 18:03:07 identification. Okay, let's translate it.

23 18:03:16 INTERPRETER: The convention. UND the einer anwendung

24 18:03:26 □202603230022 erfordern wie auch die die einhaltung des principes

25 18:03:30 von Carolin Baum.

01 18:03:33 A Yes. Okay. And the question is.

02 18:03:36 Q I'm asking what article 7 is governing and asking if

03 18:03:40 you agree that it governs interpretation of the

04 18:03:43 convention?

05 18:03:43 A Yes. And interpretation in that meaning means if a

06 18:03:50 question occurs in which the convention has has to be

07 18:03:54 interpreted, and in applying this convention. We have.

08 18:04:04 To. To. It. It. We have the observance of

09 18:04:11 good faith in

10 18:04:12 international trade. The principle of good faith is. A point that has to

11 18:04:20 be taken into account and can, cannot be ignored.

12 18:04:24 Q And from that you derive an obligation to accept

13 18:04:27 amendment of the contract from this article.

14 18:04:32 A Seven yes. In my opinion, in our specific situation. In our specific situation, if we

15 18:04:44 take into account all those

16 18:04:48 circumstances, PPD was

17 18:04:48 obliged to accept based on the principle of acting in

18 18:04:53 good faith. And not killing their contractual

19 18:05:02 relationship.

20 18:05:05 Q Does contract contain any provisions regarding

21 18:05:08 amendments? How the amendments are concluded? Would

22 18:05:12 you know?

23 18:05:14 A Yeah, well, I don't know at the moment. I don't know

24 18:05:20 at the moment. Maybe there are provisions. I'm not

25 18:05:22 sure, I don't know.

26 18:05:24 Q Do you know any provisions in CISG which govern

01 18:05:27 amendments of the contract, specifically.

02 18:05:32 A At the moment, I'm not sure. I cannot cannot confirm

03 18:05:40 that is a provision or deny that that there is no

04 18:05:43 provision.

05 18:05:43 Q You don't know that.

06 18:05:44 A I don't know at the moment.

07 18:05:46 Q Whether there is any provision in CISG, which governs

08 18:05:49 amendments of the contract.

09 18:05:51 A At the moment, actually, I do not know.

10 18:05:54 Q And do you know whether in the contract there is any

11 18:05:56 provision which governs amendments of the contract?

12 18:05:58 A We can look of the table of contents of the of the

13 18:06:01 contract. Then we can have the answer.

14 18:06:05 Q But do you know.

15 18:06:06 A If you show me the table of content, we can we can

16 18:06:10 look if there is a ruling for that question.

17 18:06:15 Q Have you analysed when you give your opinion on good

18 18:06:17 faith, obligation to accept amendment. Have you

19 18:06:20 analysed the contract? Have you seen these clauses on

20 18:06:23 contract amendment and how it's formed?

21 18:06:27 A I have analysed the contract, but I do not know each

22 18:06:33 word and each sentence of of the contract. I do not

23 18:06:37 have it in my memory. But of course we can do that. We

24 18:06:41 can analyse it. It's no problem.

25 18:06:58 Q You also find on room 2 regulation.

01 18:07:02 A Yes.

02 18:07:05 Q Have you seen the ICC case referred by Prof cola?

03 18:07:10 A Which do you mean? Which case?

04 18:07:11 Q Please see ws9 hundred 76.

05 18:07:17 A Is. Is it the case from the opinion or from the

06 18:07:20 presentation or both? Both. Okay. Maybe you can show

07 18:07:24 me.

08 18:07:28 A I need the paradox.

09 18:08:02 Q I'm sorry. I need to find the reference. Just a 2nd. Page 43 of the document.

10 18:08:47 Five, paragraph 5.38. Are you familiar with this decision on room 2?

11 18:08:53 A Five? So give me one moment, please.

12 18:08:56 Q Yes, please.

13 18:08:57 A Yes. Invokes English.

14 18:09:06 INTERPRETER: English. In this section. And. I. Von

15 18:09:51 den. K?nnen das Recht ist als der haut die eine de.

16 18:10:04 Q And could you please show. 542540. Just go down a

17 18:10:08 bit. Yes.

18 18:10:09 A Thank you. One moment.

19 18:10:10 Q Thank you, thank you. Not so fast. Yeah.

20 18:10:23 INTERPRETER: I just have to. I have to find it. Durch

21 18:10:29 das verhalten des in der. Das ist als zwingend. Aber

22 18:11:00 nicht notwendig.

23 18:11:03 A Okay. This part. And what is your question?

24 18:11:08 Q Have you seen that this decision before issuing your

25 18:11:11 opinion or you did not take that into account?

01 18:11:14 A I have analysed the the decisions, but I didn't. Didn't
02 18:11:26 deal with the question which law is the applicable law?
03 18:11:32 Applying article 6, my question only was is Rome II
04 18:11:38 applicable
05 18:11:39 if the proceeding is an arbitration proceeding?
06 18:11:42 That was my
07 18:11:45 my question. Not not a substantial question. Which
08 18:11:48 law is the applicable law for for this for this case.
09 18:11:55 Q Have you analysed what the room 2 applies in
10 18:11:57 arbitration?
11 18:11:58 A Yes, of course I've analysed it. Whether to apply in
12 18:12:02 arbitration.
13 18:12:02 Q Yes. And this this case seems to be also an
14 18:12:04 arbitration case and seems to contradict your views.
15 18:12:09 A And what? What do you mean, what is it? What is your
16 18:12:11 your question?
17 18:12:13 Q Just the question. Have you seen that decision when
18 18:12:15 issuing your opinion which seems to contradict this
19 18:12:18 case? Have you have you analysed this?
20 18:12:20 A Yes. And and as I mentioned, in my opinion, and you can
21 18:12:26 find it in my opinion, it's a dispute. There
22 18:12:32 are
23 18:12:34 two different lines. There are authorities that say
24 18:12:40 Rome II should not be applied. That's the opinion of
25 18:12:46 Prof Koller. And there are opinions, and I follow them because

01 18:12:52 there are arguments for me are convincing that Rome II
02 18:12:57 should be applied, especially the. The cogent
03 18:13:04 provisions of Rome II and of course, there are decisions
04 18:13:10 that say,
05 18:13:11 yes, there are opinions in the literature that say
06 18:13:15 "yes" or "no". it's it's a dispute. It's definitely not a
07 18:13:20 clear situation. I never said that. It's undisputed
08 18:13:24 that it's the 1st introduction to the problem that,
09 18:13:27 in my opinion, is I said that the opinions are divided
10 18:13:32 and I follow this opinion because I think the
11 18:13:38 arguments of this line of augmentations are convin
12 18:13:42 convincing.

13 18:13:42 Q Thank you, Prof Klicka. We have no further questions.

14 18:13:46 PRESIDENT: Well thank you. Let's see if respondent has
15 18:13:51 questions in redirect.

16 18:13:53 Q Certainly we do. Professor, you were asked whether
17 18:14:00 PPD had accepted the clarification of the Russian
18 18:14:04 Central Bank. What is the position of article 54? CISG on
19 18:14:10 whether the party has
20 18:14:11 to agree with minor amendments required to
21 18:14:14 affect payment.

22 18:14:19 A I I'm not sure if I understand your question. What is
23 18:14:21 the the.

24 18:14:23 MR BYSTROV: The position of article 54 CISG on whether
25 18:14:27 the party has to agree with minor amendments required

01 18:14:31 to effect payment.

02 18:14:34 A Yes. The position of article 54 is that article 54

03 18:14:42 says that the buyer has to accept changes in the

04 18:14:48 payment process. If the changes are not substantial.

05 18:14:55 If they bring no feasible burden, no real

06 18:15:02 disadvantage, if it's reasonable to accept, then

07 18:15:08 article 54 is the basis that the buyer is obliged to

08 18:15:14 accept a modification of the payment process.

09 18:15:18 Q Thank you. You were asked whether you relied on any

10 18:15:26 assumption in German that the letter of 1st of

11 18:15:30 April introduced only minor amendments. Could you

12 18:15:34 kindly

13 18:15:34 advise whether you based your

14 18:15:36 opinion on any assumption of commuting in German, or

15 18:15:40 did you consider the concrete provisions of the letter of 1st of April and 29 of April 2022?

16 18:15:48 A Yes. The whole system. The. A letter of April 1st was a

17 18:15:59 minor adjustment and the. The the decree the

18 18:16:05 instruction of of of the Central Bank clarified that and

19 18:16:09 specified.

20 18:16:11 And in my opinion, the situation after the clarification by the Russian Central Bank was even a

21 18:16:19 better situation for PPD because the the situation got

22 18:16:26 better after those clarification and therefore, in

23 18:16:32 my opinion, PPD was obliged to accept this, especially

24 18:16:39 after the clarification of the. Of the Central Bank of

25 18:16:43 Russia.

01 18:16:46 Q Prof. Counsel of Kliment mentioned that the
02 18:16:50 Decree 172 was enacted on the 1st of April 2022 and the clarification of the Central
03 18:16:58 Bank of Russia
04 18:16:58 on the
05 18:17:03 29 April ,2022. Could you please clarify whether you
06 18:17:06 consider the time lag between the 1st of April and the
07 18:17:10 29 April relevant due to the payment date
08 18:17:10 of mentioned
09 18:17:10 in the letter of the 1st of April 2020.
10 18:17:12 Q This is a leading question. We object.
11 18:17:14 PRESIDENT: Yes. Please rephrase this a 2nd time. Your
12 18:17:18 questions are a bit too narrow. You offer
13 18:17:21 alternatives that are very narrow in redirect. I
14 18:17:24 would like you to open the question so that the answer
15 18:17:30 is not contained in the questions. So to allow the
16 18:17:34 expert to formulate a free answer.
17 18:17:38 Q So professor, what's the relevance of the. What's the
18 18:17:45 the relevance of the time lag between the 1st of April
19 18:17:50 and the 29 April? In your opinion?
20 18:17:52 A The relevance is that the whole case has to be decided
21 18:18:06 not for the date of 1st of April. The whole case goes
22 18:18:11 from April 1st over April 29th. And we have a
23 18:18:18 developing situation, and it ends in December. And
24 18:18:24 the three weeks in April are not the decisive factor.
25 18:18:33 That is decisive period. Decisive period. Because in
this time

01 18:18:34 nothing happened. There was no payment. So at the
02 18:18:38 moment the
03 18:18:38 payments were made were after
04 18:18:42 April 29th, after the clarification of the Central
05 18:18:45 Bank. So in my opinion, we can only look at the period
06 18:18:53 after April 29th because after this date, the
07 18:18:59 situation came into a into a into a situation that payments were
08 18:19:05 made in summer. So from my point of view, it's irrelevant what
09 18:19:11 happened April 1st between April 1st and April 29. I
10 18:19:16 absolutely do not understand what this should. Why should.
11 18:19:20 This
12 18:19:20 should be the deciding point or the the relevant point.
13 18:19:24 Q And my last question is you were asked the question on
14 18:19:30 the unreasonable disadvantages of change of currency
15 18:19:33 under article 53. Could you please explain the difference between
16 18:19:38 articles 53 and 54 of the CISG?
17 18:19:42 A Yes, that's a academic interesting question because
18 18:19:49 some authorities handled this question in a. The
19 18:19:54 discussion of article 53 and some authorities deal with
20 18:20:00 this problem when they make their commentaries to
21 18:20:04 article 54. So you can find the same problem in different
22 18:20:10 commentary books. One author writes his opinion or his approach to
23 18:20:19 article 53, and the other also says, I present
24 18:20:25 this problem in the context of article 54. I would
25 18:20:31 like to

01 18:20:32 say it's 50 per cent 50 per cent.

02 18:20:35 Half of the authors say it's a question of what,

03 18:20:40 what

04 18:20:41 is the, the the the the. Duty to pay. This is article 53 and the other

05 18:20:50 authors and authorities say, okay, a change of currency

06 18:20:54 is, is a question of 54 because it's a taking another

07 18:21:00 step and and and and and formality. As I mentioned, half of

08 18:21:07 the authors say it's a

09 18:21:08 question of 53. The other say it's a question of 54.

10 18:21:12 If you want my personal opinion. I would say it

11 18:21:20 doesn't make a difference. Both provisions have to

12 18:21:25 be

13 18:21:25 interpreted. You also can say it's a question of 54.

14 18:21:30 It's a modification of the payment method. Or you can

15 18:21:34 say it's a case of application of article 53. What is

16 18:21:40 the price that has to be paid? And the question is in

17 18:21:45 which currency. It's it's it's therefore I introduced with the with the wording.

18 18:21:52 It's

19 18:21:52 an interesting academic discussion, whether we make a

20 18:21:57 subsumption under 53 or 54.

21 18:22:02 PRESIDENT: No more questions.

22 18:22:03 Q This concludes. Right. Eric.

23 18:22:04 PRESIDENT: Thank you very much. Prof Hina. Do you have

24 18:22:07 questions?

25 18:22:12 INTERPRETER: Please?

01 18:22:12 PRESIDENT: Just to clarify, because I was a bit confused
02 18:22:14 at the end, if you could please refer again to
03 18:22:19 paragraph 9 of your 1st report. And that question
04 18:22:31 excluding or including annexes. I was not sure what
05 18:22:33 your last answer was. Was it did you confirm
06 18:22:37 excluding or extending.
07 18:22:39 A Excluding annexes?
08 18:22:40 PRESIDENT: Okay. Can you tell us why Decree 172 was
09 18:22:48 introduced, was issued.
10 18:22:52 A Why decree, as I know from the media, from from the
11 18:23:00 general information we had, the situation that we all
12 18:23:07 know, this unfortunate situation in February and March 22, the EU declared
13 18:23:20 sanctions and as a kind of
14 18:23:26 reaction and answer the Russian State released the
15 18:23:44 Decree 172 because the EU sanctions. Were. Origin for problems to the. The
16 18:23:46 purpose of the sanctions
17 18:23:54 were was to produce
18 18:23:46 problems to Russia and Russia answered with an act Decree 172
19 18:23:54 to produce problems for the other side. That was the.
20 18:23:57 That was the purpose of. Decree.
21 18:23:59 172, I think.
22 18:24:03 DR REINER: And as to the content of. 172, what was the.
23 18:24:07 It was just to be difficult. Or did it have any more
24 18:24:11 specific purposes? Decree 172.
25 18:24:14 A Yeah, I, I'm not a political analyst analyzer and. I
26 18:24:23 don't know exactly what Putin thought when he released
27 18:24:27 this

01 18:24:27 decree. It was a reaction to the EU sanctions. It
02 18:24:36 was a kind of economic war or economic battle. So the
03 18:24:43 EU sanction came, came, and the Russian State said, okay, if
04 18:24:48 they do sanctions, they give sanctions. We have to
05 18:24:51 react, we have to do something. And then came the
06 18:24:55 Decree 172.
07 18:24:56 DR REINER: And you you say that on the basis of what you
08 18:24:59 learned in the media. You say yes.
09 18:25:02 A And what what I what I. If I go back to 22, what I, if I remember the
10 18:25:11 time,
11 18:25:13 suddenly we heard there is a decree and I of course,
12 18:25:18 at that
13 18:25:19 time, I didn't know the number. We heard there
14 18:25:23 is a
15 18:25:23 decree released by Putin that should be a
16 18:25:28 counterweight against the EU sanctions. And this
17 18:25:32 decree. Should should be in favour for Russia and be a
18 18:25:40 disadvantage for for for the EU. That's what I.
19 18:25:44 DR REINER: In how far was it in favour of Russia?
20 18:25:50 A I do not know the exact. The exact mechanism. Economical. I'm
21 18:25:58 not a I'm not an economist. I'm not an economist. What what was the
22 18:26:06 the purpose from an economic. From the point of a site of an
23 18:26:12 economist.
24 18:26:13 INTERPRETER: Expert.
25 18:26:14 A An expert in national economy, I'm not. I cannot, cannot analyse that.

01 18:26:20 DR REINER: Did you ask counsel for respondent what the
02 18:26:22 purpose in their view, was of Decree 172?
03 18:26:25 A No, no.
04 18:26:28 DR REINER: But you confirmed that prior to the
05 18:26:33 Decree 172 there was no difficulty to make payments in
06 18:26:38 accordance
07 18:26:39 with the contract.
08 18:26:43 A Prior to Decree 172, it was possible to make the
09 18:26:48 payments. Yes.
10 18:26:57 DR REINER: Can we turn to Rome II yes. Can you? What
11 18:27:01 is, in your view, the legislative
12 18:27:05 purpose of 64.
13 18:27:09 A The legislative purpose of 64. That is the provision
14 18:27:12 that statutes that the ruling of 61, 62 and 63
15 18:27:21 is
16 18:27:21 mandatory. It's cogent. The purpose is that.
17 18:27:33 Antitrust law and competition law is an issue, is a
18 18:27:40 field in which not only individual interests are
19 18:27:47 relevant in this field. We have to take into account
20 18:27:51 the so-called collective interest, as in the recital
21 18:27:56 (21), someone presented that before the recital.
22 18:28:03 Number 21 of the Rome II regulation today was presented
23 18:28:08 in this recital. The legislator
24 18:28:11 of the Rome
25 18:28:12 II regulation said he is producing those rules,

01 18:28:18 giving those rules because the specific rules,
02 18:28:24 because there are specific.
03 18:28:30 A Points of view.
04 18:28:31 A Specific points of view that have to be taken in mind. And
05 18:28:36 those points
06 18:28:37 of view are
07 18:28:39 consumer protection specific economic aspects. So
08 18:28:44 this is a specific situation. And therefore we
09 18:28:47 have the specific ruling in six in article 6 paragraph 3, which is not, I would like to
10 18:28:58 say, not a
11 18:29:06 normal conflict of law rule. It is a specific rule for that
12 18:29:06 specific
13 18:29:06 question for this specific field or area of
14 18:29:10 competition law.
15 18:29:12 DR REINER: But if under the potential applicable laws,
16 18:29:18 let's take specifically Austria, Hungary and Croatia,
17 18:29:23 it's always the same EU competition law that applies.
18 18:29:27 Where is the problem?
19 18:29:29 A The problem, in my opinion, is that in such a case, we
20 18:29:34 do not only apply EU law, we also have national
21 18:29:38 competition law. Of course, national law has to follow the EU law
22 18:29:47 and we have a priority of of EU law of of regulations.
23 18:29:55 But
24 18:29:55 it's not only EU law that we apply, we also apply in a
25 18:30:00 kind of combination. We apply EU law and national law
26 18:30:05 and therefore it's relevant because if we only apply EU

01 18:30:12 law, we would not need article 6, 1, 2 and especially
02 18:30:18 three because. Six article article 6, paragraph 3
03 18:30:23 says the applicable law is the law of the country,
04 18:30:26 which is the
05 18:30:27 market, if I put it in a nutshell, and this rule only is
06 18:30:33 necessary
07 18:30:34 if the. The legislator accepts that there are different
08 18:30:40 competition law systems and therefore he has to choose one
09 18:30:44 which is the adequate one. And he says the
10 18:30:48 national law of the country, of the market. And that
11 18:30:53 is the reason why this question is relevant and why we
12 18:30:56 have this special provision.
13 18:30:58 DR REINER: But again, if the the competition law is the
14 18:31:02 same, why is it relevant whether you apply Austrian
15 18:31:06 law, Croatian law or Hungarian law, number 1? And
16 18:31:11 number 2, you have heard what Prof Kohler's view
17 18:31:14 was. Would you like to comment on on what he
18 18:31:18 said about the efficiency of EU competition law and its
19 18:31:24 □202603230035 impact on the way of pursuing, possibly pursuing any
20 18:31:30 claims for
21 18:31:31 violation of competition law? You were here when he
22 18:31:34 was testifying.
23 18:31:35 A The the 1st question, if I repeat with your
24 18:31:40 permission, was if it's a kind of hypothetical
25 18:31:45 question, if the the Austrian and Hungarian and

01 18:31:49 Croatian national competition law is the same.

02 18:31:52 DR REINER: No. If in all. If like in this case, it's.

03 18:31:56 In any case, EU competition law that is to be applied.

04 18:31:59 Yes. And not Austrian national competition law or

05 18:32:03 Hungarian national competition law or Croatian

06 18:32:07 national competition law. Why does it matter?

07 18:32:26 A Because the EU law. The EU competition law is

08 18:32:30 applicable, but we also have national competition law and we

09 18:32:38 have

10 18:32:39 example. For example, in our case we have the

11 18:32:41 difference if we apply Austrian law or Croatian law, I would

12 18:32:48 assume that

13 18:32:49 makes a difference. And that's the that's the the basis for article 6.3, that there

14 18:32:58 can be differences between the applicable laws.

15 18:33:02 DR REINER: Okay, I hear what you say. Thank you.

16 18:33:09 PRESIDENT: I have.

17 18:33:11 MS PETKUTE: One question.

18 18:33:14 PRESIDENT: You spoke.

19 18:33:14 DR REINER: In the beginning about article 54 of the CISG

20 18:33:19 and why, in your view, the. Decree 172 and in

21 18:33:27 particular, the change in currency, if I understood

22 18:33:30 this correctly, is a formality and therefore covered by

23 18:33:34 article 54. In your point of view. And again,

24 18:33:39 it's an interpretation question when does something stop

25 18:33:45 being an a formality and becomes more than that? If you

01 18:33:50 if you see what I mean. So I hear you on on the Decree 172 and your view
02 18:33:55 on that. But what would the tribunal. Where's the
03 18:33:58 threshold, if I can put it this way? And in
04 18:34:01 particular, you have briefly spoken about the the
05 18:34:06 payment having to be made earlier because of the
06 18:34:08 delay. Yes. And we're talking about large sums in that
07 18:34:12 regard.
08 18:34:12 Why do you still consider that merely a formality?
09 18:34:18 A I wouldn't say that's only a formality. I would say
10 18:34:23 it's the question whether. Whether under article 54, it was
11 18:34:33 unreasonable to take this disadvantage for PPD.
12 18:34:36 That's the question. The question is, was PPD obliged
13 18:34:41 to accept this
14 18:34:42 disadvantage? And even if we say it is an
15 18:34:47 unreasonable disadvantage, hypothetically, in my
16 18:34:52 opinion, it is not the correct way and it's a
17 18:34:58 violation of the principle against the principle of
18 18:35:01 acting in good faith. If PPD doesn't say anything
19 18:35:07 for
20 18:35:08 eight months between April and December, say nothing.
21 18:35:14 Complying with that. Make the payments with the new
22 18:35:17 process. And in December. The 1st complaint is
23 18:35:24 coming. And now PPD says the payment change change. The change of the
24 18:35:31 payment mechanism is not acceptable.
25 18:35:34 That is

01 18:35:35 that
02 18:35:36 is not possible to, to, to, to take to accept
03 18:35:40 this because
04 18:35:41 the whole system of article 54 is a specific. Our consequence is
05 18:35:52 specific
06 18:35:52 consequence of the principle of good faith. Let
07 18:35:56 me express this in that way. If the
08 18:35:58 legislator of the Csj would have forgotten to produce
09 18:36:03 a rule number, article 54. He did forget that.
10 18:36:09 I'm convinced that under applying article 7 the
11 18:36:15 principle of good faith, we would come to the same
12 18:36:18 result. We would say, okay, you have to accept minor
13 18:36:23 changes, minor modifications, and the threshold is
14 18:36:27 the
15 18:36:27 question is it burdening? And if it's burdening, you
16 18:36:31 have the duty to inform the other side that it is
17 18:36:36 burdening, because then you have the possibility to
18 18:36:40 find a solution and solve the situation, solve the
19 18:36:44 problem, and the contract can still be alive. And if
20 18:36:52 PPD would have informed GPE that this two
21 18:37:00 day to the difference makes a difference in. In euros
22 18:37:04 of, for example, 10000 euros per month of 20000 euros,
23 18:37:12 then it's the situation in which parties that are in
24 18:37:16 good faith are. Get into a discussion. Negotiations
25 18:37:19 say, okay, how can we solve the problem? And then

01 18:37:23 there are, as I mentioned, there are two possibilities
02 18:37:26 that that that I have in mind spontaneous. But maybe they
03 18:37:30 are more. The 1st is that that PPD says to GPE, okay, please confirm that it is okay if
04 18:37:40 I pay two days later. That's that's the
05 18:37:44 easiest possibility and everything is fine. Okay.
06 18:37:47 And if GPE now we can then say, okay, then give us a
07 18:37:52 discount.
08 18:37:52 There are solutions, there are
09 18:37:55 possibilities. But in my opinion it is not acting
10 18:37:57 in
11 18:37:58 good faith. If you are silent, you say nothing. You didn't. You do
12 18:38:05 say nothing. And eight months later you come and
13 18:38:09 say, okay, I've paid several times and I used the new mechanism and now I
14 18:38:13 say, it's impossible. It's a burden.
15 18:38:17 It's
16 18:38:17 absolutely unreasonable. That's my position.
17 18:38:21 PRESIDENT: Thank you. Good evening. I have a last
18 18:38:30 question. It has to do with good faith. Sorry for my German und Glauben.
19 18:38:37 A It's perfect.
20 18:38:40 PRESIDENT: Slides 1313. You refer to the principle of
21 18:38:44 good faith as enshrined. As you say in the CISG.
22 18:38:51 Article 71. When you refer to the typo on bullet .1
23 18:38:58 and two, are you referring to the good faith principle
24 18:39:03 in the formation of contracts or in the performance of contracts? I want to make
25 18:39:12 A In my understanding. Article 7 the principle of

01 18:39:15 acting in good faith covers both situations. Also the
02 18:39:20 performance. You have also to perform the contract in
03 18:39:24 a manner, in a way that is in good faith.
04 18:39:27 PRESIDENT: But in the bullet points here, bullet .1 and
05 18:39:31 two, which one of the two are you addressing when you
06 18:39:34 say PPD did not accept the amendment of the payment
07 18:39:37 process? Is it that it was done against good faith in against the duty to negotiate or
08 18:39:47 amend in
09 18:39:51 good faith, a contract? Or is it about performing
10 18:39:51 the
11 18:39:51 contract? And my same question for bullet .2, I want
12 18:39:53 to see which specific good faith duty you refer to.
13 18:39:58 A Yes, that's a good question. Let me have need one
14 18:40:06 2nd. I would say it's a violation against the principle
15 18:40:13 of good faith to accept the new amendment in your
16 18:40:22 wording, the, the, the, the, the the the, the conclusion of a new new amendment, not
17 18:40:35 the
18 18:40:35 performing, but PPD was obliged to to
19 18:40:43 accept the the modification of the contract.
20 18:40:47 PRESIDENT: Now, it's been debated that maybe article 71
21 18:40:53 covers and you were asked a question about this not
22 18:40:58 doesn't create a specific good faith duty, but it
23 18:41:01 would be somehow an underlying principle to interpret
24 18:41:07 the CISG. What in your view, I mean, is there, in your
25 18:41:15 view, under Austrian Civil Code, a general duty.
26 18:41:22 Of
27 18:41:23 good faith on the part of the parties, either in the

01 18:41:26 formation of contracts or performance of contract?

02 18:41:30 Does that general duty exist under Austrian statutory

03 18:41:36 law?

04 18:41:38 A Give me one moment. In my opinion, and I'm I would like to say I'm sure

05 18:41:50 that. The Austrian statutory law, as it is practiced by

06 18:41:58 the courts, by the Supreme Court, especially by the

07 18:42:01 Austrian Supreme Court, has a wide understanding of

08 18:42:05 the principle of acting in good faith, and it covers

09 18:42:09 the question of performing and the question of. For

10 18:42:20 example, the question if you are obliged to accept a modification

11 18:42:26 of a of a of a contract, and the the contrafactum proprium.

12 18:42:35 PRESIDENT: Don't go.

13 18:42:35 A Into that.

14 18:42:36 PRESIDENT: Let's stay on on the court's. Would you say

15 18:42:42 that the the principle of general good faith. Am I

16 18:42:46 right to to to understand that it is a principle

17 18:42:50 developed by the courts, by case law, by the courts,

18 18:42:56 rather than maybe a principle affirmed in the Austrian Civil Code.

19 18:43:02 INTERPRETER: Yeah.

20 18:43:04 A Let me express it this way. The Austrian civil law

21 18:43:11 code has provisions that give indication that you

22 18:43:20 must. Make have a behaviour in good faith. You must

23 18:43:26 must be

24 18:43:27 in good faith. There is an Austria and the Austrian statutory

25 18:43:33 law, the Austrian civil Law code, unlike the German

01 18:43:40 BGB, the German B?rgerliches Gesetzbuch. Unlike the
02 18:43:44 German system in Austria, we do not have a provision
03 18:43:51 expressively that says everything has to be
04 18:43:55 interpreted and performed in good faith. We have that
05 18:43:58 in Germany. That is section 242. That's
06 18:44:01 the most famous provision of the German civil law
07 18:44:06 code. But we do not have that in Austrian civil law
08 18:44:11 code expresses varies. But we. If we look at a closer
09 18:44:15 look, we can find indications and we can find
10 18:44:20 indicators that the, the, the the statutory law, the
11 18:44:27 Austrian civil Law code also
12 18:44:30 has the underlying principle that you have to act in
13 18:44:34 good faith because the principle of good faith, if
14 18:44:38 you translate it, it's bona fide. It's it's roman
15 18:44:42 law, the prince of bona fide. You have to be bona fetus.
16 18:44:48 And
17 18:44:48 we have the development roman law. Then we had the
18 18:44:52 reception of the Roman law. It was a mixture of Roman
19 18:44:54 law and local law. And then it came in the
20 18:44:59 18th
21 18:44:59 century, 19th century. It came to the to the result.
22 18:45:04 And everything is influenced by this principle of bona
23 18:45:07 fides.
24 18:45:07 PRESIDENT: Thank you very much. Just give me one 2nd.
25 18:45:13 On this last question. Okay?

01 18:45:18 A Did you.

02 18:45:35 PRESIDENT: I would like to invite the parties. So you were

03 18:45:40 going 1st. Claimant, if you have any questions in

04 18:45:43 furtherance of the tribunal's questions on this point.

05 18:45:47 MS PETKUTE: No, not from our side. Thank you.

06 18:45:49 Q Not from our side either.

07 18:46:02 PRESIDENT: Answers.

08 18:46:03 A If I find this point important, I should write back

09 18:46:06 burner. I think it's going to be.

10 18:46:11 PRESIDENT: The tribunal. The tribunal. I am interested

11 18:46:14 with that question, but I would like to to ask Prof Perner if he has any view to

12 18:46:22 give to the tribunal on this question. If he has no

13 18:46:24 view, this will be a question that will be addressed

14 18:46:26 to the parties in their posturing briefs, but

15 18:46:30 it's not

16 18:46:31 covered. If if. But the parties asked us whether we

17 18:46:36 could have exchange of views of the experts, and

18 18:46:41 since we have Clemens

19 18:46:44 expert on this point, if we take maybe five

20 18:46:48 minute break and then Mr Prof Perner will let us

21 18:46:51 know

22 18:46:52 if he if he wishes to address this question. If not,

23 18:46:56 this will be dealt with by the parties in their closing

24 18:47:00 submissions, I mean, or the Post-hearing submissions.

25 18:47:03 So we take a five minute break. You're still on the

01 18:47:06 stand, professor. And we just wait.

02 18:49:07 A Here and you know when it's.

03 18:49:08 PRESIDENT: We're back on record. Prof Perner.

04 18:49:13 A Thank you. Oh, you.

05 18:49:15 SP12: Just made me wait a moment. You should come back

06 18:49:48 in a minute. No, no.

07 18:49:49 PRESIDENT: To be in the room. So we're back on record.

08 18:49:52 Welcome back, Mr talon. If you had a question to the

09 18:49:56 tribunal before we resume. So what was your question?

10 18:49:59 SP13: Thank you. We just wanted to understand the

11 18:50:01 procedure to be followed now. So if the expert of the

12 18:50:05 claimant has the right to comment, would they expect

13 18:50:08 for the respondent has also the right to comment

14 18:50:12 thereafter?

15 18:50:12 MS PETKUTE: Thereafter?

16 18:50:12 PRESIDENT: Absolutely. And the answer is, is yes. And

17 18:50:15 I would invite Prof Perner to sit together with Prof

18 18:50:22 Klicka. Thank you very much.

19 18:50:25 DR REINER: Where is the interpreter?

20 18:50:31 A Professor, if we put a chair over there for the

21 18:50:33 interpreter, it's. It's okay for me.

22 18:50:35 PRESIDENT: Well, we'll deal with the chairs in a minute.

23 18:50:37 I just, while I want to thank you for. The for the

24 18:50:48 opportunity to enlighten the tribunal on on this

25 18:50:53 point. Put the chair.

01 18:50:57 A Next to you next.

02 18:51:01 PRESIDENT: Right. Thank you, Mr Talanov. And we wait

03 18:51:05 for the interpreter to start.

04 18:51:12 A I disappeared. He's gone. But he lost speakers.

05 18:51:40 DR REINER: In.

06 18:51:41 A The room.

07 18:51:41 DR REINER: That's fine.

08 18:51:46 PRESIDENT: Prof Klicka, are you comfortable to start

09 18:51:48 without the interpreter?

10 18:51:48 A Yes.

11 18:51:49 PRESIDENT: It's interest of time.

12 18:51:50 A Yes, of course.

13 18:51:52 PRESIDENT: Prof Perner, you heard or maybe did not hear

14 18:51:56 the questions. I had a question to Prof Klicka as to

15 18:52:01 the existence under Austrian law of a duty of good

16 18:52:07 faith. Troy und Glauben, either in the field of the

17 18:52:12 formation and amendment of contract, or in the field

18 18:52:15 of performance of contract. As to whether there was a

19 18:52:19 statutory provision in the Civil Code of Austria, of

20 18:52:21 Austria, sorry, not Australia, and whether. And I

21 18:52:27 would like to hear your views on on this point and any

22 18:52:32 other primary source of law, secondary source of law

23 18:52:34 that applies law as it may be under the court's

24 18:52:39 interpretation.

25 18:52:39 Q On the on the matter of good faith.

01 18:52:41 PRESIDENT: Yeah. On the matter of the principle of good
02 18:52:43 faith.
03 18:52:46 Q As Prof Klicker also said, there is no
04 18:52:48 general principle of good faith in Austria. There is
05 18:52:51 no statutory provision, of course, and there is no
06 18:52:55 general principle which would apply to the formation
07 18:52:58 or to the performance of the contract. As you
08 18:53:02 certainly know, and as we certainly all
09 18:53:05 agree upon, there is party autonomy. And if there was
10 18:53:10 a an obligation to amend the contract, then this is
11 18:53:15 nothing else than another contract which is to be
12 18:53:19 concluded. And if there was a principle to agree to
13 18:53:23 such an amendment out of good faith, then there would
14 18:53:27 be no party autonomy at all. So this question is easy
15 18:53:30 to answer. There is no such principle in general
16 18:53:33 then, in my opinion, Prof Klicker confounded, as you
17 18:53:39 rightfully asked, the conclusion of the contract and
18 18:53:42 the performance of the contract. The situation under
19 18:53:46 Decree 172 only concerns the amendment of the
20 18:53:51 contract. So the whole situation which Prof Klicka was
21 18:53:54 referring to after the decree has nothing to do with
22 18:53:59 an obligation to amend the contract out of good faith.
23 18:54:03 The one does have to do nothing with the other.
24 18:54:08 PRESIDENT: Prof Klinkert, do you need an interpretation
25 18:54:10 of the opinion that was just expressed? Is there

01 18:54:13 anything you would like to add to what was just said?

02 18:54:16 PROF KLICKA: Yes, I would want to add that under

03 18:54:20 Austrian law, especially under the decisions of the

04 18:54:24 Supreme Court. Within the last 30 or 40 years, there

05 18:54:32 is a line of development that, for example, you have

06 18:54:40 the duty to adopt and and make adoption of a contract

07 18:54:53 under specific circumstances. And this duty. What we call a. Duty. A duty to

08 18:55:08 renegotiate this tendency and this this this approach is

09 18:55:15 based on the

10 18:55:16 principle of good faith, acting in good faith, because we

11 18:55:19 do not have a provision that says under certain

12 18:55:23 circumstances, although the contract is is like it is

13 18:55:27 as

14 18:55:28 it is. But now the situation has changed and that didn't

15 18:55:33 the parties didn't foresee that and in certain

16 18:55:37 situations you are obliged to make a renegotiation.

17 18:55:42 And this can only be deduced from from a material

18 18:55:50 aspect, not a formal aspect from the principle of good

19 18:55:54 faith, because what's the the basis for that? We do not

20 18:55:58 have a provision, but we say, okay, that's not that's

21 18:56:04 not fair. If one party rejects and say, okay, the

22 18:56:10 contract is like it as it is. So I don't I don't talk about

23 18:56:16 anything. And so we have we have a tendency to activate those, those, those ideas

24 18:56:28 that are the

25 18:56:31 underlying basis, the material, the

substantial basis. Because always, in my opinion, is a question

01 18:56:36 of, of,
02 18:56:37 of, of, of, of balancing of interests. If we think it's it's
03 18:56:46 adequate or not adequate that the party rejects and refuse
04 18:56:51 renegotiation. And that's based on the principle of
05 18:56:55 acting in good faith.
06 18:56:56 PROF PERNER: Is it true? However, it has nothing to do
07 18:56:59 with our Christian duty to renegotiate is not to be
08 18:57:03 confounded with a duty to accept an amendment.
09 18:57:08 There
10 18:57:08 might certainly be a duty to renegotiate. However, in
11 18:57:13 our case, as we discussed for half the day, PPD was
12 18:57:17 not given the opportunity to negotiate because there
13 18:57:20 was a unilateral letter by Gazprom ordaining a new
14 18:57:25 mechanism. So 1st, there was no negotiation. And 2nd, out
15 18:57:29 of the principle of good faith. And the answer
16 18:57:32 of
17 18:57:33 Prof Schroeter demonstrated there can never be a duty
18 18:57:37 to accept an amendment.
19 18:57:39 PRESIDENT: I will now invite the counsel, if they so
20 18:57:44 wish to ask questions to the parties on this point.
21 18:57:47 But if there is no question that will that will end
22 18:57:51 the conversation with the tribunal. Sorry, claimant, did you
23 18:57:55 have any questions?
24 18:57:55 MS PETKUTE: We do not. Thank you.
25 18:57:58 SP14: Respondent not from our side.

01 18:58:00 PRESIDENT: Well, we thank you. I see your body
02 18:58:04 language, but.
03 18:58:05 PROF KLICKA: Yes, we.
04 18:58:05 PROF PERNER: Agree to disagree.
05 18:58:07 PROF KLICKA: Yes, we agree to disagree. But I don't
06 18:58:10 take your time. Of course.
07 18:58:11 PRESIDENT: You're not taking your time. We are
08 18:58:12 available, but there is a moment where the
09 18:58:15 conversation has to end.
10 18:58:17 PROF KLICKA: So okay. It's okay.
11 18:58:18 PRESIDENT: So. So maybe.
12 18:58:20 PROF KLICKA: I disagree. Okay, maybe you disagree.
13 18:58:22 PRESIDENT: Maybe it's close to seven pm so that it's
14 18:58:24 time to to close.
15 18:58:26 PROF KLICKA: I disagree with the last statement of
16 18:58:29 colleague.
17 18:58:30 PRESIDENT: Well thank you. Thank you very much,
18 18:58:33 professor. Thank you, Prof Pernet. We want to thank
19 18:58:36 the parties for a long day. Well organised. We have
20 18:58:39 reviewed a lot of opinions, heard the opinions and
21 18:58:43 heard the questions of the parties. So officially the two experts are released. You
22 18:58:49 can, you can. You may go now and we will resume tomorrow at 930.
23 18:58:55 A Thank you.
24 18:58:56 PROF KLICKA: Thank you, thank you.
25 18:59:03 PRESIDENT: Thank you. That was very helpful. Thank you

01 18:59:04 very much to both.

02 18:59:04 A Of you.

03 18:59:06 PRESIDENT: So just for the record, this will be a

04 18:59:08 question that will be put in writing to the parties so

05 18:59:11 that they can elaborate in the hearing, in the closing or

06 18:59:15 sorry, in the posterior submissions if they so wish.

07 18:59:17 A Thank you,